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INTERNATIONAL TRADE AND BUSINESS



PRE-REQUISIT

The student should have the Basic knowledge of law of contract, Sale of goods and international law principles.

OBJECTIVES & COURSE DESCRIPTION

The knowledge of the law and practice of international trade and business has been very useful. In the recent years, the volume and component of these transactions have increased tremendously in the recent years. This course will introduce students to the mechanics of international trade and business transactions are negotiated and executed. The course will focus on the trade and business activities of private entities and issue that he international exporter or importer is likely to confront. The course will consider certain issues regarding the regulation of international trade.

The purpose of this course is also to expose students to select types of international trade and business that are bot contemporary significance and relevant to the Uganda context. It is also intended to ensure students are able to understand topics of current importance in law related to international business. The emphases will be on the analyzing the obligations of the parties in a particular transaction and the illegal issues involved. The course will further examine domestic Uganda law applicable to the International Trade issues. Reference will be made to the law applicable to other jurisdictions like the United Kingdom and other Commonwealth countries in respect of International Trade transaction.

CONDUCT OF THE COURSE

The course will be conducted through lectures and discussions; there is no single book that covers the entire course. Relevant materials will be set out in the reading list. Other reading materials will be availed to students in due course. Students are expected to read those materials. Students are advised to access the relevant **websites** on International Trade and related topics for current legal issues. This course outline is a guide, not guarantee, of the subjects and pages we will cover.

The course work shall contain 30% of the marks and the final Examinations shall contain 70% . The lectuere shall conduct 4 hours of lecturing and the Teaching Assistant shall conduct 1 hour of lectures

ASSESSMENT

The examination will consist of course work 30% and final written examination of 70%.

RECOMMENDED READING MATERIALS

Atiya, Adams& Mac Queen, The Sale of Good (11th ed

2005) Benjamin's, Sale of Goods 6th Edition 2002

Bridge, The International Sales of Goods 1999



Carver Raoul & Carters Colivaux Carver's Carriage by Sea Volume 1, 13th Edition Sweet & Maxwell.

Clive Sasson C.I.F & F.O.B Contracts 4th Edition London Trade, B.S.K Professional Book,
Oxford.

Day and Griffin, The Law of International Trade 2nd Edition

1993 Good Commercial Law, 2nd Ed 1995

Hans Van Houte, The Law of International Trade 2nd ED

Ian F. Flecher & Marlse Cremona, Foundation and perspective of International Trade Law, 2001. Indra Chuah, International Trade Law, Cavendisg Publishing, 3rd ed 2005.

Joson Chuah, Law International Trade 2nd ed 2001

Kenneth Smith & Denis Keenan, Mercantile law, Pitman, 5th ed

1997 Painsa Sellman (Ed) Law of International Trade, Old Balley Press, 1997 Paul Todd, Cases & Materials on International Trade

Law 2002

Sealy L.S & Materials in Commercial Law 1994

The following journals may also be useful referred to;

- International and Comparative Law Quarterly (ICLQ)
- International Business Lawyer (Int. lawyer)
- Journal of Business Law (JBL)
- Journal of World Trade Law (JWTL)
- Loyds Martim and Commercial Law Quarterly (LMCLQ)

INTRODUCTION

- An overview of International Sales of Goods
- Uganda Trade Policy
- International Economic Organisation and their contribution to the harmonization and development of World trade: UNICITRAL & ICC.
- Multilateral and regional Trade arrangement.
- World Trade Organisation (WTO)
- East Africa Union.
- Other Economic Reginal Groupings.

Readings:

- ICC & Uganda Export Promotion Board, Uganda Trade Secret 2000: The export.

- Answer Book for small and Medium sized Exporter, 2000
- WTO: Trade Policy Review Uganda 2001 Geneva WTO.



- Jean Lubega Kyaze, “Legal Implications of the East African Community Treat” (2003) Vol. 1 (1). The Uganda Living Law Journal, 43.
- Nichodemus, Rudaheranwa, “Uganda’s Trade and the W.T.O. Agreement challenges and opportunities”, (2004) 2 (2) The Uganda Living Law Journal.

COMESA: Implications for COMES Free Trade Area.

PF Kiwelo, The World Trade Organisation (WTO) for whose’s Benefits? (2003) 1 (2) The Uganda Living Law Journal 215.

Dr. Wairama G. Baker, “Impact to the World Trade Organisation (WTO) on Uganda”(2001) The Uganda Law Society Law Review 50

Elim Ellyetu, “An overview of the World Trade Organisation” (2001) 1 The Uganda Law Society Law Review 32

Websites:

<http://www.unicitral.org/English>

<http://www.wto.org.english>

<http://www.mtti.org.english>

[http://www.comesa.inte/.](http://www.comesa.inte/)

GENERAL PRINCIPLES OF INTERNATIONAL SALE GOODS

1. FORMATION OF CONTRACT

UN Convention on contract for international sales of goods- CISG 1980
ART 13-24 The Sales Of Goods And The Supply Of Services Act 2017 sec 2-21

Northern Airline Ltd. V Dennis Ferabti Metres Ltd. 91970) 114 SJ 845

Hardwick Game Farm v Suffolk Agricultural Poultry producers Association (1969) 2 Act 31.

Brinkiborn Ltd. STahag (1983) 2 AC 34

Companie de Commerce et Commission SA RL V Parkison Stove Co. Ltd. (1953) 1 Lloyd’s 532.

2. Performance of the contract (sec 34-46 The Sales of Goods And The supply of Services Act)

2.1 Delivery and Passing of the Property Article 30 – 31 CISG 1980

ARTICLE 66 – 69 CISG 1980

The Sale of goods And Supply of Services Act 2017

Kwei Tek Chao V British Trader & Shippers Ltd. (1954)2 QB 459

Carlos Federspiel & Cov Charles Twigg & Co. Ltd. (1957) 1 Loy’s Rep. 240.

2.2 Delivery and Passing of the Property

- Aluminium Industries Vaassen BU V Romalpa Aluminium Ltd. (1979)
1 WLR 676



- Vita Food Products Inc. V Unus Shipping Co. Ltd. (1939) A.C 277
- Compagnie D'Arment Maritime S.A V Compagnie Tunisiene de Navigation (1971) ACS 572.
- Pfeiffer Weinkeilerel Gmbh & Co. V Arbirthnot Factors Ltd. (1988) 1 WLR 150
- COMMERCIAL Banking Co. of Sydney Ltd. V Jalsald Pte Ltd. (1973) AC 279

READINGS:

David, Reservation of Title Clauses:- Alegal Quagmire” (1984) LMCLQ 49).

Jnes, “Retention of Title 10 years from Romalpa (1986) The Company Lawyer 233.

Don Charmers “Romalpa”: Retention of Title Clauses (1986) 60 The Australian Law Journal 547.

2.3 Acceptance and Rejection of goods

- Section 43 & 44 of The Sales Of Goods And Supply of services Act 2017
- Art 35 – 46 of CISG 1980
- Saut v Belcher & Gibbons (1920) Com CAS 115
- B & P Wholesale Distributors v Marko Ltd. The Times 1953
- Bernstein v Pamson Motors (Golders Green) Ltd. (1987) 2 All ER 220
- Bergerco USA v Vegoils Ltd. (1984) 1 Liody's Rep. 440.
- EE & Brian Smith (1928) Ltd. V W heatsheef Mills Ltd. (1939) 2KB 302
- Kwei Tek Chao v British Traders and Shippers Ltd. (1954) 2 QB 459 READINS:
- Ian Brown, “Acceptance in the Sale of Goods’ (1988) JBL 56..

2.4 Rights of the Seller against Goods

Art 61 – 65 CISG 1980)

Sec 34 – 48 SGA

R v Ward Ltd. V Bignall (1967) 1 QB 534

2.5 Rights of the Buyer

- Kwei Tek Chao v British Traders & Shippers Ltd. (1954) 2 QB 459
- Gill & Duffus v Berger (1984) AC 382
- James Finalay Ltd. V Kwik Hoo Tong (1929) 1 kb 400
- Aron & Co Inc v Comptoir Weglmont (1921) 1 KB 435
- RE Keighley, Mixted & Co. and Bryan Durant & Co. (1894) LT 155
- Taylor & Sons Ltd. V Bank of Athens (1922) Com Cas 142.
- Proctor & Gamble Ltd. V Becher Gmbh (1988) 2 Lir 21
- Sharpe v Nosawa (1917) 2 kb 814
- Van Den Hurk v Martens & Co. Ltd. (1920) 850

2.6 Implied Terms

- CISG 1980
- Specifically Articles 35(1)(3)
- The Sale of goods And Supply of Services Act 2017

- Arcos v Ronaasen (1933) AC 470
 - i Mr. Muinda Tadeo: January, 2018



- Taylor v Combined Buyers (1922) NZLR 627
- Ashington Piggeries Ltd. V Christopher Hill Ltd. (1977) AC 441
- Kendall & Sons v Lillico & Sons Ltd. (1969) 2 AC 31
- Petheran Europe Co. v ST Belton (1968) 2 QB 545
- Agro export v NV. Goorden Import (1956) 1 Lloyds Rep 319

Readings:

Schmittoff's Export

Trade Benjamin's sales

of goods

Joseph D Becker "International Telex Contracts" (1983) JWTL 106

– 114 Henry Nampandu, Contract Law Aspect of Electronic Commercial.

Transactions' (2003) 1 The Uganda Living Law Journal 68

Jacob, "The Battle of the forms:- Standard Term contracts in comparative Perspective" (1985) 4, ICLQ

3. METHOD OF SALE: STANDARD TERMS IN INTERNATIONAL SALE OF GOODS

3.1 Standardization of terms

3.2 C.I.F (COST, INSURANCE AND FREIGHT)

3.2.1 The nature of CIF Contract

Biddell Bros. v E. Clement Horst Co. (1911) 1 KB 214

Comtoir D'Achat v Luis de Ridder (1949) AC 239 (the

Julian) Arnold Karberg & Co. v Blythe (1915) KB 388

Gill & Duffus v Berger (1983) 1 LIR 622

Mandell Bros. V E. Clement Horst Co. (1911) KB 214

Comptoir D'Achat v Luis de Ridder Ltd. (The Julia) (1949)

AC 293 Pyrene Co. Ltd. Scindia Navigation Co. (1954)

2QB 402

3.2.2 Obligation of the seller

- Biddell Bros v E. Clement Horst Co. (1911) K.B 214

- Hurdley & Co. V East Indian Produce (1973) 3 LIR 515

- Bowes v Shand (1877) 2 AC 455

- Thomas Portwick Ltd. Bunge Ltd (1969) LIR 515

- Tsakirogou & Co. v Noble Thor (1962) AC 93

- Thomas Bortwick Ltd. V Bunge Ltd. (1969) 1 LIR 12

- Collins Shields v Wedel & Co. (1952) 2 All E.R 337

- Kwei Tek Chao v British Traders & shippers ltd. (1954) 2 Q.B 459

- Groom v Barber (1915) 1 K.B 316

- DIAMOND Alkali Corp b Bourgeois (1986) 1 Lloyds Rep. 261

- Proctor & Gamble v Becher (1988) 2 LIR 21

Readings: incoterms 2000

Benjamin's Sales of Goods

Sassons and Merren, C.I.F & F.O.B Contracts

4. OTHER METHODS OF SALE

FAS: Free Alongside

Ship FCA: Free
Carrier
DES: Delivered Ex Ship

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DEQ: Delivered Ex
 Quay EXW: Delivered
 EX Works CFR: Cost
 and Flight
 CIP: Carriage and Insurance
 Paid to CPT: Carriage Paid to
 DAF: Delivered at Frontier
 DDP: Delivered Duty Paid
 DDU: Delivery Duty
 Unpaid

SPECIFIC CONTRACTUAL ISSUES IN INTERNATIONAL TRADE

1. Frustration

- Fairclough Dodd Ltd. V Vantol Ltd. (1957) 1 WLR 136
- The NEMA (1982) AC 724
- Schroeder Music Publishing Co. v Macaulay (1974) 3 ALL E.R 616
- Butler Machine Tool Co. Ltd. V Ex-Cell-o Corporation (England) Ltd. (1979) 1 ALL E.R 965.
- Tsakiroglou & Co. v Noblee Thor (1962) AC 93
- National Carriers Ltd. V Lindsay (1953) 1 WLR 1280
- Bremer Handels v Vandel Avennelzegum (1978) 2 LJR 109
- Aluminium Industries v Romalpa Aluminium Ltd. (1976) 1 WLR 676
- Armour v Thyssen (1990) 3 WLR 810
- Dunlop Pneumatic Tyre Co. v New Garage & Motor Co. (1915) AC 79
- Vita Food Products Inc. v Unus Shipping CO. (1939) A.C 283
- National Carriers Ltd. V Panalpina (Northern) 1981) A.C 675
- Vitol SA v Esso Austria; The Wise Times Feb 1, 1988
- Eumico Spa v Phillip Brothers (The Epathy) (1987) 2 Lloyd Rep 215
- Fibrosa (1943) YAC 32

4.2 Andrew Millar & Co Ltd. V Taylor (1916) 1 KB 403

4.3 Stabilization clauses

4.4 Cost price escalation

4.5 Penalty/liquidated damages

4.6 Choice of law

Dunaea Ltd. Gilman & Co (Australia) Pty (1968) 2 Lloyd's

Rep 394 Amin Rashid Shipping Corp v Kuwait Insurance

Co. (1984) AC 50 Bonthon v Commonwealth of Australia

(1951) AC 201

Compagnie d'Armement maritime SA v Compagnie TN (1971) AC 72

4.6 Handship Clause

4.7 Revision/Formation of the Contract – renegotiation

4.8 Force majeure clause

4.9 Dispute settlement methods

Readings:



- Karl-heinz Bockshegel, Hardship, Force Majeure and special risks clauses in international contract
- Charles Debattista, Legislative Technique in International Trade: Madness or method (2002) JBL 626
- ESSENTIAL Elements of a good export contract.

5. METHODS OF CARRIAGE OF GOODS

5.1 Carriage of goods by sea

- Marine Insurance statute 2002
- The Hague- Visby Rules 1968
- Carriage of goods by Sea Act 1924 (UK)
- UNCTAD – ICC Rules for Multinational Transport Documents
- Manchester Trust v Furness (1895) 2 Q.B 539
- Thomas v Portsea SS Co. Ltd (1912) A.C 1
- The Annefield (1971) 1 All E.R 406
- Miramar Maritime Corporation v Holborn Oil Trading Ltd. (1984) 3WLR 1
- Brandt v Liverpool Steam Navigation Co. (1924) 1 K.B. 575
- The Luckey Wave (1985) 1 Lir 80
- Application of Hague – Visby Rules
- Pyrene Co. Ltd. v India Navigation Co. (1954) 2 Q.B 402
- HUGH Mack & Co. Ltd. Burns & Lines Ltd. (1944) 77 LIR 377
- Maxine footwear Co. Ltd. v Canadian Gov't Merchant Marine Ltd. (1959) A.C 589
- SMITH Hogg Co. v Black Sea & Baltic General Insurance Co. (1940) A.C 997
- Gosse Millerd v Canadian Gov't Merchants Marine Ltd. (1927) 2 K.D 432
- International Packers London Ltd. v Ocean SS Co. Ltd. (1955) 2 Lir 218
- Leonard's carrying Co. Ltd. v Asiatic Petroleum Co. Ltd. (1915) A.C 705
- Canada Rice Mills Ltd. v Union Marine & General Insurance Co. (1941) A.C 55
- The Eurymedon (1975) A.C 154
- Reardon Smith Line Ltd. v Black Sea & Baltic General Insurance Co. (1939) A.C 562
- Kish v Taylor (1912) A.C 604
- Hain SS Co. v Tate & Lyle Ltd. (1936) 2 ALL E.R 597
- River stone Meat Co. v Lancashire Shipping Co. (1961) AC 807
- Stag Live v Foscolo Mango (1931) AC 328
- HAIN SS Co. v Tate & Lyle Ltd. (1936) ALL ER 597
- Dakin v Oxley (196) 15 CB (NS) 646
- The Mutula (1978) 2LIR 5
- Susse Atlantique SA v Rotterdamsche Kolen Central (1967) 1 AC 361
- Tottersall v National SS Co. (1984) 12 QBD 12 297
- Albacora SCR v Westcott v Laurence Line Ltd. (1966) Lir 62
- Hamilton Fraser & Co. v Pandorf & Co. (1987) 12 AC 518
- Reardon Smith Line v Blacksea & Baltic general Insurance Co. (1939) AC 562
- The Caspian Sea (1980) 1Lir 91

- New Zealand Shipping Co. Ltd. V Sattest Wiate & Co. Ltd. The Eurlymedon (1975) AC 154.

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- Midland Silcons Ltd. V Scruttons Ltd. (1962) AC 446
- Sebagala & Sons Electric Centre Ltd. V Kenya National Shipping Lines Ltd. (1997 – 2001) UCLR 388

Reading

s:

- DARCY, Ridley's Law of the Carriage by land , sea and Air (7th Ed) (1990).
- Paul Todd, carriage by Sea (2002) JBL 217
- Glass & Cashmore, Introduction to the law of carriage of Goods (1989)
- Shmithoff, Export Trade.
- Mohsin Hingun, The Anormalous Common Law Rules in Gov't v Norway (1993) 3 (2) ILLUM Law Journal 52.
- Wilson, carriage fo Goods by Sea (5th Ed 2004)
- Cedric Barclay, "Technical Aspects of Unseaworthiness (1975) LMCLC 288

5.2 CARRIAGE OF GOODS BY AIR

- Convention for Unification of certain Rules relating to international carriage by Air Warsaw Convention (1955)
- Warsaw convention as Amended by protocol No. 4 of Montreal, 1975
- Convestion for the Unification of certain Rules for international carriage Air Montreal May 1999
- Carriage by Air Act 1961
- Forthergul v Monarch Airlines (1980) 2 ALL E.R 696
- AIRWAY Bill
- Westminster Bank v Imperial Airways (1936) 2 ALL E.R 890
- Seth v British Overseas Airways (1966) 1 Lloyds Rep 323
- Grein Imperial airways Ltd. (1937) 1kb 50
- Heskell v Continetial Express (1950) 1 ALL E.R 1033
- GAtewhich Ltd. V Ibená Kines Aeresá de Espana S, (1989) I Lir 160
- Horabin v British Overseas Airway (1952) 2 All ER 1016
- American Express Co. v British Airways Board (1983) 1 WLR 701

Readings

D'arcy, Ridley's Law of the carriage of Goods by land, sea and Air (7th Ed) (1990) Schmitt Hoff: Export Trade

6. BILL OF LANDING

6.1 Nature & validity of the bill

- Bills of Lading Act, 1855 (UK)
- The Hamburg Rules
- Lickbarrow v Masson (1994) 5 TR 683
- The United Nations Convention on carriage of Good by sea, 1978
- Swiss Bank Corporation v Brinks Mat (1986) 2 ALL RE 188
- The Melborough Hill (1921) 1 A.C 444
- Ishaq v Alhad Bank International (1981) 1 LIR 183

6.2 Bill as Document of title

- Soproma v Marine & Animal by-products Corp. (1966) 1 Lir 367: The Julia
- Sze Hai Tong Bank v Rambler Cycle Co. Ltd. (1959) A.C 576
- Glynn Mills & Co. v East West India Dock Co. (1882) 7 App Cas 591
- E Clemens Horst Co. v Biddel Bros (1912) AC 18
- Sanders v Maclean (1883) 11 QBD 327
- GLYNN Mills & Co v East West India Dock Co. (1882) 7 AC 591.

6.3 Passing of property

- Symth v Balley (1940) 3 ALL E.R 60
- HAGUE- Visby Rules non- application
- Grant v Norway *1851) 10 C.B 663

6.4 Bill as evidence of contract:-

- Art 16 r 3
- Reduc v Qard (1888) 20 QBD 475
- Ardenes SS (Cargo Owners) v SS ardenes (Owner) (1951) 1 K.B 55
- UN Convention on carriage of Goods by Sea (1978)
- Swiss Bank Corp. v Brinks Mat (1986) 2 ALL E.R 188
- Leduc v Ward (1880) 20 QBD 475
- Krohn & Co. v Thegra NV (1975) 1 RIL 146

6.5 Bill of lading as statement of quality

Art 16 Hamburg Rule

Compania Naviera Vascongada v Churchill and Sim (1904) 1 kb 237

Merchant Banking Co. of London v Phonix Bessemer Stell Co. 1877) 5 Ch 205

6.6 Date of Bill and Lading

- Art 11
- The Saudi Crwon (1986) 1 LIR 261
- The Almack (1985) 1 LIR 557
- United City Mechants (Investements) Ltd. V Royal Bank of Canada (1993) AC IG8

Readings

- Mohsin Hingun, “The Receipt Function of “ Clean Bills of landing; (1993) ILLUM Law Journal 97
- Mohsin Hingun, “ The Receipt Function of Bills of Lading: Delivery without Production of Bill of Lading” (1993) 3 ILLUM Law Journal 39
- Treitel and Reynolds, caver on Bills of Lading (2nd Ed 2005).

7. MARINE INSURANCE

- Marine Insurance statute 2002

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- General Re- Insurance Corp v Foreaknugsaktlebolaget Fenna Patria (1982) Q.B 856
- Inglis v Stock (1885)
- Dally v Lime Street Underwriting Agencies (1987) 2 FTLR 277
- LONIDES V Pender (1874) LR 9 QB 531
- London General Insurance Co. v General Marine Underwriters Association (1921) 1 KB 104.
- The Eurystheneses (1976) 3 All E.R 243
- CIT v Oceanus (1984) 1 LIR 476
- Berger v Pollock (1973) 2 LIR 442
- National Insurance Corp v Span International Ltd. (1997 – 2001) UCLR 100
- United Mills Agencies Ltd. V R.E Harvey Bray & CO. (1952) 1 lir 149
- Lucena v Craufurd (1806) 2 Bos & D (NS) 269
- Leigh and Sullivan Ltd. V Ahakmon Shipping Co. Ltd. (1986) A.C 78
- Banque Keyser Uthman SA v Skandia (UK) Insurance Ltd. (1989) 3 WLR 25
- Leighad Sillivan Ltd. V Allak Mon Shipping Co. (1986) A.C 758
- Leyland Shipping Co. v Norwich Union Tire Insurance Society Ltd. (1918) A.C 350.
- Smitt Hogg Co. v Black Sea & Baltic General Insurance Co. (191940) A.C 997
- Rhesa Shiping Co. S.A V Edmunds, (The Popi M) (191985) 2 all E.R 712
- Pickersgill Insurance Co. Ltd. V Nesbet (1962) Q.B 330
- Pickersgill v London & Provincial Marine & General Insurance Co. Ltd. (1912) 3 K.B 614
- Sasson Yorkshire Insurance Co. (1973) LIR 29
- Soya GMBH Mainz White (1994) 3 All ER 581
- Union Insurance Society of Canton Ltd. V George Wills & Co (1916) 1 AC 281
- Pan Atlantic v Pine Top (1994) 3 all ER 581
- Container Transport International v Oceans Mutual Underwriting Association (Bermuda) Ltd. (1984) 1 Lloyd's 476
- Continetla Illinois National Bank & Trust Co. of Chicago v Bathrust (The Captain Panagos) (1885) 1 Lloyd's 625
- Container Transport International v oceans Mutual Underwritting Association Bermuda (1984) 1 Lloyd's Rep 476
- Far East Shipping Co. Ltd. V Scafes Trading (2001) All ER 319
- Unicof Ltd. V interfrieght Farwader (1997 – 2001) UCLR 447
- SUFFISG International Food Processing v Egypt Air Corp. (1997-2001) UCLR

8. METHODS OF PAYMENT: DOCUMENTARY CREDIT

- Uniform Customs and Practice for documentary Credits 1993 (UCP 500)
- Hrbottle v National Westminster Bank (1978) Q.B 146
- Hamzah Malsa v British Dulex Industries Ltd. (1958) 2 Q.B 127
- Bunge Corp. v Vegerable vitamins Foods (1985) 1 LIR 613
- SOPROMA SPA V Marine Animal By- products (1966) 1 LIR 367
- Equitable Trust Co. of New York v Dawson Parners Ltd. (1927) 27 LIR 49

- PANAOUTSORS V Raymond Hadley Corp. of New York (1917) 2kb 473
- Gian Sing \$ Co. Ltd. V Banque de Indochine(1974 2 All Er 754



- Commercial Banking Co. v Jalsard (1973) A.C 279
- United City marchants (investissement) Ltd. V royal bank of Canada (1982) 2 All E.R 720
- Ian Stach Ltd. V Baker Bosley Ltd. (1958) 2 QB 130
- Gian Singh V Banque De L'indochine (1974) 1WRL 1234
- Banque De L'indochina V J.H Reyner (19(1983) 1 All E.R 1137
- United Trading Corporation V Allied Arab Bank (1985) 2 Lloyds Rep 554
- Edward Owen Engineering Ltd. V Barclays Bank International Ltd. (1978) 1 All E.R 976
- Harlow & Jones Ltd. V America Express Bank Ltd. (1990) Llyods Rep 343
- Forestall Mimosa Ltd. V Oriental Credit Ltd. (1986) 1 WLR 698
- Discount Records Ltd. V Barclays Bank Ltd. (1975) 1 WLR 315
- The American Accord (1983) 1 A.C 168
- United Trading Corp. Sa V Allied Bank Ltd. (1995) 2 Lloyds Re 554
- Bankers Trust Co. V State Bank Of India (1991) Lloyds Rep 587
- Society Of Lloyds V Canadian Imperial Bills Of Commerce (1993) 2 Lloyds Red 579
- Rafsanjan Pistachio Producers Cooperative Bank Leumi (Uk) Pic (1992) 1 LIR 513
- Gill & Duffus SA V Berger & Co. Ltd. (No 2) (1984) AC382
- Westpac Banking Corp. V South Carolina National Bank (1986) 1 LIR 311
- Themehelp Ltd. V West (1995) QB 84
- Ucb V Makerere University (1980) Hcb53
- Uganda Coop Union V UCB (1980) HCB 13

Readings:

- Sealy & R.J.A Hooley, Commercial Law, Text, Cases & Materials 2nd Ed Butterworths 1999
- Raymond, Documentary Credits Jack 2nd EDN Butterworth's, 1999
- Peter Ellingar, Documentary Credits and Fraudulent Documents Current Problem Of International Trade Financing (1983) Pp 185-234
- Clive schmitthoff, discrepancy of documents in letter of client transaction (1990) JBL 97
- Godwin, Transferable Letters of Credit – The Effect of Lariza (1990) JBL 48

9. DISPUTE RESOLUTION

- Features of international commercial arbitration
- Convetion on recognition and enforcement of foreign arbitral awards: the new york convention 1956
- The UNICTRAL Arbitration Rules 1976
- The UNICTRAL Concilliation Rules 1970
- The UNICTRAL Model Law 1985
- Art 126 constitution of Uganda
- The Arbitration and conciliation Act, Cap 4
- Forms of dispute resolution
- The concept of arbitration
- Regulation of international arbitration
- Enforcement and challenges
- Cook International Inc V BV Handle Smaatschappij Jean (1985) 2 LR 225

- Naviera Amazonia Peruana Sa V Compania International
- De Segura Del Peru (1988) 1 Lloyds Rep 116



- Deutsche Schachtbau V Ras Al Khaumah National Insurance (1992) 1 Lloyds Rep 81
- Bank Mellat V Helliniki Techniki (1983) 3 All E.R 428
- Compagnie Europeenne De Cereals SA V Tradax Export Sa (1986) 2 Lloyds Rep 301
- Bremer Vulkan Schiffbau And Maschinenfabrik V South India Shipping Corp. Ltd. (1981) A.C 909
- Ruth Bemba V Dapcb Hccs 833 Of 1989
- Iraq Fund For External Development V A.G HCCS 1391 Of 2000
- Phoebe Mugabi V Print Pak (U) Ltd. (1994) Klr 29
- Farmland Industries Ltd. Globe Exports Ltd. (92 – 93) HCB 197
- International Tank & Pipe S.A.K V Kuwait Aviation Fuelling Co. KSC (1975) QB 224
- National Union Of Clerical 7 Technical Employee V Uganda Bookshop (1965) Ea 533
- Coffee Marketing Board V Yugasta Construction (ARB Cause No. 1 Of 1999)
- Uganda Post Telecommunication Corporation V East African General Insurance Co. Ltd. (1983) H.C.B 36.
- Oil Seeds (U) Ltd. V UDC (1997) KALR 96
- Kyadondo V The Coop Bank – Supreme Court CA No 19/9
- Farmland Industries Ltd. V Global Exports (1992093) HCB 97

Readings:

Mustil & Boyd, The Law And Practice Of Commercial Arbitration 2nd Ed Sornarajah, International Commercial Arbitration 1990

Redfern & Hanker, International Commercial Arbitration 2nd Edition 1991

Justice Godffrey Kieyabwire, “International and Practice Aspects of Arbitration And Conciliation Act 2000 Of Uganda” Seminar Paper International Commercial Arbitration – International Law Institute, Dec 2000

Samson sempasa, center for arbitration and dispute resolution and the new legislative formulation on alternative dispute resolution (2003) 1 the Uganda living law 1.

10. FOREIGN PARTICIPATION

10.1 Foreign investment

Investment code act, cap

92 Income tax act, cap

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Objectives in living foreign investment

Alternatives forms of foreign investment

Alternative forms of foreign investment

Incentives to attract foreign investment

Protection of foreign investment

UNCTC, Trends and Issues in foreign direct investment and related flows
1985.



UNCTC, Alternative forms for foreign participation

Kuwait v American independent oil company (Aminoil) (1982) 21 international legal materials 976

Topco/Cal Asiatic v Libya (1978) international legal materials 3
Liamco v Libya (1981) 20 international legal materials 1

10.2 JOINT VENTURES

Objectives in formation of joint ventures

Control and management of equity joint ventures
Features of contractual joint ventures

Key issues in joint venture agreements

United Dominion Corporation Ltd. v Brian Pty Ltd. (1985) 60 ALR 741

Readings:

Fitzpatrick (ed), transnational joint ventures (1989)
Ian Hewitt Freshfield; joint ventures, 1st ed 1997
Sonarajah, law of international joint ventures (1992)

UNCTC, Joint ventures as a form of international economic cooperation (1988)
Maxwell Stap, Pic "study of the effectiveness, policies, facilities and incentives for investment promotion in Uganda: Final Report.

Robert Zavatta, "How do foreign investors perceive Uganda, A World Bank report 1999, Kampala.

Economic policy research centre, M.U.K., "Investment, Aid & Growth in Uganda in (1997) 3 (2) Economic Policy Research Bulletin.

Uganda 2005 Investment Climate Statement from <http://www.stat.gov.ug/eb/ifb/205>

1. Advising Bank – A BANK, operating in the exporter's country that handles letters of credit for a foreign bank. This bank will notify the exporter that the credit has been opened in its favour. Although the advising bank must inform the exporter of the conditions of the letter of credit, they are not necessarily responsible for payments.
2. Advisory capacity – A term indicating that a shipper's agent or representative doesn't have the power to make a decision or adjustment without a shipper's approval. Compare without reserve.
3. Air Waybill: This is a bill of lading that covers both domestic and international flights which transports goods to a named destination. In effect, the bill represents a receipt for the shipper, indicating that the carrier has accepted the goods listed and has committed to deliver them to a named airport within certain pre-arranged conditions. It is a non-negotiable document. Compare inland Bill of Lading, Ocean Bill of Lading and through Bill of Lading.
4. Allonge: An attachment to a bill of exchange containing endorsements. This is

used when the back of the Bill has been completed.

5. Alongside Besides a ship: Goods that are delivered “alongside” are placed on the dock or barge within reach of the transport ship’s tackle. This means they can be loaded aboard the ship more easily.
6. Arbitrage buying foreign exchange, stock, bonds and other commodities in one market, then immediately selling them in in another market at higher prices.



7. Balance of trade: The difference between a country's total imports and exports. If exports exceed imports, there's a positive balance of trade to trade surplus; if not, there's trade deficit.
8. Barter trades without money in which goods are exchanged are exchanged directly for other goods. Barter is an important means of trade between countries that have currencies which are not easily convertible.
9. Beneficiary: The person in whose favour a letter of credit is issued or a draft is drawn.

10. B/E

- i. Bill Of Entry (Customs)
- ii. Bill Of Exchange
11. Bill of Entry – A written description of the nature and value of goods for customs purposes.
12. Bill of Exchange – A writing unconditional order from one person (the drawer to another (the drawee). The Bill directs the drawee to pay a specified amount to a named drawer at a fixed or yet to be agreed future date.
13. Bill of Lading contract between a shipper and a transport company setting out the charges and conditions for moving freight. The bill is usually prepared the shipper on forms issued by the carrier. It represents a document of title contract of carriage, and a receipt for goods. Also see Air Waybill, inland bills lading, Ocean Bill of lading, and Through Bill of lading.
14. Bonds/Guarantees: An irrevocable commitment by a bank to make payment provided the terms of the bond or guarantee are met.
15. Bonded warehouse: A warehouse that has been authorized by custom authorities to store goods which haven't paid any duty.
16. C & F Cost and freight (now absolute –superseded by CRF – see also incoterms 2010)
17. Carnet: A customs documents that permits the holder to temporarily carry, send goods into certain foreign countries without paying duties or posting bonds carnets help business display and demonstrate their services.
18. Cash against documents (CAD): A particular sort of payments for goods commission house or another intermediary transfer title documents to buyer when they are receive a cash payment.
19. Cash in advance (CIA) in this type of payment for goods, the buyer pays the full price before shipment is made. This method is usually only used for small purchases or when the goods are built to order.
20. Cash with order (CWO): A payment method for goods in which the buyer pay when ordering. The transaction is binding on both parties.
21. Certificate of inspection: A document certifying that merchandise was in good

condition just before it was shipped. This is often used with perishable goods.

22. Certificates of manufacture: A statement (often notarised) in which a manufacturer certifies that the goods are made and available to the buyer.



23. Certificate of origin : A document certifying the country of origin of specified goods. It is used by certain foreign countries for tariff purposes.
24. CFR Cost and Freight: A pricing term indicating that the cost of the goods and freight charges are included in the quoted price. The buyer arranges and pays insurance. But see incoterms 2010.
25. Charges forwarded charges payable by the consignee on arrival
26. Charterer party: A written contract, usually on a special form , between the owner of a vessel and a “charterer” who rents use of the vessel of a part of its freight space. The contract generally includes the freight rates and the ports involved in the transportation.
27. CIF Cost, insurance, freight: A pricing term indicating that the cost of the goods, insurance and freight are included in the quoted price. See incoterms 2010.
28. Clean Bill of lading: A receipt for goods issued by a carrier. The bill indicates that the goods were received in “apparent good order and condition” without damages or other irregularities. Compare Foul Bill of Lading.
29. Clean Draft: A draft to which no documents have been attached
30. Collection papers: All documents (commercial invoices, bills of lading, etc.) given to a buyer to receive payment for shipment.
31. Collections: A secure, universally recognized method for routing trade documentation through the banking system.
32. COD Cash on Delivery
33. Common carrier: An individual, partnership, or corporation that transport person or goods for compensation.
34. Community Transit Regime for shipping goods from one European Union country to another when not in free circulation. It also includes transit by road to one of the EFTA countries. Poland, Hungary or the CZECH or Slovak Republics. It involves the use of transit form C88 (the SAD form). The requirements also apply to certain shipments to and from Andorra, San Marino and the Channel Islands (but not for shipments between the UK and the Channel Island) the term also covers goods that are subject to EU control, for

example under CAP regulations for agricultural produce.

35. Confirmed letter of credit: A letter of credit, issued a foreign by a foreign bank, which has been validated by a UK Bank. An exporter with a confirmed letter of credit will be paid



by the UK bank even if the foreign buyer or the foreign bank default provided the CLC's terms and conditions are fully met.

- 36. Consignee: The party receiving the goods
- 37. Consignment: A shipment or delivery of goods sent at one time. Compare also (goods sold) on consignment.
- 38. Consignment Account: See on Consignment
- 39. Consignor: The sender of the goods
- 40. Consular Declaration: A formal statement made to the consul of a foreign country describing goods to be shipped.
- 41. Consular Invoice: A document required by some foreign countries describing shipment of goods and showing information such as the consignor, consignment value of the shipment. Certified by a consular official of the foreign country used by the country's Customs officials to verify the value, quantity and nature of the shipment.
- 42. Convertible Currency: A currency that can be bought and sold currencies.
- 43. Correspondent bank: A bank that, in its own country, handles the business of a foreign bank.
- 44. COT Customer's Own Transport
- 45. Countertrade Goods or services that are paid for or part of paid for by transferring goods or services from a foreign country. (See Barter)
- 46. Countervailing Duty: A duty imposed to counter unfairly subsidized products;
- 47. CPT (Carriage Paid To) and CIP (Carriage and Insurance Paid to) Pricing terms indicating that carriage and insurance, are paid to the named place of destination. For shipment by other methods than sea, they apply in place of CFR and CIF, respectively. But see Incoterms 2010
- 48. CR
 - 1. Current Rate
 - 2. Carrier's Risk
 - 3. Compound risks

49. Credit Risk Insurance: Insurance designed to cover risks of non- payment for delivered goods. Compare marine insurance.
50. 50 CRF Clean Report of Findings;

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51. Customs House Broker: An individual or firm licensed to enter and clear goods through customs;
52. Customs: The authorities that collect duties levied by a country on imports and exports. The term also applies to the procedures involved in this sort of collections;
53. C/V : Certificate of Value
54. C/VO : Certificate of Value and Origin CWE: Cleared Without Examination
55. CWO: Cash With Order
56. DAP : Delivery at Place – Pricing terms indicating that the goods are at the disposal of the buyer ready for unloading at a named place of destination. But see incoterms 2010.
57. Date Draft : A draft that matures in a specified number of days after the date it is issued, whatever date it is accepted. See also Sight Draft, and Time Draft.
58. DAT: Delivered at Terminal- Pricing terms indicating that goods are at the disposal of the buyer once unloaded at a named terminal at port or place of destination. But see incoterms 2010.
59. Deferred Payment Credit: A type of letter of credit that defers payments until an agreed point after the shipping documents have been presented by the exporter.
60. Discrepancy (letter of credit) When documents presented do not conform to the letter of credit, it is referred to as a discrepancy.
61. Dispatch: An amount paid by a vessel's operator to a charterer if loading or unloading is completed in less time than set out in the charter party.
62. Distributor: A foreign agent who sells directly for a supplier and maintains an inventory of the supplier's products.
63. Dock Receipt: A receipt issued by an ocean carrier to acknowledge receipt of a shipment at the carrier's dock or warehouse. See also warehouse receipt.
64. Documentary Draft: A draft to which documents are attached
65. Documents against Acceptance (D/A) Instructions given by a shipment bank, indicating that documents transferring title to goods should be delivered to the buyer (or drawee) only upon the buyer's acceptance of the attached draft.
66. Draft: A written order by one party for a second party to make payment to a third party. They are paper –based payments which are normally ordered advanced and posted overseas.
67. Drawee: The individual or firm on whom a draft is drawn and who owes the stated amount. Compare Drawer.
68. Drawer: The individual or firm that issues or a draft, so standing to receive the stated amount from the drawee.
69. Dumping selling goods in another country at a price below the price at which they could be sold in the home market. Or selling goods at a price below the

costs incurred in production and shipment.

70. Dunnage: Materials used for the stowage and protection of cargo.

71. Duty: A tax imposed on imports by the Customs authority of a country. Duties are generally based on the value of the goods (ad valorem duties); some other factor such as



weight or quantity (specific duties): or a combination of value and other factors (compound duties)

72. DWC : Dead-weight Capacity (of vessel to carry cargo)

73. E & OE: Errors and Omissions Excepted

74. EAPE: Exchange as Per endorsement

75. A/C Account

76. Acceptance: This term has several related meanings;

1. A time draft (or bill of exchange) that the drawee has accepted and has to pay when it matures. Once the draft is presented for acceptance, the drawee then become the “acceptor” for payment. The word “acceptance” and the date and place of payment must be written on the face of the draft.
2. The drawee’s act in receiving a draft, which commits them to pay its value when it matures.
3. Broadly speaking any agreement to purchase goods under specified terms. An agreement to purchase goods at a stated price and under stated terms.

77. Advanced Against Documents: A loan that is secured against the documents covering a shipment.

78. Advising Bank: A bank, operating in the exporter’s country, that handles letters of credit for a foreign bank. This bank will notify the exporter that the credit has been opened in its favour. Although the advising bank must inform the exporter of the conditions of the letter of credit, they are not necessarily responsible for payment.

79. Advisory capacity: A term indicating that a shipper’s agent or representative doesn’t have the power to make a decision or adjustment without a shipper’s approval. Compare without reserve;

80. Air Waybill: This is a bill of lading that covers both domestic and international flights which transport goods to a named destination. In effect, the bill represents a receipt for the shipper, indicating that the carrier has accepted the goods listed and has committed to deliver them to a named airport within certain pre-arranged conditions. It is a non- negotiable document compare inland Bill of lading, Ocean Bill of lading and through Bill of lading.

81. Balance of Trade: The difference between a country’s total imports and exports. If exports exceed imports, there’s positive balance of trade or trade surplus; if not, there’s trade deficit.

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82. Barter Trade: Without money in which goods are exchanged directly for other goods. Barter is an important means of trade between countries that have currencies which are not easily convertible.

83. B/E

- i. Bill of Entry (Customs)
- ii. Bill of Exchange

84. Beneficiary: The person in whose favour a letter of credit is issued or a draft is drawn;

85. Bf or B/fwd Brought Forward.

86. B/G : Bonded Goods.

87. BIFA: British International Freight Association

88. Bill of Entry: A written description of the nature and value of goods customs purposes.

89. Bill of exchange: A written unconditional order from one person (the drawer) to another (the drawee). The bill directs the drawee to pay a specified amount to a named drawer at a fixed or yet to be agreed future date.

90. Bill of lading: A contract between a shipper and a transport company setting out the charges and conditions for moving freight. The bill is usually prepared by the shipper on forms issued by the carrier. It represents a document of title, a contract of carriage and a receipt for goods. Also see Air Waybill, inland Bill of Lading, Ocean of Lading and through Bill of Lading.

91. BO

- 1. Buyer's Option
- 2. Branch Office

92. Bonds/Guarantees: An irrevocable commitment by a bank to make payment provided the terms of the bond or guarantee are met.

93.

Bonded Warehouse: A warehouse that has been authorized by Customs authorities to store goods which haven't paid any duty.

94. Buying Agent see purchasing Agent.

95. By collection Drafts or cheques paid by collection are returned to the bank on

which they were drawn to be paid.

96. By negotiation Drafts or cheques paid by negotiation are immediately.



97. CAD

1. Cash Against Documents
2. Commercial Agents Directive

98. Carnet: A customs document that permits the holder to temporarily carry or send good into certain foreign countries without paying duties or posting bonds Carnet help businesses display and demonstrate their services.

99. Cash Against Documents (CAD) A particular sort of payment for goods. A commission house or another intermediary transfers title documents to buyer when the receive a cash payment.

100. Cash in Advance (CIA) In this type of payment for goods, the buyer pays the full price before shipment is made. This method is usually only used for small purchases or when the goods are built for order.

101. Cash with order (CWO) : A payment method for goods in which the buyer when ordering. The transaction is binding on both parties.

102. CBD : Cash Before Delivery

103. Cert.: Certificate

104. Certificate of Inspection: A document certifying that merchandise was in good condition just before it was shipped. This is often used with perishable goods.

105. Certificate of Manufacture: A statement (often notarized) in which a manufacturer certifies that the goods are made and available to the buyer.

106. Certificate of Origin: A document certifying the country of origin of specified goods. It used by certain foreign countries for tariff purpose.

107. CFR Cost and freight: A pricing term indicating that the cost of the goods and freight charges are included in the quoted price. The buyer arranges and pays insurance. But see incoterms 2010.

- 108. CFS: Container Freight Station
- 109. CGSA: carriage of goods by sea act
- 110. Charges Forward Charges payable by the consignee on arrival.



111. Charter Party: A written contract, usually on a special form, between the owner of
a vessel and a “Charterer” who rents use of the vessel or a part of its freight space. The contract generally includes the freight rates and the ports involved in the transportation.
112. CHIEF: Customs Handling Of Import/Export Freight
113. CIA: Cash in Advance.

SECTION 2 : WHEN DOES THE CISG APPLY?

- a) The CISG provides for two ways in which it will become the law of contract first, through Article 1 (1) (a) the CISG applies when both parties to the contract of sale have their place of business in different states that are both contracting states. For example, if a company with its place of business in Singapore sells to one with its place of business in the people’s Republic of China (CRC), the CISG applies because both Singapore and the PRC are contracting state. Singapore is bound by Article 1 (1) (a) . If however a French company (France being a Contracting state) enters into a contract of sale with an Indonesian Company (Indonesian is not a contracting state as of June 2005, the CISG cannot apply through article 1 (1) (a) since one of the parties has its place of business in a non-contracting state.
- b) The United Nations Convention on Contracts for the International sale of Goods (the CISG) is one of the documents produced through the diplomatic efforts of the United Nations Commission on International Trade Law (UNCITL). The CISG attempts to bridge the gap between the different legal systems of the world, mainly between the civil law (French and German sub-traditions) and the common law (English and American sub- traditions) by creating a uniform law of the International sale of goods (preamble of the CISG) The CISG governs the formation of the contract of sales as well as the rights and obligations of the buyer and seller (including their remedies) it came into force on 1 January 1988 for those countries that were then parties to it.

The Rights and Obligations of the Parties

Obligation of the Seller

- 1.1 The obligation of the sellers are stated in very general terms at article 30 he “must deliver the goods, hand over any documents relating to them and transfer the property in the goods, as required by the contract and this convention” The transfer of property is not further mentioned. It is not governed by the CISG but the delivery and the legal warranties are further defined.

1.2 Article 31 states that if the contract (or a term of trade or a custom) does not state where the goods are to be delivered, they will be delivered by being handed over to the first carrier if the contract involves the carriage of goods: if not, by being made



available at the place of manufacturing if that place is known by the parties; and if not, then at the place of business of the seller.

1.3 Article 32 defines the obligations of the seller, in some cases, to give notice of the consignment of the goods, to insure the goods or to help in securing insurance for the goods. These obligations are usually more precisely governed by the contract or terms of trade such as the incoterms and therefore article 32 rarely applies. The seller must deliver the goods on the agreed date or during the agreed period, or in the absence of such a date, within a reasonable time (article 33). The buyer must also hand over all the relevant documents (article 34).

1.4 The seller must also deliver goods that conform to the contract (a warranty of conforming article 35). They must normally be fit for ordinary use, or for a particular purpose it that was made known to the seller and the buyer relied on the seller's skill (this by the way is inspired by the English sale of Goods Act) or must conforming to sample, interestingly the packing of the goods is made into an issue of conformity – the goods are not conforming if they are packed in a usual manner. The liability of the seller is for any lack of conformity at the time of the passing of the risks (article 36) (the CISG is not concerned with the passing of property/ownership). The seller must also guarantee that the goods are free from any right or claims by third parties (article 41 and 42). The buyer must give notice within a reasonable time to exercise a recourse under these warranties and with respect to the warranty of conformity, must do so at the latest within two years (article 39 and 43).

Obligations of the Buyer

10.4.9 In general terms, the buyer “must pay the price for the goods and take delivery of them as required by the contract and this Convention” (article 53). The CISG also determines the place (article 57) and time (article 58) of payment and notes that the payment is due without the seller having to request payment (Article 59)

REMEDIES

1. The CISG distinguishes the remedies available to the buyer (article 46 – 52) those available to the seller (article 61- 65) and those available to the seller and buyer (article 71 – 78) a distinction that will not closely adhere to in this presentation.

a. Suspension of performance

1.2 It may not sound like a remedy to common law trained lawyers but the CISG adopts something close to the civil law exception (i.e. defense) for non-

performance called in the civil law tradition the “*exception non adimpleti contractus*”- If you are not going to perform your obligation then I do not have to perform mine. Article 71 states that under some conditions “ a party may suspend the performance of his obligations if, after the conclusion of the contract it becomes apparent that the other party will not perform a substantial part of his obligations”



b. Fixing an Additional Period of Time

- 1.3 The CISG describes as a remedy the fact that one of the parties “may fix an additional period of time of reasonable length for performance by the (the other party) of his obligations” (articles 47 (1) and 63 (1)). The advantage of his remedy lies in the fact that if the other party has not performed at the end of the additional period, the aggrieved party is entitled to avoid the contract without having to prove that the breach is fundamental (articles 49 (1) (b) and 64 (1) (b)).

c. Specific performance

- 1.4 one of the differences between the common law and the civil law traditions is that in the common law an aggrieved party is usually not entitled to specific performance, an equitable remedy that is not granted as of right. In the civil law tradition the aggrieved party is usually entitled to specific performance, which may even include the right to have the goods repaired for example. It might well be that aggrieved party in most cases will ask for damages rather than specific performance, and that in some instances, it might be impossible to grant specific performance might not be granted, but in principle in in civil law the party is entitled to the performance of what was promised.

1.5 The CISG reaches a compromise between the two traditions by first acknowledging then the parties will be entitled to specific performance (article 46 and 62) but then stating that “a court is not bound to enter a judgment for specific performance unless the court would do so under its own law in respect of similar contracts of sale not governed by this Convention” (article 28). Therefore in common law jurisdictions, the courts will not grant specific performance more generously than they would under their own law.

d. Avoidance

1.6 Readers coming from the English – based common law tradition should be warned that the CISG is quite different from the common law when it comes to avoidance. In most cases, a “fundamental breach” is required for the contract to be avoided under the CISG and avoidance will never depend on whether one has breached a condition or a warranty, as is still to some extent the case in the common law. The fundamental breach under the CISG is never defined by whether a term of the contract was a condition or a warranty and defined by rather differently than the meaning given to the same terms in the common law. The CISG states that “ a breach of contract committed by one of the parties fundamental if it results in such detriment to the other party as substantially to deprive him of what he is entitled to expect under the contract unless the party is breach did not foresee and a reasonable person of the same kind in the same

circumstances would not have foreseen such a result” (article 25)

- 1.7 When the breach is fundamental, the parties are entitled to a void (article 49 (1) and 64 (1). Advance can also be declared in some cases of anticipatory fundamental breach (article 72) some other instances (for example articles 49 (1) (b) and 64 (1) (b)). The effects of the avoidance are also detailed (article 81 – 84).



e. Damages

1.8 In the CISG, the right to damages is dealt with under Article 74 which provides the “Damages for breach of contract by one party consist of a sum equal to the loss, including loss of profit, suffered by the other party as a consequence of the breach such damages may not exceed the loss which the party in breach foresaw or ought to have foreseen at the time of the conclusion of the contract, in the light of the facts and matters of which he then knew or ought to have known, as a possible consequences the breach of contract”.

f. Reduction price

1.9 Rather than damages, the buyer may ask for a reduction in price when the goods are not conforming. This remedy is inspired by the *action quanti minoris* of the civil law tradition and therefore might be unfamiliar to common law lawyers, article 50 provides that “If the goods do not conform with the contract and whether or not the price has already been paid, the buyer may reduce the price in the same proportion as the value that the goods actually delivered had at the time of the delivery bears to the value that conforming goods would have had at that time”

g. Other Provisions

There are many other provisions of the CISG which for lack of space will not be mentioned in detail. These other provisions include;

- Passing of the risks (where not governed by the contract a trade term or an In-coterm) (articles 66-67).
- Interest on damage (article 78)
- Exemptions of liability (articles 79- 80)
- Duty to preserve the goods (article 85 – 88)

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INTERNATIONAL TRADE AND BUSINESS

GENERAL INTRODUCTION

International trade covers a wide spectrum of business activity. International trade has been revolutionary due to trends in political, social and economic. The rapid global interrogation of international trade law has made rapid progress. The trading nations appear to realize that in our shrinking world the global unification of international trade law is of immense practical benefit to the international business community.

The last decade of the 1990's has been dubbed by some as the globalization decade. The current form of globalization particularly in the context of economies, finance and law draws its motive force from two mutually reinforcing sources:-

- a. The unrelenting revolution in information and communication technology (ICT)
- b. Triumph of market principles over command economies.

The revolution in ICT has led to the redefinition of the concept of time and distance; but more significantly, it has given new meaning to the term "comparative advantage".

The adoption of the market economy as the economic model of choice by many nations across the globe has resulted in greater liberalization of trade and finance.

The nations are now more inclined to international conventions aimed at global unification:- The Vienna convention on contracts for the international sale of goods 1988.

The Geneva Convention on Agency in the international sale of Goods 1993

The study of international trade law provides an approach to the understanding of modern commercial law. International trade law deals with the activities of business life and the interaction of legal institutions.

The main feature of international trade law is its sophistication and refinement. The law of export trade is the most active branch of commercial law and changes and new developments occur constantly. It is important that students of international trade and business should be in possession of the latest information/charges in the law. Reference should be made to useful information on the internet/web.

WHAT DOES INTERNATIONAL TRADE INVOLVE

International Trade involves exporting, importing, licensing, and joint ventures, direct investments overseas and barter and counter trade. The most common entry to international trade is through exporting of goods or services from Uganda to some other country.



“Export or die” was a slogan in Europe in the 10=920’s – 30’s when colonies there to realize that trade and the Inter dependence of economies were fundamental to economic survival. The International trade is different from the local Trade in the following ways;

- New needs and new tastes are different
- New and different forms of distribution duties, quotes, licenses.
- Distances are greater and therefore shipping documentations and insurance are more complicated and more costly.
- Financing and payment terms and methods are increasingly complex, vary significantly from country to country and are constantly changing.
- Cultural peculiarities pop-up.
 - How to trade with a Ugandan
 - How to trade with a Japanese
 - How to trade with a Chinese
 - How to trade with a European

You have to understand the culture and mentality of the people you are going to do business with.

International trade transactions relate to the exportation of goods or services from one country to another, which is the importing country. The conduct of export transactions can be divided into two categories:-

- a. Transactions founded on the contract for the international sale of goods.
- b. Those having as their object the supply of services abroad such as the construction of works and installation in another country.

Export transaction – contract of sale

These transactions are carried out in two ways. An exporter may sell goods directly to an importer or he may build up a marketing organization abroad and transact business through distributors, agents, branch offices or subsidiary companies.

The former type is more appropriate to cases where the export of good is secondary to the home trade or where export connections are so slender as not to warrant the establishment of a permanent representation abroad. The other form which is particularly favored by medium and large scale enterprises offers definite advantages where export trading assumes a more than casual character.

Direct export sales may be transacted regularly or may be isolated ventures into the overseas market. Trading through representation may be carried out under the direct control of an enterprises in the country as in the case of overseas branch offices and subsidiary, it may likewise be carried out by establishing a joint venture with an undertaking in the country to which the export are directed.

Export transactions for the construction of works and installations

These are major export projects involving a considerable amount of capital. They

occur particularly frequently where organization in the developing countries like Uganda – wish to

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procure the establishment of new industries in their own countries and in this case are a means of transforming technology from the industrialized to developing countries. The construction contract proceeds often by invitation of tender but there exists also other procurement methods.

Often the procurement contract provides that, when the construction is in progress or has been completed, machine or other equipment shall be supplied by the contracts on the basis of export sales.

Persons concerned with export trade include;

- ✓ Export merchants – shippers
- ✓ Manufacturers
- ✓ Bankers
- ✓ Insurers
- ✓ Carrier
- ✓ Freight forwarders
- ✓ Lawyers
- ✓ Government agencies

The contract for the international sale of goods exhibit a characteristics which is not present in contracts for the sale of goods in the home market. They are related with other contract in particular with the contract of;

- Carriage by sea
- Carriage by air
- Carriage by road
- Contract of insurance
- Shipping documents
- Bill of lading
- Marine insurance document
- Invoice
- Contract of payment i.e. letters of credit

SPECIAL TRADE TERMS IN INTERNATIONAL TRADE

This concerns the contract of sale under which the goods leave Uganda be it by sea, air or road, in containers or as ordinary cargo. All other contracts of sales though preparatory to the ultimate exportation of the goods are home transactions.

The custom of the merchants has developed a number of stereotyped trade terms peculiar to the export transaction and it is possible by the separate examination of these terms to reduce to order the numerous export arrangement , which the exporter is at liberty to make with his overseas buyer.

It is important to analyze the individual contracts which constitute the export transactions because this is the best method of appreciating the functioning of the machinery of exports as a whole.

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Export transactions based on the contract of sale usually embody trade terms which are not customary in the home trade. The most common of these terms are the FOB and the CIF, but there are other clauses which likewise call for attention like FAS, FCA, DES, EXW, DAT, etc.

These trade terms have been developed by international mercantile custom and have simplified and to a certain extent standardized, the sale of goods abroad. They are in universal use in international trade transactions.

The Ugandan exporter should make clear the meaning of a special term which he intended to adopt. He may insert a term into the contract to the effect that the contract shall in respect be governed by the law of Uganda or he may refer to trade term

Incoterms a set of standard terms sponsored by the international chamber of commerce- The recent edition is INCOTERM 2000.

The special trade terms are primarily designed to define the method of delivery of goods sold. They are also used to indicate the calculation of the purchase price and incidental charges included.

STANDARDISATION OF TERMS

The most important sets of uniform rules applying to international trade transactions are formulated by international organization which have as their object, or as one of their object, the harmonization of international trade law. These organizations are inter-governmental, region or non- governmental. They prepare international conventions, formulate rules for adoption by the parties in their contract, or engage in other harmonizing activities. The activities of these organizations are of accelerating importance, in law of progressive global integration of international trade.

Examples:

United Nations Commission on International Trade Law (UNCITRAL) Set up by UN in 1966- with an interest in the progressive harmonization of the law of international trade. The headquarters are in Vienna- UNCITRAL has published:

- The convention on the limitation period in the international sale of goods.
- UNCITRAL arbitrations rules – provides framework for international commercial arbitration and are applied where parties have agreed in writing disputes shall be settled under them.
- Convention of carriage of Goods by sea- adopted by UN in 1978 in Hamburg. These rules replaced the Hague Rules and the Hague Visby rules relating to the Bill of lading.
- Convention of on contract for the international sale of Goods- adopted by the UN in April 11980 at Vienna- It became operational on January 1, 1988 after the required number of ratification and accessions. A convention on

international Bills of exchange and international promissory/notes adopted by UN in 1988.

International chamber of commerce (ICC)

- ICC has contributed valuable publications which ease the flow of international trade.



- Incoterms- Published by ICC and have been amended from time to time. The recent version being 2000.
- The uniform customs and practice for documentary credits (1983) are widely adopted throughout the world. There is a list for countries which have adopted these rules.
- Uniform rules for a combined transport documents. Adoption of a single combined document for the transportation of goods in containers by documents for each avoid the need to issue a series of separate transport documents for each stage of the transport.
- Uniform rules of contract guarantees

UGANDA TRADE POLICY

The Ministry of Tourism, Trade and Industry (MTTI) is responsible for trade policy formulation and implementation (located at Farmers House, Parliament Avenue Opposite Ministry of Justice). Other ministries like Finance are also involved in formulation and implementation of trade policy.

Uganda has implemented significant economic reforms, including a liberalization of the trade regime, over the last decade and a half. This has attracted foreign direct investments mainly in manufacturing.

Uganda views foreign trade an important stimulus to economic growth and its trade policies aim to contribute to poverty reduction, promotion of employment and diversification and promotion of exports. These policy objectives have been pursued through continuing urbanization, deregulation, privatization and participation in regional agreements, particularly the common market for Eastern and Southern Africa (COMESA) and the East African community (EAC).

Uganda is an original member of WTO and grants treatments to all its trading partners. Uganda benefited from regular WTO technical assistance. Through membership with WTO, Uganda had adopted the laws and regulations relation to the WTO and regional trade agreement.

Uganda is striving to promote trade through regional integration especially COMESA, EAC and multilateral arrangements such as the WTO, Government putting into place means to fully exploit non- reciprocal preferred treatment available to developing countries under US, African Growth Opportunity act (AGOA) and EU- ACP Cotonou Agreement.

A deregulation programme was launched to dismantle unnecessary and regulatory procedures that may impede trade. Government is undertaking a commercial law reform to bring all trade related laws, regulations and procedures in conformity with WTO requirements.

Since 1987 the government has been implementing trade structural policing reforms, embracing liberalized system for input and output market trade instrument and tax regimes.

These reforms included liberalization of domestic and export produce markets and processing, removal of restrictive tariff and family businesses and abolition of taxes on exports.

A draft comprehensive trade policy for Uganda has been developed through the Uganda Program on Trade Opportunities and policy project (UPTOP).



Bodies that promote export trade:-

- Uganda Export Promotion Board
- Central Bank
- Uganda Chamber of Commerce
- Uganda Manufacturers' Association
- Organized Annual Agriculture Shows.

The Government exercise some control over certain aspects of exporting mainly by means of export licenses under the export Licensing Act and Customs Regulations. The promotion of exports is a matter of national importance. The government makes arrangements with a view to assisting the exporter. It also provides statutory regulations. Bodies that promote trade.

Uganda's external economic integration In order to ensure a sufficient cargo market for her commodities as well as the development of her industries. In pursuit of that objective Uganda has entered into multilateral regional and preferential trade arrangements with WTO , COMESA, EAC, Inter-governmental Authority on development (IGAD), AGOA and EU-ACP, Cotonou Agency.

For Bilateral Agreements, Uganda has bilateral trading agreements with many countries under these agreements, Uganda and the partner's accord each other most favored nation treatment in all matters relating to their mutual trade relations.

Read articles from website on:

Uganda Trade policy review – consider

- ✓ Economic environment
- ✓ Institutional Framework
- ✓ Trade policy instrument
- ✓ Sectorial Trade Policies
- ✓ Bottlenecks to Trade policy
- ✓ Reforms needed in the international trade sector.

THE WORLD TRADE ORGANISATION

The WTO is the one and only International organization that deals with the global rules of trade between nations. The WTO replaced the General Agreement on Tariff and Trade (GATT) ON January 1, 1995). The secretariat based in Geneva. Its main function is to ensure that the multilateral trading system works as smoothly, predictably and freely s possible by providing a formula for negotiating trade rights obligations and offering a dispute settlement system for resolving trade issues on commonly agreed rules.

The WTO trade agreements negotiated and passed by members are signed by a large majority of the worlds trading nations and rerified by their parliament. These agreements constitute the legal ground rules for International commerce.

Essentially there are contracts, guaranteeing member countries important trade rights.

They also bind governments to keep their trade policies within agreed limits for everybody's benefits. The

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WTO, as part of function, monitors the consistency of national policies with established trade rules and members commitment. The current round known as the Doha Development Agenda (DDA) was launched in November 2001 at Doha, Qatar. A total number of 150 member countries participate in this round.

The highest governing body of the WTO is the Ministerial Conference that meets at least once every two year and participates all member countries. The general council is the text highest governing body that oversees the day to day operations.

Although WTO agreements are negotiated and signed by governments, their ultimate objective is to help producers of goods and services, exporters and importers conduct their business smoothly and freely as possible. That is, by facilitating mutually beneficial trade agreements. The WTO strives to improve the welfare of the people of the member countries. By lowering trade barriers, and other trade related impediments, the WTO system helps break down other social cultural and political barriers between people's and nations.

Trade factors between members are resolved through the WTO's dispute settlement process where the focus is on interpreting agreements and commitments, and how to ensure trade policies of member countries conform to WTO rules. WTO is a formal and distinct organized in its own right, remains essentially a forum for trade negotiations and trade dispute resolution.

With no power of its own to enforce rules and sanctions, something that belongs to individual countries, the WTO is an organized platform that plays the role of a facilitator for individual countries to be able to create a predictable transparent and fair international trading environment.

Numerous specialized committees, working groups and working parties deal with the individual agreements and other areas such as the environment development membership applications and regional trade agreements.

Through WTO agreements, members operate a non- discriminatory trading system that spells out their rights and obligations. Each country receives guarantees that its experts will be treated fairly and consistently in other countries' markets. Each promises to do the same for imports into its own market. The system also gives developing countries some flexibility in implementing their commitments.

All WTO members must undergo periodic scrutiny, each review containing reports by the country concerned and the WTO secretariat.

Read articles must undergo as indicated on the course outline

COMMON MARKET FOR EASTERN AND SOUTHERN AFRICA (COMESA)

The common Market for eastern and Southern Africa traces its origin from preferential Trade Area for Eastern and Southern Africa (PTA) which was established

in 1982 in Lusaka. The PTA was established to take advantage of a larger market size to share the region's common heritage and destiny and to allow greater social and economic cooperation with the ultimate objective being to create an economic community.



The PTA Treaty envisaged its transformation to a common market and in conformity with this, the treaty establishing the common market for eastern and Southern Africa, COMESA was signed on 5th November 1993 in Kampala Uganda and was ratified a year later in Lilongwe Malawi in December 1994. Since 190 most COMESA countries followed an economic system which involved the state in nearly all aspects of production distribution and marketing leaving the private sector to play a minor economic role.

The creations of a unified single economic space closely linked the national economies of the member states together and significantly increase the degree of economic integration in the region.

In summary, the unified economic space with freedoms- goods, services, capital and labor- comprises the following base elements:-

- Regional market
- Macroeconomic policy coordination
- Tariffs
- Assurance of the total and irreversible convertibility of currencies.
- Full integration of banking and other financial markets.
- Pursuit of measures of the eventual creation of a monetary union.
- Free Trade Area- 9 member state eliminated their tariffs on COMESA origination products in accordance with the tariff reduction schedule adopted in 1992 for the gradual removal of tariff in intra- COMESA trade.
- The PTA has not only eliminated customs tariffs but it has also entailed the relaxation and eventual elimination of quantitative restriction and other non-tariff barriers.
- Customs union with a common external tariff under which goods and services imported from non- COMESA countries will attract an agreed single tariff in all COMESA states.

In pursuit of the above goals COMESA's mission is to endeavor to achieve sustainable economic and social progress in all member state through increased cooperation and integration in all fields or development, particularly in Trade customs and monetary affairs, transport communicating and information technology, industry and energy, etc.

Southern Africa Development Community (SADC)

FOUNDED 1992, SADC in an associating agreement with broader political and development objectives than simply a trade, but it includes trade a component, and trade liberalization negotiation are ongoing under SADC auspices , Impartially there is an employment and labor sector, as one of its core activities.

Research On: East African Community Trading

Policy Refer to the relevant websites

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FORMATION OF THE INTERNATIONAL CONTRACT PREMINARIES

The first contact between the parties may take the form for an inquiry or an invitation; such as contained in a catalogue, advertisement or an invitation to submit tenders for construction or other works. Statements made in the course of negotiations are not contractual statement, like an offer and acceptance, unless embodied in the contract.

Normally a quotation is an invitation to contract, if the parties have agreed on all the essential points but left details to be settled later, a valid contract is concluded. Such an arrangement is sometimes referred to as heads of agreements. It is for the parties to decide whether they wish to be bound and if so by what terms.

Refer to article 14 – 24 of UN Convention on contracts for International sale of Goods 1980 (CISG).

OFFER

The seller must take certain that the essential elements of the contract are clearly stated in the communications exchanged by the parties. These are:-

The purchase price and the terms of payment and the goods ordered which should be delivered without ambiguity.

The terms of delivery including instructions for packing and invoicing, transportation and insurance.

In English law, an offer can be revoked until it is accepted, unless it is supported by consideration or its expressed in form a deed.

ACCEPTANCE

Read: Article 18 -23CISG

The acceptance must be unconditional and unqualified. In *Northhorn Airlines Ltd. V Dennis Ferranti Meters Ltd.* (1970) 114 SJ 845 the seller, a company in UK negotiated with the buyer's a Canadian Company for the sale of an aircraft. The seller sent the following telegram

“Confirming sale to you, Aircraft please remit

£5,000. – The buyers replied:

“this is to confirm your cable and purchase xxx aircraft, terms set out your cable-£5,000 starting forward your laws to be held in trust for your account pending deliveryplease confirm delivery to be made 30 days within this date”

The seller did not reply but sold the aircraft to a 3rd party at a higher price. The court

of Appeal held that there was no contract. The buyer's reply introduced new terms, one as to payment and other as to delivery and the sellers were bound to reply to this contract.



The acceptance should invariably embody the seller's general conditions of business. When previous export transactions have taken place between the parties and their contracts are governed by the same conditions of sale, the buyer can be presumed to have placed his order subject to those conditions as held in *Harwich Game Farm v Suffolk Agriculture Poultry Producers ASSOCIATION* (1960) 2 AC 31.

An acceptance by the seller "subject to our conditions of sale" represents in strict law a rejection of the buyer's offer – refer to Article 19 CISG.

It is advisable to the seller to obtain the buyer's unqualified confirmation before carrying out the contract, particularly when the negotiations were conducted by correspondences.

The general rule is that the contract is made when the acceptance is communicated to the offers (Refer to law of contract instantaneous contracts – telegram, telex or fax and by post) **refer to article 23 of CISG.**

However, contract made by telex are normally regarded as instantaneous contracts. But the rule is not of universal applications as observed in *Brinibon Ltd. v Stahag* (1983) 2 AC 34.

There are many variants on it. The senders and the recipients may not be the principals to the contemplated contract. They may be servants or agents with limited authority. The message may not reach, or be intended to reach the designated receipt.

There may be some error or default at the recipient's end which prevents receipt at the time contemplated and believed in by the seller the message may have been sent/or received through machines operated by a 3rd party No universal rule can cover all such cases, they must be resolved by the reference to the intentions of the parties, the sound business practice and in some cases by the judgment where the risk should be. **Forms of acceptance**

One party send the other an order or acceptance on a printed form with an attached confirmation slip which has to be returned duly signed by the other party.

In *Compagnie de Commerce et Commission S.A.R.L v Parkinson Stove Co. Ltd.* (1953) 1 Lloyd's Rep 532, it was held that even though the confirmation slip is not returned there may be a binding contract between the parties.

Another type is obtaining the offer or written agreement to be terms of acceptance and send 2 forms of acceptance acknowledging his order and to ask him to return one, duly signed by him. These two forms should contain identical terms.

PERFORMANCE OF THE CONTRACT

Introduction:

The question which has to be examined when a dispute arises between the parties

about the delivery of the goods, the passing of the property or the risk, is whether the matter is to be considered from the point of view of Ugandan law or of foreign law prevailing in the country of the buyer. If the parties decided that the contract shall be governed by Ugandan law, then the **The Sale of goods And Supply of Services Act 2017** applies.



Parties may agree that their contract shall be governed by uniform laws on international sales such as the **UN Convention on contracts for the international sale of goods 1980** which became operational in 1988.

Delivery

If the parties had chosen Ugandan law, **The Sale of goods And Supply of Services Act 2017** will apply. **Refer to S. 36,37,39,40,53 & 62 of The Sale of goods And Supply of Services Act 2017.**

The goods are normally delivered to the buyers when he acquires custody of the goods or is enabled to exercise control over him. The place and the time of delivery in export sales are defined by special terms. CIF, FOB, FAS

Refer to Art .30 of

CISG Refer to Art. 31

of CISG **Passing of the property**

The Act provides two rules where the contract is for the sale of unascertained goods, the property does not pass to the buyer unless and until the goods are ascertained.

Where the contract is for the sale of specific goods, the property passes at such time as the parties intend it to pass.

Refer to section **22-28 The Sale of goods And Supply of Services Act**

2017 Refer to Articles 66 -69 of CISG 1980

Where the bill of lading is delivered to the buyer or his agent the inference is almost irresistible that the seller intended to transfer the property to the buyer.

In *Kwei Tek Chao v British Traders * Shippers Ltd.* (1954) 2 QB it was held that under CIF or FOB when the seller has taken out the bill of lading the bill is delivered to the buyer or agent, the inference is that the property which is intended to pass to the buyer is only condition... that the property in the goods shall revert to the seller if upon examination they are found to be not in accordance with the contract.

In exceptional cases the CIF seller may release the goods to the buyer before handing over the bill of lading by giving the buyer a delivery order on the ship.

The deliberate retention of the bill of lading by seller may indicate an intention of the parties that property shall not pass on such anticipated delivery. The retention of the title to the good is regarded as securing for the payment of the price.

Retention of title clauses

The law admits a clause which provides that the seller retain the property in the goods sold until the recovers the purchase price in cash. The clause makes the passing of property conditional on a specific event, namely the receipt of the price by the seller.



It is clear from s. 22-28 **The Sale of goods And Supply of Services Act 2017** that the clause is effective and defeats the general presumption that the property passes when the bill of lading is transferred from the seller to the buyer. These do not require registration as a charge under the companies Act (Cap 110)

The retention of title clause can be extended to provide that the buyer is he/she sells the goods shall do so as agent of the seller and shall be a trustee of the proceeds of the sale for the benefit of the seller.

This clause gives the buyer a license to sell and at the same time, attempts to safeguard the position of the seller.

In **Alluminium Industrie Vaassen Bv V Romalpa Aluminum Ltd. (1979) 1WLR 676 Aluminum** industry, a Dutch company sold a quantity of aluminum foil to Romalpa, an English company. The terms of the delivery were ex-works. The contract contained an extended title clause. A receiver was appointed for Romalpa. The court of appeal held that Aluminum Industry were entitled to the property in goods supplied by them and still being in existence. As regards the goods resold by Romalpa had acted as agents and were, therefore, in a fiduciary relationship to them.

However in **Pfeifer Weinke- Ileri GmbH & Co. v Arbuthnot Factors Ltd. (1988) 1 WLR 150** the clause was worded similar to but identical with that in Romalpa. Phillip J distinguished Romalpa and held the retention of title was invalid because it had not been registered as a clause. Essentially, the issue is one of construction of the clause. It does not require registration under the companies Act if;

- a. The seller retains the legal property in the goods. That the goods shall be kept separate from other goods in possession of the buyer and its storage be marked with the seller's name.
- b. The buyer may resell them only as agent of the seller and receive the repurchase price as agent of the seller.

Consider other cases on the subject by reading the articles Certificate of quality or inspection

These documents are used in export trade from time to time. Certificate of quality is normally arranged by exporters or a government body. A certificate should certify that the goods were of quality standards. The Uganda National Bureau of Standards can issue the certificate as well as Uganda National Chamber of Commerce or Ministries

A certificate of inspection is issued by an inspection organization, if the contract so provides. The minimum requirements for such a certificate are that the inspector has usually inspected the goods and found them to be in apparent good condition.

In **Commercial Banking Co. Of Sydney Ltd. V Jalasard PLC (1973) AC 279** it was held that if a particular method of inspection shall be adopted or particular information as the result of the



inspection shall be recorded, such as the test results of electrical appliances, the buyer expressly stipulated this.

Examples of inspection bodies include;

- a. Socete G'enerete de Surveillance SA in Geneva. It is the largest in the World.
- b. Intertek Testing Services (ITS)

The contract between the inspector organization and the client is known as the contract of goods inspection.

ACCEPTANCE AND REJECTION OF GOODS

Refer to Sec. 43-44 The Sale of goods And Supply of Services

Act 2017 Article 35 – 46 CISG

The rules relating to examination, acceptance and rejection of good are of great practical importance in international sales. Parties may apply/adopt the SGA (Sec.34) or the Vienna convention on contracts for the international sale of goods.

The general principle on which the regulations of the SGA rests is that if the buyer is deemed to have accepted the goods he/she loses his/her right to reject the. He does not lose all rights with respect to the. He can still claim damages if the value of the goods which were actually delivered is less than the value of the goods which the seller promised to supply.

Conditions or warranties

The buyer is entitled to reject if a condition relating to them is broken;

s.14 – if not in accordance with their description in the contract

s.15 (a) If they are unsuitable for the purpose for which with the knowledge of the seller.

s.16 – if they do not correspond with the sample

s. 15 (b) or with sample and

description refer to Article 35 – 44

CISG

A condition has to be distinguished from a warranty, a contract term of less significance which relapse to matters collateral to the main purpose of the contract. In case of breach of warranty the buyer is not entitled to reject the goods but may claim damages.

The point in the distinction between the buyer's right to reject the goods on the

ground that a condition of the contract is broken and his right to claim damages for damages for breach of warranty in the former instance the buyer can often claim damages on a considerably higher scale than in the latter.

Examination of goods



Sec. 34 SGA provides that unless otherwise agreed, when the seller tenders delivery of goods to the buyer, the seller is bound, on request, to afford the buyer a reasonable opportunity of examining the goods for the purpose of ascertaining whether they are in conformity with the contract.

Refer to Article 35 – 44 of CISG 1980

The place and time of the examination are the place and time of delivery of the goods. But this may be subject to the intention of the parties.

In *Saunt v Belcher Gibbons* (1920) Com. Cas 115, the court observed that in order to postpone the place of inspections, it is necessary that there should be two elements.

The original vendor must know either because he is told by necessary inference, that the goods are going further on, and the place at which he delivers must either be unsuitable in itself or the nature of packing of the goods must make inspection at the place unreasonable.

An illustration of exceptional circumstances in which the place and time of examination were postponed occurred in **B & P Wholesale Distributors v Marko Ltd. The times 1953** the buyer had an opportunity of inspecting the meat at the dock in London when it arrived but failed to avail themselves of it and had it taken to depot. In the depot the buyer noticed that the meat was not in accordance with the contract. They rejected the goods and stopped payment. Court held that the place of delivery was the dock in London but the place of examination was postponed to the buyer's depot. Court observed that it must be practicable to make a proper examination of the goods and until such opportunity was afforded to the buyer they were not delivered to have accepted the goods.

In export sales the place and time of examination are frequently not those of delivery is usually defined by the special trade clause which the parties have adopted.

Where the buyer avails himself of the opportunity or waives the right of examination is for him to decide. The buyer waives the right by refraining from inspecting the goods when given that opportunity. In such a case the buyer loses his right to reject the goods. In *Bernstein v Pamson Motors (Golders Green) Ltd.* (1987) 2 All ER220 It was held at the time of examination could have been carried out effectively, if the defect can only be discovered when the goods are used, but not on prior examination; the buyer would still be entitled to reject them for a longer than a reasonable time.

ACCEPTANCE OF GOODS

The acceptance of the goods should not be confused with their receipt or with their approval. Read : Reaflan Brown, "Acceptance in the Sale of Goods"(1988)

JBL 56

An Act inconsistent with the ownership of the seller is an act by which the buyer

behaves as if he were the owner of the goods. Any disposal of the goods e.g. a resale and dispatch or delivery of the goods to a sub-purchaser, or the pledging of them as security is an act inconsistent with the ownership of the seller.



If the contract is invisible and the buyer has accepted part of the goods, he can no longer reject the other part of the goods.

Read sec. 43 The Sale of goods And Supply of Services Act 2017

REJECTION OF GOODS

Refer to sec. 44 The Sale of goods And Supply of Services

Act 2017 Refer to article 46 (2) & (3) of CISG

A buyer who wishes to reject the goods has to intimate within a reasonable time to the seller that he refuses to accept. No form is prescribed for the notice of rejection; it may be given verbally, by telex, fax or in writing but the buyer should make certain that it reaches the seller, otherwise it is ineffective.

In **Bergace USA v Vegoil Ltd. (1984) 1 Lloyd's Rep 440, 466** it was held that unless a different intention of the parties is expressed in the contract or can be gathered from its terms by necessary implications, the buyer's right to reject the goods is postponed until the goods arrive and the buyer has a reasonable opportunity of examining them.

However, in **E.E. & Brian Smith (1928) Ltd. v Whestsheaf Mills Ltd. (1939) 2 KB 302** was held that the buyer may reject the goods even on advice having received them if the buyer notices from a provisional invoice or advice note that the seller has dispatched goods which are not in accordance with the contract.

Rejection of goods under CIF contract

The characteristics of this contract is the importance attributed to the shipping documents. In **Kwei Tek Chao v British Traders & Shippers Ltd. (1954) 2 QB 459** it was held that a disposal of the bill of lading is not necessarily an act inconsistent with the seller's ownership of the goods and that a CIF buyer does not lose his right to reject the goods by dealings with forged documents e.g. by pledging the bill of lading to a bank. Devlin J did not commit an act inconsistent with the seller's ownership in the goods and retained the right of rejecting the goods if upon examination after their arrival they were found not to be in conformity with the contract. The buyer had only conditional property, namely property conditional on the goods being in accordance with the contract.

The property in the rejected goods reverts to the seller when he accepts the

rejection. **RIGHTS OF UNPAID SELLER AGAINST GOODS**

Read : Articles 61 – 65 CISG

Read sec. 50-59 The Sale of goods And Supply of Services Act 2017

In international sales the seller normally parts with possession of the goods before receiving the purchase price because the seller wants to dispatch the goods with

expedition. The seller who parts with before obtaining the price should insert into the contract of sale a clause reserving the title in the goods until he receives the purchase price.



Sec. 51 The Sale of goods And Supply of Services Act 2017 entitles unpaid seller, who has reserved the property in the goods to without their delivery.

Refer to sec. 40

Stoppage in transit- sec 55 & 59 The Sale of goods And Supply of Services Act 2017

Stoppages in transit operate were as the seller's outstretched arm, which snatches back goods, over which has lost from the danger route leading to the insolvent buyer.

The right of stoppage can only be exercised during the transit of the goods. The goods have left the possession of the seller or agent, and ends when the goods have reached the possession of the buyer/agent.

The right operates against the goods. It aims to revert possession of the goods in the sellers as long as they are in the course of transit and enable him retain and claim a lien on them until the purchase price is paid.

The right of stoppage in transit is exercised by the seller giving notice of claim to the carrier or the carrier's principal or by the seller taking actual possession of the good if the seller can do so without breach of the peace.

The right of resale

Read. Sec. 51 (1) (c) The Sale of goods And Supply of Services Act 2017

In R.V WARD LTD. V Bignall (1967) 1 QB 534, held an unpaid seller who has not exercised the right of lien or stoppage in transit but is still in possession of the goods has likewise a right of resale.

RIGHT OF THE BUYER

Refer to sec. 47-49 The Sale of goods And Supply of Services Act 2017

Refer to Articles 45- 53 CISG 1980

The buyer may reject the seller's tendered performance if the seller has committed a major breach of contract. A major breach may be a breach of condition a frustrating breach of an nominate term or a repudiation of the contract. In practical theory . a right to terminate further performance of the contract.

However, the better view may be that the seller should, in certain circumstances be allowed to cure this defective tender by pretending confirming goods, provided sufficient time remains to enable the seller to do so.

Rejection of shipping documents

In CIF Contract, it is generally said following the judgment of Devlin J in Kwel Tek Chao V British Traders & Shippers Ltd. (1954) 2 QB 459 that a CIF buyer has two

separate rights of rejection, one relating to the document and the other to the goods themselves. The document may be rejected if they are defective on their face, for instance by being wrongly dated or by



indicating that the goods were not loaded. In good order and condition, the goods may be rejected even though the documents are in order and have been taken up and paid for if the goods themselves are seriously defective for instance by being merchantable. The buyer cannot, however, reject confirming documents because he suspects, with whatever justification, that the goods are defective.

In *Gill & Duffus v Berger* (1984) AC 382 Lord Diplock categorically asserted that a refusal by the buyer to accept the tender of shipping documents which on the face of them conform to the requirement of a CIF contract amounts to breach of condition entitling the seller to cancel the contract.

If the bill or other documents for which the contract relates, inaccurately records information which it is the function of the bill to contain, the buyer can reject it.

Scrutton J in *James Finlay Ltd. v Kwik Hoo Tong* (1929) 1 KB 400 held that it is an essential part of the CIF contract should be tendered to the buyer. A CIF buyer is therefore entitled to reject a bill of lading which is not an accurate record of the shipment of the contract goods.

In *Aron & Co. Inc. v Comptoir Wegimont* (1921) 1 KB 435 the CIF buyer rejected documents dated with the shipment period on the ground that the goods had in fact been shipped out of time. It was further held that the date on the bill was only prima facie evidence of the date of the shipment, and that the rejection was justified.

Similarly, if the bill of lading indicates that the wrong amount was loaded or does not represent the exact amount purchased it can be rejected. In *Re Keighley, Maxted & Co. and Bryan Durant & Co* (1894) 155 LT 155, the sellers tendered bills of lading for an amount in excess of that which the buyers had agreed to buy, the seller contended that this was a good tender since the contract contained a provision allowing them to ship excess amounts which were to be for their own account. The court of Appeal rejected this contention and stated that if the contract had simply constituted a good tender.

Damages following acceptance of latently defective documents

The documents may conceal a defect in the goods of the circumstances of their shipments, which ought to have been shown the buyer may accept both goods and documents and eventually find the goods defective or documents misleading.

In *Taylor & Sons Ltd. v Bank of Athens* (1922) Com Cas 142 the buyers claimed damages for late shipment, having accepted a misdated bill of lading and the goods themselves in the belief that they were shipped in time. The court awarded them only nominal damages, on the ground that the breach must be treated as a breach of warranty, and no difference was shown between the value of the goods as actually shipped and the value of the goods shipped during the contract period.

In *Proctor & Gamble Ltd. v. Becher GmbH* (1988) 2 LIR 21 the CCA refused a situation in which the goods had in fact been shipped within the shipment period but the bill of lading nevertheless bore the wrong date of shipment, the court accepted that it is a condition of a CIF contract that the bill of lading carry the correct date, and that the buyers would certainly have rejected the documents had they known of the defective documents.



Buyer's right to damages

Read sec. 47 –53 The Sale of goods And Supply of Services Act 2017

The buyer instead of rejecting and cancelling may seek damages when the buyer claims damages for non-delivery the buyer will ordinary recover the difference between the contract price of the goods and the market price at the time they should have been delivered.

In *Sharpe v Nosawa* (1917) 2 KB 814, it was held that in a CIF Sale in which the seller fails to tender documents or tenders defective documents which are rejected, the market price of the goods at the date correct documents should have been tendered provides the appropriate measure.

In FOB, Damages for breach are calculated against the market price at the place where the buyer is able to examine the goods as held in *Van Den Hurk v Martens & Co. Ltd* (1920) 1 kb 85o.

IMPLIED

TERMS Art 35

CISG

The terms in contract of sale under sec. 13- 18 of **The Sale of goods And Supply of Services Act 2017** apply to overseas sales. These implied term are discussed elsewhere in the **SGA** and in law of contract, but something must be said here about the requirement in overseas sales.

Sale by description

The requirement that goods must correspond to their description is a very strict one, entitling the buyer to reject the goods on trivial discrepancies and to do so even though the failure of the seller to deliver goods of the contract description in does not in the least prejudice the buyer.

In *Acro v Ronaasen* (1933) AC 470 a contract for the sale of barrel staves, CIF River Thames allowed for some variations in length and breath, but none in which was required to be exactly half an inch. On arrival 95% of the staves were found to exceed the required by up one length of an inch (25%). The buyers rejected the goods. The house of Lords held that they were entitled to do so. It was irrelevant in their opinion that the goods were merchantable and fit for their purpose.

In *Taylor v Buyers* (1922) NZLR 627 the issue was whether or not a particular car was sold by the defendant to the plaintiff was new. The court held that the sale of specific goods is the identification of articles and sold by reference to the class of things to which it belongs. For the purpose every description is material, whether it relates to quantity or quality. The buyer is not bound to accept any goods which fail in

any respect whatever to confirm to the contractual description of the goods bargained for.

As *Ashington Piggeris Ltd. v Christopher Hill Ltd.* (1977) 441 (HL) the defendant sold mink food to a bleeder. The food was compounded to a formula. Invented by the bleeder himself and include herring meal as an ingredients. Unknown to the parties, the herring meal used by the seller had been preserved with a salt which, interacting with the meal itself produced a chemical which was fatal to mink. The buyers claimed that the mink food did not correspond with its



description. The house of Lords by majority held at even though it had proved deadly to the very animals it was supposed to nourish.

Merchantable

quality Sec 15

(b)SGA

Article 35 CISG

The concept of merchantable quality has proved to be one of the most intractable in the history of the sale of goods decisions.

The house of Lords in *Kendall Sons v Lillico & Sons Ltd.* (1996) 2 AC 31 took a hypothetical question “can one realistically envisage an ordinary reasonable purchaser who would wish to buy at around the agreed price knowing of all their defects both patent and hidden.

Here the defendants sold Brazilian groundnut extract, which they had themselves bought a float. The plaintiff buyers in turn sold it to a another SPPA who took delivery soon after the arrival of the carrying vessel, SPPA used it to compound a feed which was purchased by the Hardwicke Gowe Farm, who fed it to young turkeys. The turkeys died, since the ground nut extract was contaminated with a chemical which was fatal to chicks.

At some point between the death of the birds and the date of the trial, it became known that contaminated Brazilian groundnut extract could be safely used in cattle feed.

A bare majority of the House of lords held that this later knowledge must be taken into account in assessing the merchantability of the groundnuts extract sold by the defendant to the first plaintiff. Since the time of the trial it could be found for the product in its contaminated state, it was by definition merchantable i.e. saleable.

Fitness for purpose

Refer to sec. 15 The Sale of goods And Supply of Services

Act 2017 Refer to Article 35 (2) CISG

It has been applied in a number of cases in which the buyer has relied on the seller's skill of judgment to supply goods capable of enduring a transit made known to the seller of to pack them adequately for such purpose. This condition arises whenever the buyer makes known any particular purpose for which the goods are being bought.

A particular purpose is simply stated or specified purpose and it may be communicated expressly or implicitly.

The issue attached to the seller is that a buyer gives his seller sufficient information regarding the intended use to enable the seller to exercise professional care in selecting the appropriate items to fulfill the contract.

The crucial question is whether the seller would have delivered different goods had he been given further details. If he would not, then the further details are superfluous.



There must be reasonable reliance for liability to arise, In *Telegram –Europe Co. v S.T Belton* (1968) 2 QB 545 Person buyers purchases air compressors from English sellers. The sellers were aware that the compressors were bought for resale, in Persia. They turned out to be unsuitable for use in that country. The Court of Appeal held that the sellers were not liable. It was not enough that the sellers knew of the buyers intended and the seller nothing. In such circumstances, it could not be said that, the buyers relied on the sellers or if they did, that the reliance was reasonable.

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CIF (COST, INSURANCE & FREIGHT)

Incoterms 2000

By the 1920's commercial traders had developed a set of trade terms to describe their rights and liabilities with regard to the sale and transport of goods. These trade terms consisted of short abbreviations for lengthy contract provisions. Unfortunately, there was no uniform interpretation of them in all countries and therefore misunderstandings often arose in across border countries.

To improve this aspect of international trade, the international chamber of commerce (ICC) in Paris developed INCOTERMS (International commercial terms) a set of uniform rules for the interpretation of international commercial terms defining the costs, risk and obligations of buyers and sellers in International transactions. First published in 1936, these rules have been periodically revised to account for changing models of transport and document delivery. The current version is incoterms 2000. A variety of contract are derived from incoterms 2000.

Incoterms are not implied into contracts for the sale of goods. If you desire to use incoterms, you must specifically include them in your contract. Incoterms 2000 may be included in sales contract if the parties desire the following;

- a. To include each contracting party's costs, risk and obligations with regard to delivery of the goods as follows;
 - When is the delivery completed?
 - How does a party ensure that the other party has met that standard of conduct?
 - Which party must comply with requisite licences and government – imposed formalities.
 - What are the mode and terms of carriage?
 - What are the delivery terms and what is required as proof of delivery?
 - When is the risk or loss transferred from the seller to the buyer?
 - How will transport costs be delivered between the parties?
- b. To establish basic terms of transport and delivery in a short format.

Incoterms Do NOT:

Incoterms 2000 are not sufficient on their own to express the full intent of the parties.

They will not;

- a. Apply to contracts for services



- b. Define contractual rights and obligations other than for delivery
- c. Specify details of the transfer, transport and delivery of the goods
- d. Protect a party from his/her own risk of loss
- e. Cover the goods before or after delivery
- f. Define the remedies for breach of contract.

The nature of a CIF contract

The essential characteristic of CIF contract of sale is that, while the seller undertakes to be responsible for transportation and insurance cover to be named destination, the buyer nevertheless agrees to pay, not against delivery of the goods to the destination, but against tender of a set of documents comprising **of invoice, bill of lading and the insurance policy**.

CIF is more widely and more frequently in use than any other contract used in international trade. Lord Porter in *Compatoir D'Achat v Luis de Ridder, the Julia* (1949) AC 293, 309 indicate the general characteristic of the CIF Stipulation:

The obligation imposed on a seller under a CIF contract are well known and in the ordinary case include the tender of a bill of lading covering the goods contracted to be sold and no others coupled with an insurance policy in the normal form and accompanied by an invoice which shows the price and Usually contains a deduction of the freight which the buyer pays before delivery at the port of discharge. Against the tender of these documents, the purchaser must pay the price. In such a case, the property may pass either on shipment or on tender, the risk generally passes on shipment or as from shipment but possession does not pass until the documents which represent the goods are handed over in exchange for the price. In the result, the buyer, after receipt of the document can claim against the ship for the breach of the contract and against the underwriters for any loss covered by the policy. The strict form of CIF may however be modified.

Until as late 1911, it seems to have been arguable that unless there was an express stipulation to the contrary, the buyers obligation to pay arose only upon delivery of the goods at the port of discharge.

In *Biddell Bros v Clements Horst Co.* (1911) 1 KB 214, CIF Buyers informed their sellers that they were not prepared to pay for the goods before arrival. The seller in consequence declined to ship the goods. The house of Lords held that possessions must be deemed to have been given when the goods were loaded and the documents tendered to the buyers. A buyer who has paid against conferring documents can nevertheless reject the goods if, on arrival, they are found not to be of contractual standard. From loading onwards, the buyers risk for any accidental loss, damage or deterioration. The seller's obligations are satisfied once he has loaded conforming goods on board.

In CIF transaction, the embarkation of the goods and the subsequent tender of the relevant documentation replace physical delivery and the transference of property as the salient incidents in the contract of sales.

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From the legal point of view, the situation is complicated because the CIF transaction embodies, by necessity, elements of three contracts:-

- The contract of sale
- The contract of carriage by sea
- The contract of marine insurance

These complications have in the past given rise to litigation but most of them can now be regarded as settled by precedent:

Sale of documents/sale of goods

In *Arnold Karberg & Co. v Blythe* (1915) 2 KB 388, Scutcheon J. felt it appropriate to refer to a CIF contract as a sale, not of goods, but of documents relating to goods. CIF contracts made in 1914 between English parties called for shipment of goods from China to Europe. The sellers arranged for shipment aboard a German registered vessel. Documents were tendered and rejected by the buyer. By this time, following the outbreak of war, the German carrier had taken refuge in neutral harbors. The question whether the sellers were entitled to be paid, even though the goods were tied up in definitely many miles away, was decided in favour of the buyer. The fact that the goods might never arrive, certainly not in the predictable future, was considered irrelevant. The tender of documents might have been impeccable and discharged the seller's duty, even if to the seller's knowledge, the carrying ships were already at the bottom of the sea when the tenders were made.

The documentary nature of CIF contract was defined by Scutcheon J. in *Arnold Karberg & Co. v Blythe* Green & Co. (supra)

It is not a contract that goods shall arrive but a contract to ship goods complying with a contract of sale otherwise provided, the ordinary contract of carriage to the place of destination and the ordinary contract of insurance of the goods on that voyage and to tender those documents against payment of the contract price.

In such a case, the insurance policy would come into its own taking over the role of the invoice and bill of lading. The insurance policy enables the buyer to claim the insured value of goods that do not arrive.

Goods lost through an uninsured peril are at the buyer's risk, provided the seller has supplied the usual insurance cover. The case emphasizes that the documents must be good, capable of being enforced or their benefits otherwise enjoyed at the moment of tender.

In *Mander Sackherine Co. v. Corn Products C. Ltd.* (1919) 1 KB 198, McCardie J said:

The essential feature of an ordinary CIF contract as compared with an ordinary contract for the sale of goods rests in the fact that the performance of the bargain is to be fulfilled by delivery of documents by the vendor. All that the buyer can call for is delivery of the customary documents. This represents the measure of the buyer's

right and the extent of the vendor's duty. The buyer cannot refuse the documents and ask for the actual goods, nor can the vendor withhold the documents and tender the goods they represent.



CIF designation

In Biddell's case, the House of Lords established that the CIF designation indicated a particular type of contract, with its own peculiar incidents and implications.

Obligations of the seller

These were outlined by Hamilton J in the course of his judgment in *Biddell Bros v E. Clement Horst*.

- a. To ship at the port of shipment goods of the description contained in the contract.
- b. To procure a contract of carriage by sea under which the goods will be delivered at the destination contemplated by the contract.
- c. To arrange for an insurance policy upon the terms current in the trade which will be available for the benefit of the buyer.
- d. To make out an invoice which normally will debit the buyer with the agreed price of the actual cost, commission charges, freight and insurance premium and credit him for the amount of the freight which he will have to pay to the ship owner on delivery of the goods at the port of destination.
- e. To tender these documents to the buyer, so that he may know what freight he has to pay and obtain delivery of the goods, if they arrive or recover for their loss, if they're lost on the voyage.

They must actually ship the goods. The seller is responsible for the goods being loaded on board. It is however sufficient that the goods have been made ready for shipment, for instance by delivering them to carrier ready for loading unless the contract so provides.

In *Hidley & Co. v East Indian Produce* (1973) 2 LIR 515 the defendant sellers sold 50 tons of Siamese rubber to the plaintiff buyers CIF Bremen. The seller has bought the rubber afloat, or so they believed. In fact, the documents were superficially in order, no rubber had ever been loaded on board the designated vessel. nevertheless, the documents claimed to have performed their duties as CIF seller by tendering apparently conforming documents. They founded this contention upon the admitted fact that they had not been parties to the original shipment, but merely an intermediate party in a string of sales. Kerr

J. held that in CIF remains the sales of goods and the duty of the seller either to ship contract goods or if the seller is selling goods which the seller has bought afloat, the undertaking that such goods have actually been shipped is fundamental. The presentation of an apparently satisfactory bill of lading is insufficient, if there is no actual shipment. The goods must be put on board the correct vessel (ship) specified in the contract, bound for the nominated destination by the designated route.

Time of shipment

This is the seller's duty to ship within a certain time. A CIF contract will usually specify the loading date or period. A reasonable time will be allowed.

Read: Article 33 CISG 1980

Article 43 CISG 1980



The obligation to load in time is generally regarded as a major term or conditions of the contract. Its breach therefore entitles the buyer to cancel the contract without proof of loss.

In *Bowes v Shand* (1977) AC 455 seller of rice sought damages for non-acceptance of the goods. Sellers were allowed the month of March and April in which to load. In the event 7-8 of the total quantity was put on board during 3 days of late February. Bills of lading were issued for the amounts loaded on each of those days. The balances were finally loaded by 3rd March. The buyers pleaded that the rice had not been loaded during the period specified in the contract and that they were consequently not bound to accept. The House of Lords held that the stipulation as to shipment was furthermore a part of the description of the goods. Rice shipped out of time whether prematurely or belated was different commercial entity from rice shipped within the designated period.

The principle from this case is that stipulation as to time of shipment has the presumptive status of a condition

Ports of shipment and discharge

It is the seller's duty that goods must be shipped aboard a particular vessel. In *Thomas Borthwick Ltd. v Bunge Ltd.* (1969) 1 LIR 17 a contract for the sale of Soya bean meal CIF Avonmouth provided that shipment was to be aboard The Bristol City (expected ready to load between the 3rd and 5th of January) or substitute vessel. It proved impossible to load onto the Bristol City, and the seller eventually shipped on the Montreal City, which issued bills of lading of 27th January. The buyers refused to accept the tender of these bills. It was held that as a matter of construction, the contract did not fit the time of performance and that of construction, that the seller were not restricted to loading an alternative ship, which was also expected to load within the given days, or one which the ship owners had put into service in place of Bristol City. It was sufficient that it was unable to make the goods and that the substitute was ready within a reasonable time of making the contract whether it is the term of the contract that the goods be shipped to a particular port may also be a matter of construction.

The port of discharge is obviously crucial in CIF contract. It may be named specifically or chosen from a set of named ports or from a geographical range.

Contract of affreightment

A CIF seller is not liable should the goods fail to arrive at their final destination provided confirming goods were shipped. The seller must effect a contract for the carriage of the goods to their destination, but the seller is under no obligation to ensure their ultimate arrival.

The precise extent of the obligation will depend upon the "commercial nature or purpose of the adventure that is the subject of the contract" as decided in

Tsakeroglou v Noble Thorl (1962) AC 93

The duty to procure a contract does not require that the seller actually makes the contract with a carrier. The duty is to obtain a contract or carriage direct/agent. It is the duty of the seller to obtain a contract on terms which are current or usual at the time the contract of carriage is made.



Tsakeroglou v Noblee (Suez Canal case) a CIF seller sold quantity of Sudanese groundnuts to be shipped from a East African port to Hamburg during the month of November or December 1956. At the time the contract was made, the usual route from West Africa to Europe lay through the Suez canal. During the two shipping months, however, the Canal was unexpectedly closed. An alternative route via the Cape of Good Hope allowed a journey of over 11,000 miles against of less than 4500 through the Suez Canal. Freight rates at the beginning of the shipment period were 25% higher than the had been at the time the contract of sale was made, by it they doubled. The sellers refused to ship the goods , arguing that unanticipated changed had frustrated the contract of sale. The new state of things was not within the ambit of their contractual risk, and did not represent the sort of circumstances in which they had agreed to deliver.

The house of Lords rejected this and held that the seller must ship by the route which is customary or usual at the date of shipment not the date of CIF contract. There was a stipulated time for delivery and the goods were not required for any seasonable market. The seller had duty to ship on a condition whereby they can withstand the rigours of the journey.

The CIF seller is under no obligation to ensure the arrival of the goods at their destination. The delivery obligations are satisfied upon shipment.

In **Collins & Shields v Weddel & Co. (1952) 2 All ER 337** a seller sold ox-hides for delivery at Liverpool. Goods were placed soon the vessel bound for Manchester and a bill of lading was issued for that destination. The buyers contended that a valid delivery order can only emanate from valid bill of lading, and a valid bill of lading was one which evidenced shipment to the contract destination. Court held that a CIF seller must ensure that a bill of lading made out to the contract destinations is tendered to the buyer.

Duty to arrange for insurance Refer to marine Insurance Act

A question arises as in connection with the terms of the contract of carriage is what time do we determined whether of not the terms of the insurance are those current in the trade. *Tsakeraglou's* case shows that in the contract of carriage the relevant time is when the contract of carriage is made.

In **Groom v Barber (1915) 1 kb 316** a CIF seller sought damages against their buyers for non- acceptance of documents. The goods to which the documents related had been lost by the sinking of the ship during the war. This occurred after the contract was made but prior to the tender of the documents. The buyers contended that the insurance cover which the sellers has effected was not on the usual terms since it did not cover war risk. Atkin decided that what is usual is to be judged at the time the contract of sale was made. If circumstance change in the interval between making the

contract of sale and taking out the insurance the seller is nevertheless entitled to effect cover which is no longer normal.

If circumstances change in the interval between the making of the contract of sale and its implementation, and risks increase, the seller is under duty to notify the buyer so that the buyer can make out extra insurance cover.



See 32 (4) of goods Act

In the absence of a contrary agreement, the buyer is entitled to be given policy of insurance and may therefore reject anything less, such as certificate or broker's cover.

In **Diamond Alkali Export Corp. v Bourgeois (192) 3 kb 443** court held at the full terms of the policy of insurance would not be included and that the buyer would have no way of knowing them unless the buyer had access to the policy itself.

Duty to make out an invoice

3. The invoice must be completed in strict agreement with the terms of the contract. The invoice itemizes the goods and services for which the buyer is to pay the effect of an error in invoice was considered in **Berg & Sons v Landawer (1925)23 LIL 249**, a contract for the sale of peas provided that the seller should tender a provisional invoice giving the name of the carrying ship and the date on which the bill of lading was made out. By a clerical mistake the invoice gave the date of the bill as 1st Feb, when the contract date was 2nd Fe, both dates. However, fell within the shipping period. The buyer refused to accept the goods , on the ground that correct dating of the invoice was a condition of the contract. Court held at the purpose of the provision was to enable the buyer to know as accurately as possible. Exactly where they stood. All such terms were therefore prima facie to be regarded as conditions. The buyer's repudiation was therefore justified.

4. Tendering conforming documents

The final duty is to tender documents representing the contracts of sales carriage and insurance to the buyer plus any other documents for which the contract may call such as pre-shipment certificate of inspection, certificate of origin, export licenses etc.. all documents must be valid and effective at the time of presentation.

The bill of lading must give the buyer continuous documentary cover. The protection which the bill ensures must operate from the beginning of the contract voyage to the end, without break or interruption and confer direct rights of suit against a responsible carrier. The CIF buyer is entitled to reject a bill whereby the carrier who issued it purports to limit liability to limit part of the carriage.

In **Holland Columbo Trading Society Ltd. V Sengu Mohammed Khaja Alawdeen (1954) 2 LIR 45**, the privy council held that a bill of lading with but a bill of lading with a Trans-shipment clause is not necessarily a bad tender under a CIF contract, but a bill of lading issued by a ship owner who by the transshipment terms in it declares all liability in respect of the goods in the event and from the time of Trans-shipment fails to give the goods in the event and from the time outset to which the CIF buyer is entitled.

In Toepfer v Lenersan poortman NV (1980) 1 LIR 143 contract for payment not later than 20 days after date on the bill of lading. Bills were issued on 11th Dec 9 days later carrying ship ran a ground. The cargo was transshipped and arrival sometime in April, delivery orders tendered to buyer as being out of time. Court of appeal decided that the provisions relating to payment was due and that it was the duty of the seller to tender documents in time for the buyers to effect payment on the due date. Obligation of keeping with time of performance obligation was a condition of the contract.



Curing a defective tender?

The question whether a CIF seller can withdraw the tender of defective documents and retender conforming ones was considered in *Proctor & Gable v. Becher* (1988) 1 LIR 88, an incorrectly dated bill of lading was tendered. Leggatt J. observed that the buyers could have rejected the bill the seller would still have been able to represent it. The court said that it was open to CIF sellers to make a second tender if they could.

Devlin J. observed in *Kwei Tek Chao v. British Traders & Shippers Ltd.* (1954) 2 QB 455 it was held that the right to reject the documents rises when the documents are tendered and the right to reject the goods when they are landed and when after examination they are not found to be in conformity with the contract.

SPECIFIC CONTRACTUAL ISSUES

It may happen that the commercial aims which the parties pursued when concluding the contract are defeated through no fault of their own but by the force of supervening circumstances. The situation existing at the conclusion of the contract may subsequently have changed so completely that the parties, acting as reasonable men would not have made the contract or would have made it differently had they known that was going to happen.

Read: Article 79 CISG

In English law, the principle on which the doctrine of frustration is founded are well settled. But whether in a particular case the circumstances qualify as frustrating even is often difficult to decide.

The question of frustration is in the words of Lord Diplock in *Pioneer Shipping Ltd. v. B.T.P. Tioxide Ltd.*

The M/S Nema (1982) AC 724

Never a pure question of fact but in the ultimate analysis involve a conclusion of law as to whether the frustration event or series of events has made performance of the contract a thing radically different from which was undertaken by the contract.

In *T.S. M. S. S. v. Noble Thor GmbH* (1962) AC 93 (Suez Canal case) a CIF seller sold quantity of Sudanese groundnuts to be shipped from East African port to Hamburg during the month of November or December 1956. At the time the contract was made, the usual route from East Africa to Europe lay through the Suez Canal. During the two shipping months, however, the Canal was unexpectedly closed. An alternative route via the Cape of Good Hope allowed a journey of over 11,000 miles against of less than 4500 through the Suez Canal. Freight rates at the beginning of the shipment period were 25% higher than they had been at the time the contract of sale was made, by it they doubled. The sellers refused to ship the goods, arguing that unanticipated changes had frustrated the contract of sale. The new state of things was not within the ambit of their contractual risk and did not represent the sort of

circumstances in which they had agreed to deliver.

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The House of Lords rejected this and held that the seller must ship by the route which is customary or usual at the date of shipment not the date of CIF contract. There was a stipulated time for delivery and the goods were not required for any seasonal market. The seller had duty to ship on a condition whereby they can withstand the rigours of the journey.

The doctrine of commercial frustration is of great importance in international trade transactions because they imply a greater element of uncertainty than home transactions in consequences of the fact they are subject to political and economic influences in foreign countries.

Not every turn of events which the parties did not expect satisfies the test. In *Parsons v. United Fruit Co.* (1952) AC 866 at 879 Lord Radcliffe said;

Frustration occurs whenever the law recognizes that without default of each party a contractual obligation has become incapable of being performed because the circumstances in which performance is called for would render it a thing radically different from that which was undertaken by the contract.

Conditions upon which contract is frustrated

a. Destruction of subject matter

In *Vitol SA v. Esso Australia Ltd.*, The *Wise*, The time, February 1, 1988 during the War in Iraq and Iran in 1986, a Vessel which was to carry the sold goods premium motor spirit – from a port at the Gulf to ports in Australia had become impossible and the buyers successfully claimed that the contract of sale was frustrated.

Frustration cannot be pleaded if the event which made performance impossible existed already before the conclusion of the contract and could have been covered by an appropriate clause in contract as decided in *Euromark v. Minter* (1978) 2 Lloyd's Rep 215.

b. Illegality

Outbreak of war and trading with the enemy. The same is true if in the course of the war the importer's country has passed under the control of the enemy.

Fibrosa Spolka v. Fairbairn Lawson & Crompton (1943) AC 32, in this case the appellants ordered some machinery from respondents for delivery to their factory in Poland, paying Bp 1,000 in advance by virtue of the terms of the contract. In 1939 German invaded Poland and the contract became frustrated. The London agent for the appellants asked the return of their Bp 1,000 but the respondent refused. On the basis that a substantial amount of time and money had already been expended on the order. House of Lords allowed the claim, which of necessity was based in quasi-contract since the contract had ceased to exist by virtue of the supervening event. The house of

Lords decided that there had been a total failure of consideration. The appellants had not received anything under the contract monies they had paid.

c. Export and import prohibition

Government placing and embargo on the exportation or importation of the goods sold. Refer to Sec. 8 and 9 external Trade Act.



A prohibition does not make the contract illegal from the beginning but may discharge it under the doctrine of frustration.

The ground of discharge is not physical impossibility but rather than the consideration of public policy that parties should be given no incentive to perform contract affected by supervening illegality.

The rule that a subsequent government prohibition operates as a frustrating event only if it covers the whole of the contract period applies likewise if the prohibition does not come into operation at once and exporters are allowed a time of grace during which they may perform existing contracts.

In *Andrew Miller & Co. Ltd. V. Taylor & Co. Ltd.* (1916) 1 KB 403, it was held that an embargo on the export of confectionary imported by the government in 1914 did not frustrate a sale of goods for export to Morocco, as the embargo was only temporary and had been withdrawn by a subsequent proclamation before the end of a contract period.

d. Fundamental change in circumstances

A contract is further frustrated if, after it was made such a radical change of circumstances has occurred that the foundation of the contract has gone and the contract, if kept alive would amount to a new and different contract from that originally concluded by the parties.

How difficult it is to contend successfully that a change in circumstances is so fundamental that it results in frustration, may be seen from the Suez Canal cases.

The *Evia No. 1* (1983) and *Chrysalis* (1983) 1 WLR 1469 indicate that frustration is a legal conclusion which should not be reached lightly and prematurely. The outbreak of war between two foreign countries does not normally act as a frustrating event but that effect of such war may lead to frustration.

e. Export and import licenses and quotas Refer to sec. 7 external trade Act

Where a contract cannot be performed because the license is not granted or the quota is too small. It is often concluded that the contract is frustrated. It is better to include a term "subject to license" subject to quota or a similar term making it conditional.

Effect of frustration

The consequences of frustration have been stated by Lord Simon LC in *Joseph Constantine Steam Ship Line Ltd. V Imperial Smelting Corp.* (1942) AC that when frustration in the legal sense occurs, it does not merely provide one party with a defense in an action brought by the other. It kills the contract itself and discharges both parties automatically.

The contract is consequently avoided as from the date when the frustrating event occurs. The liability of the parties in respect of the future performance of the contract is discharged are all that remain to be done is to provide for an adjustment of their mutual rights and liability which arose under the contract prior to the time of discharge.



2. Force Majeure Clause.

It may be wiser for the parties to introduce a clause in their agreement defining in advance their mutual rights, and duties of certain events beyond their control occur whether or not such events results in the eyes of the law, in the frustration of the contract or not. Such clauses are known as force Majeur clause.

The effect of the clause may vary with each instrument. The parties define the amount of the clause in considerable detail, as may be illustrated by the following clause.

Strikes, lockout, labour discharge, anomalous working conditions, accidents to machinery, delays en route, policies or restrictions of government, including restrictions on export/import or other licenses (whether declared or not) not, civil disturbances, fine act of God, or any other contingency whatsoever beyond the control of either party, to be sufficient exercise for any delay or non-performance traceable to of these case.

If the clause, as a matter of construction, deals with the event that has occurred, then the courts will not deem that the contract has been frustrated. The clause must be capable of dealing with any form that the contingency may take, no matter how serious, otherwise it will not prevent the operation of the doctrine of frustration.

In Jackson v Union Marine Insurance Co. Ltd. (1874) LR 10 CP 125, a ship was chartered to sail “with all possible dispatch” from Liverpool to Newport to pick up a cargo and then to proceed to San Francisco dangers and accidents of navigation expected. The ship ran aground one day out from Liverpool. Therapies took eight months to complete, during which time charterer repudiated the contract. It was held that despite the force majeure clause the contract was still frustrated. Undoubtedly the clause took account of the contingency that had occurred but it was not designed to cover damages and occurred but it was not designed to cover damages and delay of such an extensive nature. It was considered that if the contract had been upheld and a voyage to San Francisco had taken place the venture would have been entirely different commercially.

The effect of the clause

These clauses provide for the extension of time of permanence or the automatic suspension or cancellation of the contract in case of the occurrence of the distinctive element sometimes, they give each party or one of the party only an option of the suspending or canceling the contract in that event.

3. The law governing the contract

According to English law, a contract is governed by the law which the parties intend to apply to their agreements of if they have not formed such intention, the law with which the contract is most closely connected sale of goods abroad are well advised to

provide to their contract.

The parties may submit their contract to any legal system which they like to elect. In *Dundel ITd v Gilman & Co (Australia) Pty Ltd.* (1968) 2 Lloyd's Rep 394, it was held that submission to the



law of a particular legal system does not necessarily mean that there is a submission to the function of the courts of that country. If that is intended, it should be expressly stated.

In *Amin Rasheed Shipping Corp. v Kuwait Insurance Co.* (1984) AC 50, It was held that the proper law was English law but that the courts of Kuwait had Jurisdiction.

Lord Simmond in *Bonython v commonwealth of Australia* (1951) AC 201.

The proper law of the contract is the system of law by reference to which the contract was made or that with which the transaction had its closet and real connection.

The proper law is ascertained by reference to system of law and not a particular country but that legal system is normally the legal system applied in a particular country or locality.

The law which the contract is most closely connected:

- a. Form of contract
- b. The place where the contract was concluded.
- c. The contract where the contract is to be concluded (see *compagnie d'Armement Maritime SA v Compagnie Tunisienne de Navigation* (1971) AC 572.
- d. The place where the arbitration is to be held.
- e. Other clauses
 - Name and addresses of the parties
 - Quantity
 - Total value of the contract
 - Terms of delivery
 - Period of delivery/shipment, etc.
 - Inspection
 - Taxes, duties and charges
 - Part-shipment/transshipment
 - Packing , labeling and marketing
 - Term of payment- amount, mode & currency
 - Discount and commissions
 - Licenses and permits
 - Insurance
 - Delay in delivery
 - Documents required
 - Quartees
 - Penalty liquidated clause
 - Chaise of jurisdiction
 - Arbitration/dispute settlement
 - Authorized signatory
 - Etc.

F.O.B (FREE ON BOARD) CONTRACT

Name part of shipment

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The seller when selling FOB (Free on board) assumes further responsibility. The seller undertakes to place the good on board a ship that has been named by the buyer and that is berthed at the agreed port of shipment. All charges incurred up to and including the delivery of the goods on board ship have to be borne by the seller while the buyer has to all subsequent charges such as the storage of goods in or on board ship, freight and marine insurance as well as unloading charges, input, duties and other incidental charges due on arrival of the consignment in the port of arrival.

In *Wimble Sons & Co. Ltd. V Rosenbergs & Sons* (1913) 3 KB 743 it was held that an FOB contract is one under which the seller put the goods on board at the seller's own expenses on account of the buyer.

In *Prynean v Scindia Navigation* (1952) 2 QB 402 the plaintiff sold certain machines FOB London with the buyers making all arrangement for carriage to Bombay aboard the defendant's vessel. One of the machines was dropped and damaged through the defendant's negligence, while being loaded. The contract of carriage was intended to be covered by a bill of lading issued under **The Hague Rules**. The question before Devlin J. was whether the defendants were entitled to take advantage of a limitation of liability contained in those. He examined the nature of FOB contract identified different types.

Classic type: The buyer's duty is to nominate the ship and the seller's to put the goods on board for the account of the buyer and procure a bill of lading in terms usual in the trade. The seller is party to the contract of carriage the buyer typically acquires property when the goods pass over the ship's rail which usually occurred before the bill is issued.

The bare FOB contract: Required the buyer to engage the carrying vessel, in the absence of provision to the contrary, the FOB seller can presume that this will be done and that the seller is not a party to the contract of carriage.

In *Diplock J. Ian Stach Ltd. V Baker Basley Ltd.* (1958) 2 QB 130 that it is the duty of the buyer to find shipping space and to determine the date and place of shipment.

Rights and liabilities

The carrier fulfills exactly the same function regardless of the type of sale arrangement involved, and very often the carrier will neither know nor care how the contract between buyer and is designated.

It is generally accepted that risk passes to the FOB buyer when the goods have passed the ship's rail, in the standard FOB contract. It is also generally assumed that property passes at the same time in accordance with the basic presumption of the law of sale that risk and property pass together. Refer to Sec. 21 SGA.

If the goods are ascertained, under FOB contract property in them passes when they are shipped unless the passing of title is postponed by express or implied stipulation,

thus the seller may have reversed the right of disposal of the goods until the contract terms of payment have been performed.

Buyer's obligations



In *Stach v Baleer Bosley* (1958) 2 QB 130 that the duty of the buyer to open the credit in time as it is a condition of the contract.

In *Bunge v Trader* (1981) 1 WLR 711 an FOB buyer was required to give “at least 15 consecutive days’ notice of the probable readiness of their vessel to load the goods.

In *Hong Kong Fur Shipping co. v Kawasaki Kisen Kashia* (1962) QB 26 it was held that it was the obligation of the buyer to nominate the port of loading and the FOB sellers were entitled to cancel the contract when the nomination was made a day late. When a contract is silent, three situations may arise;

The port of loading will be named in the contract. The contract may say nothing at all about the matter

The contract may name a range of ports or a geographical area.

In *Boyd & Co. v. Louca* (1973) 1 LIR 209, the contract was for the sale of a quality of herring meal FOB stored good Dnish port. The buyer failed to have a port and the seller sought damages for breach. It was held that the obligations fell upon the buyers who were accordingly liable.

The time to nominate a suitable ship is normally of essence of the contract. The seller is entitled to treat the contract as repudiated if the buyer fails to nominate the ship in the stipulated time if no time is stipulated, in a reasonable time.

Nominating a carrying ship

The ship or liner upon which the goods are to be delivered is sometimes specified in the contract. It is the duty of the buyer to inform the seller of the name of suitable ship in which the goods can be carried. Howard CJ. In *J & J Cunningham Ltd. V Robert A Monroe & Co. Ltd.* (1922) 28 Com Cas 42, 45 said:

It was the duty of the purchaser to provide vessel at the appointed place at such a time as would enable the vendor the vendors to bring the goods alongside the ship and to put them over the ship’s rail as to enable the purchasers to receive them within the appointed time. The usual practice under such contract is for the buyer to nominate a vessel and to send notice of her arrival in order that the vendor may be in a position to fulfill their part of the contract.

The vessel must be a suitable one, capable of loading the contract cargo suitability relates not merely to the vessels [physically capability, for example, its ability to enter or load at the contract port but to its legal condition. i.e. enemy vessel , license etc.

What is the position when the chosen vessel turns out to be unable to take delivery? In *agricultores Frederatos Argentirios v Ampro* (1965) 2 LIR 157, FOB buyers of maize nominated a vessel which owing to unforeseen circumstances, could not arrive at the loading port in time. The sellers gave notice to the buyers of their intention to

cancel the contract, the buyers found a substitute vessel which could have completed loading within the contract period. The buyers were unable to load. It was held that the buyers were free to change their mind and send forward



a different vessel provided that the substitute was a suitable alternative, in that it could load the cargo in time.

Time of shipment

The seller is under no duty to ship until the buyer has given proper shipping instruction. If such instruction have been given, the seller must ship the goods at the latest by the end of the period (If any) specified for shipment in the contract. The seller may be bound to ship before the end of the period. Even where the buyer has in fact undertaken the task of putting the goods in such a position that the buyer can get them on board within the shipment period.

The exact time during the shipment period at which the goods must be shipped may be at the option of the buyer or at the option of the seller. It is also possible for the option to be in a sense divided between the parties.

Insurance

An FOB seller is under no duty to insure for the benefit of the buyer unless the contract expressly obliges the seller to do so; and even if the seller is bound to insure, the cost of insurance will be for the buyers account.

Passing of property

Property under an F.O.B contracts is sometimes said to pass shipment but this is only true were the seller has not reserved a right of disposal. As an FOB seller commonly does reserve a right of disposal even after shipment, it would be misleading to say that there was general rule to the effect that property passes on shipment under an F.OB contract.

Risk

Risk may of course be separated from property as commonly happens under CIF contract, and under an FOB contract in which the seller retains the property after shipment even though the risk may have passed on, or from shipment. In such cases risk passes to the buyer before property but only passes to the buyer before property but only passeas at a time when the buyer is likely to be protected by the contract by the contract of carriage and covered by insurance.

However, the general passing rule is that risk under an FOB contract applies whether the sales is of specific goods, or unascertained goods which are appropriated to the contract on or before shipment and so become ascertained and it may apply even where the sale is of goods which from an undifferentiated part of a larger bulk and remains unascertained after shipment

Other forms of contract (Incoterms)

- EX WORKS
- FAS

- C & F
- FOR
- EX SHIP
- Others

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In all those contract consider:

- ✓ The nature of the contract
- ✓ Duties of the seller & buyer
- ✓ Passing of property
- ✓ Passing of risk]related case law

Read

Benjamin's Sale of Goods (2000's edition)

Summary of Incoterms 2000 (extract from the

internet) SPECIFIC CONTRACTUAL ISSUES

FRUSTRATION OF THE CONTRACT

It may happen that the commercial aims which the parties pursued when concluding the contract are defeated through no fault of their own but by the force of supervening circumstances. The situation existing at the conclusion of the contract may subsequently have changed so completely that the parties, acting as reasonable men would not have made the contract or would have made it differently had they known what was going to happen.

Read: Article 79 CISG

In English law, the principle on which the doctrine of frustration is founded are well settled. But whether in a particular case the circumstances qualify as frustrating even is often difficult to decide.

The question of frustration is in the words of Lord Diplock in *Pioneer Shipping Ltd. v BTP Trioxide Ltd.*

The Nema (1982) AC 724

Never a pure question of fact but in the ultimate analysis involve a conclusion of law as to whether the frustrating event or series of events made performance of the contract a thing radically different from which was undertaken by the contract.

In *Tsakerglou v Noblee Thor GmbH* (1962) AC 93 (Suez Canal case) a CIF seller sold quantity of Sudanese groundnuts to be shipped from East African port to Hamburg during the month of November or December 1956. At the time the contract was made, the usual route from East Africa to Europe lay through the Suez Canal. During the two shipping months, however, the canal was unexpectedly closed. An alternative route via the Cape of Good Hope allowed a journey of over 11,000 miles against of less than 4500 through the Suez canal, freight rates at the beginning of the shipment period were 25% higher than they had been at the time the contract of sale was made by it they double. The sellers refused to ship the goods, arguing that unanticipated changes had frustrated the contract of sale. The new state of things was done within

the ambit of their contractual risk, and did not represent the sort of circumstance in which they had agreed to deliver.

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The House of Lords rejected this and held that the seller must ship by the route which is customary of usual at the date of shipment not the date of CIF Contract. There was a stipulated time for delivery and the goods were not required for any seasonal market. The seller had duty to ship on a condition whereby they can withstand the rigours of the journey.

The doctrine of commercial frustration is of great importance in international trade transactions because they imply a greater element of uncertainty than home transactions in consequence of the fact they are subject to political and economic influences in foreign countries.

Not every turn of events which the parties did not expect satisfies the test. In *Parsons v. United Fruit Co.* (1956) AC 694 AT 729, Lord Radcliffe said.

Frustration occurs whenever the law recognizes that without default of act party a contractual obligation has become incapable of being performed because the circumstance in which performance is called for would render it a thing radically different from that which undertaken by the contract.

Conditions upon which contract is frustrated

a. Destruction of subject matter:

In *White & Carter (Councils) Ltd. v. McGregor* (1962) AC 413, during the war in Iraq and Iran in 1986 a vessel which was to carry the sold goods—premium motor spirit—from a port at the gulf to ports in Australia had become impossible and the buyers successfully claimed that the contract of sale was frustrated.

Frustration cannot be pleaded if the event which made performance impossible existed already before the conclusion of the contract and could have been covered by an appropriate clause in contract as decided in *White & Carter (Councils) Ltd. v. McGregor* (1962) AC 413.

b. Illegality

Outbreak of war and trading with the enemy. The same is true if in the course of the war the importer's country has passed under the control of the enemy.

Fibrosa Spolka v Fairbairn Lawson Barbour (1943) AC 32, in this case the appellants ordered some machinery from the respondents for delivery to their factory in Poland, paying BP 1,000 in advance by virtue of the term of contract. In 1939 German invaded Poland

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METHODS OF CARRIAGE OF GOODS CARRIAGE OF GOODS

BY SEA INTRODUCTION:

Goods which are the subject matter of an export transaction, whether a contract of sale of construction have to be moved from the place of dispatch to that of destination. This carriage has an invariably an international character. It may be executed by sea, air or land or by a combination of these models of transportation. If it is done by only one of them, the international transport is unimodal and it is carried out by a combination of the, it is multi modal or combined transport.

International Conventions of

Transport; Sea transport- The

hague visby rules Air transport-

The wasaw convention

Road transport- The CMR (COnvention relative au contract de transport international de marchandises par route)

The exporter is obliged by the contract of sale with the overseas buyer to arrange for the carriage of goods by sea to the place of destination. The exporters have to conclude a contract of carriage with a ship owner. Whereby the latter undertakes to carry the goods in his ship from the exporter's port of dispatch to the overseas port of destination. This contract is known as the contract of carriage by sea or (contract of affreightment). the remuneration to be paid to the ship-owners is the freight, the ship owner is the carrier and the exporters as a party to the contract of carriage by sea is referred to as the shipper.

The exporter has to decide whether the quality of goods to be exported warrants the charter of a complete ship in this case the terms of the contract of carriage are embodied in a document called the charter party.

In most cases, however, the goods form only part of intended cargo of the ship they are carried in the ship together with goods belongs to the shippers, here the terms of the contract of carriage are evidenced by a document called *bill of lading*. Which in effect, is a receipt by the ship-owner acknowledgement that goods have been delivered to him for purpose of carriage.

The actual contracts of carriage are as a rule made by the ship-owner and the master, when he issues the bill of lading.

In *Manchester Trust v Furness* (1895) 2 QB 539, Ship-owners wished to show that they were not parties to the contract of carriage. They had chartered their vessel on

terms which provided that the captain and the crew were to be the agents of the charter for all purposes. Bills of lading issued by the master purported to include “other conditions as per charterparty” the goods were misbelieved. The plaintiff as endorse of the bill of lading, sought damages from the ship-owners. They denied liability on the ground that they were not parties to the contract of carriage contained in the bill.



The court of appeal held that the words in the bill of lading which referred to the charterparty only had the effect of incorporation into the contract of carriage those provisions of the charterparty which related to the payment of freight, and whatever else was to be performed when the cargo was delivered.

In *Thomas v Portea & Co. Ltd.* (1912) AC 1, the respondent's ship was under charter, the charterparty contained an arbitration clause. A cargo was shipped by a third party, to whom a bill of lading was issued. The bill stipulated that deck cargo was to be a shipper's risk and all other terms and conditions and exceptions of charter to be as per charterparty. The bill was endorsed to the appellants, who wished to dispute between themselves and the carriers to be referred to arbitration, as the charterparty provided. The House of Lords determined that the arbitration clause was not part of the contract of carriage. Their Lordships indicated that the parties must use "distinct and specific or explicit and precise" terminology if they wished to include charterparty terms in the contract of carriage.

The liberal construction of charterparty terms was considered by the House of Lords in *Miramar Maritime Corporation v Holborn Oil Trading Ltd.* (1984) 3 WLR 1. Owners of a chartered vessel claimed demurrage, calculated according to the terms of the charterparty, from consignee. The bill of lading gave notice of the terms and provided that all its terms applied to and governed the rights of the parties to the bill.

The demurrage clause in the charterparty imposed liability on the "charterer." The ship-owners contended that this should be "manipulated" so as to cover consignees and holders of the bill of lading. The House of Lords rejected this contention, which would impose upon holders a potential liability to pay an unknown and wholly unpredictable sum. The court also indicated that there is no rule that allows a court to substitute "bill of lading holder" for charterer in charterparty provisions which are directly relevant to the bill of lading.

CARRIER'S LIABILITY

The carrier will be responsible in contract to whoever engages his services. Every consignee of goods named in the bill of lading and every endorsee of the bill of lading to whom the property in the goods therein mentioned shall pass upon or by reason of such consignee or endorsement, shall have transferred to and vested in him all rights of suit, and be subject to the same liabilities in respect of such goods if the contract contained in the bill of lading had been made with himself.

The carrier also attracts contractual liability under the Rule in *Brandt v Liverpool Steam Navigation Co.* (1924) 1 KB 575. Consignee of goods, delivery of which had been delayed by the carrier, implied from the fact that the plaintiff had presented the bill of lading to the carrier and paid the freight. The terms of this implied contract were those of the bill itself. The endorsee of the bill of lading substantially in the same position as though he came under the bill of lading Act.

The determining the carrier's liability in contract, two separate regimes regulate the

carrier's liability in contract. It will be determined either by the common law of contract or by the provision of the Carriage of Goods by Sea Act 1924 (UK). In an attempt to unify or harmonize the law relating to the carriage of goods by sea, the Hague Convention of 1924 established a body of rules to

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be incorporated into domestic law by the various signatories to the convention. The amended provisions are known as The Hague – Visby Rules 1968.

Application of The Hague – Visby Rules

There are two basic situation in which the rules will apply;

- a. The use of certain kinds of documentation can be decisive i.e. bill of lading if the contract contained in or evidenced by it expressly provides that the Rules shall govern the contract.
- b. The second type of document is any receipt which is a non-negotiable document marked as such if the contract contained in or evidenced by it is a contract for the carriage of goods by sea which expressly provides that the Rules are to govern the contract. It is not necessary that the document actually be issued, it is sufficient that the contract provides for it.

In *Pyrene v Scindia Navigation* (1954) 2 QB 402, no bill was in the event issued since the goods were damaged during loading and never shipped. Nevertheless the rules applied.

If different type of document of title is issued, it must be “similar” to a bill of lading. The mere fact that it is a document of title will not do.

In *Hugh Mack & Co. Ltd. V Lavies Ltd.* (1944) 77 LILR 377 a carrier issued a non- negotiable receipt. The court of Appeal held that, even if this were a document of title, it was not similar to a bill of lading.

Article X Hague Visby Rules 1968 provides;

“The provision of these Rules shall apply to every bill of lading relating to the carriage of goods between ports in two different states, if;

- a. The bill of lading is issued in a contracting state or
- b. The carriage is from a port in a contracting state or
- c. The contract contained in or evidenced by the bill of lading provides that these Rules or legislation of any state giving effect to them are to govern the contract.

On the other hand, it will not apply if the contract expressly incorporates the Rules unless the carriage between two different states.

Scope of the Hague Visby rules

The hugue –visby rules apply to contracts for the carriage of goods by sea from the time when the goods are loaded on to the time they are discharged from the ship refer to Article 1 (e).

In *Pyrene v Scindia Navigation* (Supra, counsel for the shippers argued that the Rules did not come into operation until goods were actually loaded on board. Court rejected

this contention, holding that the rules applied to the whole loading process.

Article VIII provides;



The provision of these Rules shall not affect the rights and obligations of the carrier under any statute for the time being in force relating to the limitation of the liability of owners of sea – going vessels.

The parties may agree that the carrier's liability shall be increased during the period to which the Rules relate provided that the agreement is incorporated into the bill of lading.

The carrier's liability under the Hague- Visby Rules

Seaworthiness

There is no absolute obligation on the carrier to provide a seaworthy vessel, such as is implied at common law.

Article III Hague – Visby Rules

The carrier will be bound to before and at the beginning of the voyage to exercise due diligence to;

A make the ship seaworthy

Properly man, equip and supply the ship

Make the holds, refrigerating and cool chambers and all other parts of the ship in which goods are carried, fit and safe for their carriage and preservation.

Article IV Extent of liability of the carrier. Read in detail

This article has received judicial discussion. In *Maxine Footwear Co. Ltd. V Canadian Government Merchant Marine Ltd.* (1959) AC 589 an under- officers on the defendants vessel ordered that frozen piped be thawed. An acetylene torch was used and a fire ensued as a result of which the plaintiff's goods on the board were destroyed. The defendant carries put forward several reasons why they should not be liable. First under Article IV (2), a carrier is exempt from liability for loss or damages carriage by fire. The privy Council dismissed this connection lord. Somervell's held that the seaworthiness requirement in article III (1) is an overriding obligation. If it is not fulfilled and the non-fulfillment caused the damage the immunities of Article IV cannot be relied on. The court further indicated that the obligation of seaworthiness is a continuous one, covering the period from at least the beginning of the loading until the vessel starts on her voyage. The contract reemphasized that the requirement of due diligence is not satisfied simply because no personal fault can be attached to the carrier or those acting for him in managerial capacity.

Due diligence

Due diligence was considered in *Reverstone Meat CO. v Lancashire shipping Co.* (1961) AC 807. The defendants put their ship into dry dock for repair and overhaul prior to

sailing. They employed a reputable firm of repairers and also engaged the service of an experienced and competent marine superintendent. This gentleman caused the ship's storm valves to be opened

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for inspecting. Owing to the carelessness of one of the repairers filters one valve was improperly closed. Water entered the hold during the voyage and the plaintiff's goods were damaged.

Lord Radcliffe held that the defendants, having apparently competent agents, had exercised the amount of care required at common law. Nevertheless, he decided that the common law standard was inappropriate when considering liability under Article III(1). In his opinion, the key question was whether the unreasonableness is "due to any lack of diligence in those who have been implicated by the carriers in the work of keeping or making the vessel seaworthy" the obligation is to use due diligence to make the ship seaworthy, not to use due diligence in the selection of others who appear competent to fulfill this test.

The carrier is only liable however for the acts of those who can be said to be acting on his behalf and when the ship is under his control. The carrier is not liable for undetectable unseaworthiness caused by the actual builders of the ship, whether or not it was built his order or he was the first owner of it. Similarly, the carrier ought not to be liable for latent unseaworthiness caused by negligence of those whom this carrier has not contracted, for example, government officials acting under compulsory powers.

Seaworthiness is not defined in the Rules However; Lord Wright in *Smith Hogg & Co. v Black Sea & Baltic General Insurance Co.* (1940) AC 997 said that in order to be seaworthy, ship must be reasonably fit to carry the particular cargo on the particular voyage contemplated in the contract of carriage. Thus not only must the vessel be sufficiently robust to withstand the exigencies which that voyage might entail. The crew must also be adequate task both in numbers and competence and the ship must be reasonably fitted to receive and carry the cargo.

In the light of the many decisions, it seems that the question of seaworthiness, as a matter of particular, can be resolved by looking two situations.

- a. One must consider the ship in the state in which it is offered to the shipper. Is the vessel in that condition, reasonably fit to receive and transport cargo. In *TATTERSALL V National ISS Co.* 1884 12 QBD 297 a ship infected with foot and mouth disease was deemed to carry a cargo of cattle.
- b. It to consider the ship after loading. Is the ship now, actually or potentially unfit to face the dangers of the voyage.

Seaworthiness and causation

Lord Wright pointed out in *Smith Hogg's* case that seaworthiness can never operate by itself as the sole cause. It will always be triggered by, or operate in conjunction with some other causative factor. The carrier will nevertheless remain liable, unless the other factor by itself would have brought about the loss in any event.

In *Smith Hogg's* case the carrying vessel was so overloaded as to be unstable therefore unseaworthy. The ship called at an intermediate port to refuel. The manner

in which this operates was carried out, couple with the instability of the ship. Caused to settle in the water, and part of the cargo was lost and damaged.

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Lord Wright advocated a robust, common sense approach to the issue of causation. The question in his opinion “would the disaster not have happened if the ship had fulfilled in his opinion “would the disaster not have happened if the ship had fulfilled the obligation of seaworthiness even though the disaster could not have happened if there had not also been specific or action”

Article III (2) of the Hague-Visby Rules provides;

Subject to the provisions of Article IV, the carrier shall properly and carefully load, handle, stow, carry, keep, care for and discharge the goods carried.

Read:

Sebagala & Sons Electric Centre Ltd. V Kenya National Shipping lines Ltd. (1997) UCLR 388

The duty under Art. III (2) is made subject to Article IV which sets out a series of specific limitations on liability. The nature and extent of the carriers duty is explained by lord Pearce in Alacore SCR v Westcott & Lawrence Line Ltd. (1966) LIR 52 where he said that it is not an obligation to achieve a particular result like the safe discharge of the good but to perform a number of operations in a particular way.

House of Lords considered the meaning of the phrase “properly and carefully. Fish shipped a board the defendants vessel deteriorated during the course of a voyage from Gasgow to Genoa. The plaintiff consignees sought damages, arguing that the duty to carry goods “property” required that the Carriers provide a suitable system for transporting the particular cargo. Since the voyage had taken place in September, the fish ought to have been refrigerated. The carrier, however, had no means of knowing this. The house of loads that the word “property signified that the carriers should deal with the goods in a accordance with a sound system. And that the soundness of a system must be evaluated in the light of the carrier’s knowledge of the goods and their characteristics.

In International Packers London Ltd. V Ocean SS Co. Ltd (1955) 2 LIR 218 goods owners sued carriers in respect of damage incurred during a voyage from Australia to Glasgow. The damage was the result of heavy weather encountered shortly after leaving Melbourne/ tarpaulins protecting the hold in which the plaintiff’s goods (tinned meat) were stored were washed away. Water entered the hold and the goods were damaged. The plaintiff’s alleged that the carrier’s failure to fasten the tarpaulins more securely constituted a breach of the obligation to carry, keep and care for the goods. A surveyor, engaged by the defendant, negligence concluded that there was no risk of further damage to that part of the plaintiff’s goods which were stored in the lower hold. The goods were as a result left in the hold and were attached by rust.

Mc Nair J. held that, although the defendants were in breach by failing to secure the tarpaulins properly, they could nevertheless rely upon one of the defenses. In Article IV. They were, however, liable for the negligence of the cargo surveyor. A carrier is

no more able to discharge his duty under Art III (2) by appointing an apparently competent expert than is under Article III)

1). The obligation in each case is put upon the carrier. Also, the obligation to care for the good can require that the carrier takes steps to protect or relieve the goods from the consequences of an earlier mishap even though the carrier was not responsible for it. The carrier must do what is reasonable in the circumstances.



Article defenses

- The article covers defenses and limit of liability.
- Neither the carrier nor the ship is responsible for loss or damage caused by circumstances falling within any one of these categories.
- Article IV (2) navigation or management of the ship was considered in *Goose Millard Ltd. v Canadian government Merchant Marriene Ltd.* (1927) 2 KB 432, the defendant's vessel, which was in dock for repairs and to discharge other cargo. During these operations hatch covers and tarpaulins were left off the entrance to the hold in which the plaintiff's goods were stored. Rainwater entered and the tin plates rusted. To the plaintiff's claim for damages the defendant pleaded that the failure to replace the covers and tarpaulins fell within Article IV (2) (a) the House of Lords reversing the decision of the court of appeal held that the effect of those provisions pleaded would be to deprive the cargo owner of virtually the whole protection of Article III (2) and place the shipowner in, if anything, an even more favourable position than he had occupied. For the defence to apply, the relevant behavior must relate to the vessel as a whole and not just to a particular part of it.
- It may be that only a part, perhaps a very minor part of the ship is being employed in a way which causes the damage, nevertheless the defense will be available only provided what occurred was part of a general operation.
- *Mohanal Mathuradas & Brothers v East African Navigation Ltd.*

The plaintiffs contracted with the defendants for the carriage of goods by sea from Dar-es-Salaam to a purchaser from the plaintiffs at Rufiji. The goods were shipped on the defendant's schooner subject to the terms and conditions of the carriage by sea ordinance. On the voyage the schooner's engine broke down beyond repair and the schooner drifted ashore on a rock on a rather deserted stretch of coast on Mafia Island. The crew left the boat deserted. No effective attempts to salvage or protect the goods were made by the defendants.

When a police party reached the shipwreck some people were found looting it. In the event the goods were lost, and the plaintiffs brought this action for damages. The defendants alleged (*inter alia*) (1) that the property in the goods had passed to the purchaser from the plaintiffs and that the purchaser alone therefore could sue (2) negligence had not been pleaded; (3) the goods were lost through an expected peril under the schedule to the Carriage by Sea Act.

Held

1. A shipper can sue in contract for failure to carry goods safely whether he has a proprietary interest in the goods or not (except where he has entered into the contract purely as agent for the real owner) therefore the plaintiffs having entered into the contract as principals, could sue in this case although the property in the goods had passed to the purchaser.
2. The defendants were bailees for reward and were under a duty to deliver the goods safely at destination.

3. Where damages arise or results from one of the cause set out in the exception in art 4 of the schedule to the carriage Sea Act (the onus of proving this being on the carrier) then



the carrier is not responsible unless there has been a failure properly) and carefully to load, handle, stow, carry keep care for and discharge the goods carried.

4. Where the carrier brings himself within the exceptions then the responsibility rests on the plaintiff to show that some part of the damage arose because of the negligence of the carrier.
5. On the facts, the shipwreck occurred through the perils of the sea and matters within art 4;
6. But, there being no satisfactory evidence that the damage was caused by the shipwreck, the defendants had failed to discharge the onus on them of establishing that the damage to the plaintiffs goods arose from a combination of a latent defect and perils of the sea.
7. The goods were lost because they were abandoned, and the defendants had not discharged the onus on them of showing that the loss was not due to any fault or neglect on their part under exception 4 (2) (g);
8. Therefore the defendants were liable under the contract for the loss judgment for the plaintiff.

Fire Article IV (2) (b);

Fire, unless caused by the actual fault or private of the carrier

In Lennard's Carrying Co. Ltd. V Asiaic Petroleum Co. Ltd. (1915) AC 705 the defendant ship- owners were a limited company which being inanimate could not actually be at fault or privy to any knowledge. The managing Director was aware of the defective condition of the ships boilers, which caused a fire leading to the loss of the plaintiff's goods. The House of Lords held that t=in such cases one must loose of that person, or body of persons, which is "the directing mind and will of the corporation" The fault or knowledge, of the person or body is attributable to the company itself.

Peril of the sea Article IV (2)

The first difficulty is to determine first what is meant by peril of the sea.

In Canadian Rice Mills Ltd. V UNION Manne and General Insurance Co. Ltd (1941) AC 55 court expressed the opinion that damage caused by a storm, the occurrence and ferocity of which are unexceptional;, can constitute a loss of peril of the sea. The court was clearly referring to incidents, which are a normal usual in short foreseeable risk of a particular voyage.

In *Hamilton Fraser & Co. v Ponder & Co.* (1887) 12 ac 518 rats ate through a lead pipe, with the result that sea water entered a hold and damaged the plaintiffs cargo of rice. The House of Lords held that carriers could take advantage of the exception of the perils of the sea in the contract of carriage. Lord Halsbury LC said that the idea of a Peril involved something both



fortuitous and unexpected” The action of the rats was unforeseeable, without overtly incorporating this fact into any definition of a sea peril.

Other

defenses Act

of God

Act of public enemies

Arrest or restraint of princes, rulers or people or seizure under legal

process Quarantine restrictions

(look for case law on the

above) Inherent vice

Under Article IV (2) (i) this defense will serve to protect the carrier. When a shipper fails to inform the carrier about peculiar of the goods, necessitating special treatment during the voyage, such an omission will also entitle the carrier to invoke the defense under Article (2) (n).

In *Alboracora SRL v Westcott & Lawrence Line Ltd.* (1966) 1 LR 62 fish was shipped from Glasgow to Genoa to Genoa during September. The cargo deteriorated owing to lack of refrigeration. The carriers had been given no special instructions and did not know that refrigeration was necessary. The House of Lord decided that the defendant carrier was protected by Article (2) (m). Lord Reid noted that whether there is inherent defect or vice must depend on the kind of transit required by the contract.

Insufficiency of packing

Article IV (2) (U) – This defense may be described as the inherent vice of packing.

The carrier will not be liable if he is unaware that the packing is inadequate.

In *The Luckey Wave* (1985) 1 LR 80, coiled steel wire carried from Birmingham to Durban. A warehouse inspection, two days after the goods were landed, disclosed that proportion of the goods had been broken loose from its straps and was damaged. Sheen . noted that there was nothing to show that damage had occurred during the two days when the goods were in the warehouse since the bill of lading acknowledge that the goods had been loaded in good order and condition. It was incumbent upon the defendant carriers to show how the damage had occurred. The inference therefore was that the carriers had mishandled it and the defence under Article IV(2) (n) was inapplicable.

The Residual defence;

Article IV (2) (q)

provides;

Any other cause arising without the actual fault or privity of the carrier



This defence makes specific reference to the burden of proof

The burden of proof shall be on the person claiming the benefit of the exception. Article III (3)

It provides for the issue of a bill as soon as the goods are received by the carrier if the shipper so demands. The bill must contain certain information

Marks necessary for identification of the goods –capable of remaining legible throughout the voyage/journey.

Number of packages or pieces or the quantity or weight. Apparent order and condition of the goods.

The shipper is deemed by Article III (3) to have guaranteed the accuracy of the information which he has given the carrier for the purpose of this obligation. The carrier is entitled to an indemnity from the shipper for any liability arising from any inaccuracy.

Deviation

Article IV (4) provides

“Any deviation in saving or attempting to save life or property at sea or any reasonable deviation shall not be deemed to be an infringement or breach of these Rules or of the contract of carriage and the carrier shall not be liable for any loss or damage resulting therefrom”

A deviation is a deliberate departure from the contractual route. Unless the route is specified expressly, a master is free to follow any course which is usual in the circumstances, that is as they exist at the time of the voyage.

The fact that the ports of departure and discharge are fixed does not of itself require the master to follow the shortest or most direct sealine. The usual route may be determined by the established practice of that particular carrier, or by prevailing commercial practice.

In *Reardon Smith line Ltd. v Black sea & Baltic general Insurance Co.* (1939) AC 562 it was shown to have been the practice for a period of 5 years or so, for vessel in the Black Sea to turn aside from the direct route in order to refuel at Constanza, where cheap fuel oil was temporarily available. This detour was held to be part of this usual route during that period. If there is no usual route, the master must follow a reasonable one.

A ship may deviate even though the master believe that he is following the correct

path. The question is whether the course, freely chosen by the master is in fact within the tolerances allowed by the contract.

The contract may provide for alternative ports of discharge. In *Renon v Palmyra* (1957) AC 149 a contract for the carriage of timber from Canada to London provided that master might discharge at any safe or convenient port if prevented from entering or using the nominated port



of charge London being strike board, the master proceeded to Hamburg and discharged there. The house of Lords ruled that there had been no deviation.

Whether any other deviation is reasonable is a question of individual circumstances.

In *Stag Line v Forscolo Mango* (1931) AC 328, a ship taking coal from Swansea to Constantinople left port carrying two engineers who were running a test turned of course to drop the engineers at a nearby port. The ship failed to return immediately to regular route and, while off course, ran aground, goods owners sought damages for loss of cargo. It was held that a deviation may be reasonable, though made exclusively in the interest of one party to the contract of carriage or indeed of neither as for example where a passenger or crew members is urgently required offshore.

A deviation which is reasonable in itself, for example a deviation to effect essential repairs may nevertheless be necessitated by a previous breach by the carrier.

Although Article IV (4) declares that reasonable deviation are no breach, this should not be taken to mean that the carrier is exonerated from previous, independent breaches.

In *Kish v Taylor* (1912) AC 604, AC unseaworthy vessel deviated in order to effect repairs and then proceeded to deliver the cargo. The carriers claimed a lien for dead freight in respect of the shippers failure to load a full cargo. The defendant holders of the bill of lading claimed that the effect of the deviation was to deprive the carrier of this right. The House of Lords ruled that the deviation was reasonable and the right to dead freight remained. The court noted that it is the presence of the peril and not its cause which determines the character of the deviation.

The law relating to the effect of a wrongful deviation received its most extensive and authoritative review in *Hain SS Co. v Tate & Lyle Ltd.* (1936) 2 ALL ER 597, a ship was chartered to carry a cargo of sugar from ports in Cuba and San Domingo. By an oversight the master was not informed of the San Domingan port having loaded the Cuban sugar he therefore set off for home. The mistake was quickly spotted and the master redirected to San Pedro, in San Domingo. The ship ran aground in this harbor Part of the cargo was lost, the rest transshipped and eventually carried to its destination.

The ship-owners claimed a contribution from the goods owners in respect of damage to the ship and for the balance of the freight, to both of which they would in normal circumstances be entitled. The goods owner, in ignorance of the deviation, made a general average payment to the carriers in order to obtain the release of the sugar. The plaintiffs sought the return of this sum. The House of Lords held that the carrier was not deprived of his right to a general average contribution in these circumstances. The court further noted that an unjustified deviation does not automatically cancel the contract of carriage, leaving the ship-owner in the position of common carrier (one with no special contract). The carrier is not protected by specific exception or limitation of liability nor does it automatically deprive the carrier of the protection of

certain of its terms while leaving the rest intact.

In *Suisse Atlantique SA v Rotterdamshe Kolen Centrale* (1967) AC 361, lord Wilberforce expressed the view that the deviation cases should be decided according to the normal principles of the law of contract.



The carrier's position at common law

If the statutory regime does not apply a carrier is free to make whatever contract he can subject to the principle of the common law relating to such matters as misrepresentation, duress, privity and illegality. In practice, even if the Rules are not incorporated, a common law contract for the carriage of goods by sea will include if not of the exceptions under Article IV (2).

Interfreight Forwarders(U) Ltd. V East Africa Development Bank (1990 -1994(1 EA 11 (SCU)

The appellant agreed to clear the respondent's motor from Mombasa and deliver it at Kampala. However, the vehicle carrier got involved in an accident on the way and the respondent subsequently sued for negligence. The appellant however argued that the vehicle was carried at the owners risk and the respondent had a duty to insure the vehicle.

Held- Inevitable accident can be a defense to a charge of negligence, but it cannot succeed unless the defendant can prove that something happened over which he had no control and the effect of which could not have been avoided by the exercise of care and skill, indeed the defense cannot be relied upon where the risk is reasonably foreseeable.

The burden of proving the defense of inevitable accident rests on the defendant to succeed, the defendant must show one of two things, namely either what was the cause of the accident and show that the result of that cause was inevitable, or he must show all possible causes, one or other of which produced the effect, and must further show with regard to every one of those possible causes that the result could not have been avoided. In this case the defendant gave a plausible explanation of the causes and effect of the accident.

A common carrier has a common-law liability arising from the nature of his business and is said to warrant or ensure the safe delivery of the goods entrusted to him,. But his promise is defeasible upon the occurrence of certain expected risks for example "Act of goods" and the king's enemies , and injuries arising from defects inherent in the goods carried. This qualification is implied in every contract made with a common carrier , and the occurrence of the risk exonerates the common carrier from liability. It was not the respondent's case neither was any evidence adduced to show that the appellant acted as a common carrier when it undertook to clear and forward the vehicle to the respondent.

Since the respondent did not plead that the appellant was a common carrier., it cannot be permitted to depart from what clearly appears to have been his case as stated in the plaint and claim that there was evidence providing that the defendant was a common carrier.

Where it is not respondent from the terms of the contract that damages for breach

were to be awarded in a currency specified for the satisfaction of the obligations under the contract then damages were to be awarded in the currency which mostly truly expressed the plaintiff's loss.

The general principle of law is that in cases of destruction of goods, the normal measure of damages is taken to be the market value of the goods destroyed at the time and place of destruction. *Liesboch Dredger v SS Edition* (1933) AC 440, and *Moore V DER Ltd.* (1971) 1 WLR 1476 applied. Appeal allowed.



The carrier's right to freight

The carrier is entitled to be paid freight provided the carrier delivers the contract cargo. In *Dakin v Oxley* (1864) 15 CB (NS) 646, it was held that as a rule, freight is earned by the carriage and arrival of the goods ready to be delivered to the merchant.

It makes no difference to the right to freight that the goods are damaged. If only a part of the cargo is delivered the carrier will be entitled to a proportionate part of the of the cargo.

In *The Mutula* (1978) 2 LIR 5, a contract of charter called for freight to be paid according to the amount of cargo loaded, rather than the amount discharged. The Court of appeal held that the carriers were entitled to the full amount of freight even though substantial quantity of freight had been lost in transit.

Since freight is payable against delivery of the contract cargo, in the absence of contrary agreement, it is necessary to know just what constitutes "the contract cargo" in *The Caspian Sea* (1980) 1 LIR 91, freight was withheld because the goods were delivered in a deteriorated condition. Donaldson J. reiterated that the carrier's right to freight is not affected by the fact that the goods are damaged on delivery. The crucial question is whether they are substantially the same goods.

British Standard Portland Cement Company Limited v Zim Israel Navigation Company Limited.

(1963) 1 EA 391 (SCK)

In October, 1961, the plaintiff company approached the Mombasa agents of the defendant company for shipping space for 1,090 tons of cement which were to be delivered to a customer in Madagascar. The agents informed the plaintiff company that "it might be possible to induce a call at Mombasa for one of their vessels" and on November 8th, 1961, the plaintiff company confirmed that it would accept the offer for the cargo space required. On November 11, the plaintiff company's customer in Madagascar cancelled the order and the plaintiff company immediately advised the agents and cancelled the order for shipping space. At this time the vessel which was to carry the cement had not left port in Israel. However, on November 14 the agents claimed dead freight on the cancelled order liability for which the plaintiff company denied. On December 6 the vessel had been directed to Mombasa exclusively because of the plaintiff company's booking of cargo space. It later transpired that a shipping scheduled" dated December 8 the plaintiff company received that the vessel would call at Mombasa and then sail for South African ports, not mention being made of a call at Madagascar. On December 8 the plaintiff company received an order from another customer in Madagascar for 1,451 tons of cement and immediately offered this cargo to the agents who agreed to accept 700 tons stating that the vessel was already "down to her marks" and had stowing problems. It was common ground that the vessel was then virtually fully loaded. The vessels sailed with the 700 tons of cargo after which the agents wrote to the plaintiff company on December 16 reducing their

principals claim to shs 18,493/65 and on December 18 informed the plaintiff Madagascar to claim a lien on the cement unless the claim was met. The plaintiff company accordingly paid the plaintiff that the defendant company were the owners of the vessel. The defense paid by the plaintiff company for deal freight and, in the alternative, counterclaimed the same amount as



damages for failure to ship the 1099 tons of cement. The plaintiff company by an amended reply averred that the defendant company not being the owner of the vessel could not sue on the bills of lading as this was expressly precluded by CL. 17 of the bills of lading. It was further contended by the reply that the booking of shipping space was provisional only and could be cancelled by reasonable notice before the vessel's arrival and that this was also a usage at Mombasa.

Held;

- a. The selling list showed that the vessel had not sailed from Eliat, Israel, at the time the order for shipping space was cancelled and it was still at Eliat when the defendant company first put forward their claim for dead freight.
- b. The amount claimed was paid by the plaintiff company because of the defendant company's threat to claim a lien of the 700 tons of cargo which was the subject matter of a new contract, the defendant company was not entitled to carry out its threat because nothing was due to them under the new contract.
- c. It was never a term of the original booking that the vessel should be specially deviated and the plaintiff company did not know and could not reasonably have been expected to realize that the usage as to cancellation was inapplicable, the deviation of November 8- 1961, failed further the claim for damages was not proved as the vessel was down to her marks when she sailed from Mombasa Judgment for the plaintiff.

Extension of defenses to third parties (doctrine of privity)

Art. IV BIS (1)

Art. IV BIS (2) makes the defenses and limits of liability available to servants and agents of the carrier, provided the defendant is not an independent contractor and Art IV BIS (4) provided that damage was not internationally or recklessly inflicted

Read – New Zealand Shipping Ltd. V Satterhwaite & Co. Ltd., The Eurymedon (1975) AC 154

That independent contractors employed by the carrier are not protected by the Rules was decided in *Midland Silicones Ltd. V Serttons Ltd.* (1962) AC 446 where the House of Lords held that stevedored (employed by the carrier). Who negligently damaged cargo when unloading it, in an action for negligence brought against them by the cargo owners could not claim the maximum limitation for liability under the contract of carriage which embodied the Hague Rules because there was no privity of contract between the stevedored and the cargo owners.

If they want to be protected, they have to include in their contract with the carrier and also in the bill of lading a clause called the Himalaya clause.

Shipper's duties and immunities

The H-V Rules are silent regarding the shipper's obligation to bring the goods alongside the ship for loading.



Under Art. I (e) the carrier's responsibilities for the goods start from the time when the goods are loaded suggesting that the shipper has to bring the goods alongside ship.

However, according to the decision of Pryrene, the parties are free to determine the role of each is going to play in the contract of carriage.

Under Art. 3 Rule 5 the shipper is deemed to have guaranteed to the carrier at the time of shipment.

Read Article 3 (6) Notice of loss and

damage Art. 4 or 6

As a result of inconsistencies in the H-V Rules the un-drafted "The Hamburg Rules 1980" which came into force in 1982

Read:

Cedric Barelays "Technical aspects of seaworthiness (1975)

288 BILL OF LADING

A bill of lading is a document issued by or on behalf of carrier acknowledging the shipment of goods on board a particular vessel of that goods have been received for shipment. The former is known as a "Ship" bill and the latter as a "receive for shipment" bill. It is also a direction to deliver the goods to a named person (a 'straight consignee' bill) to the order or assignee of a named person (an order bill) or to bearer ("bearer" bill).

Humber rules define a bill of lading under article 1 r7

Whether, in the absence of specific provision, the CIF buyer is entitled to a shipped bill, generally speaking, depends upon the custom of the particular trade to which the sale relates or the practice of the particular port at which the bill is issued.

The principal purpose of the bill of lading is to enable the owner of the goods, to which it relates, to dispose of them rapidly the goods are not in his hands but are in the custody of a carrier.

When goods are in high seas in transit from London to Mombasa and the bill of lading has been sent to the buyer in Uganda and the buyer thus has become the owner of the goods, the bill of lading representing the goods enables the buyer to pledge the goods with his bank in Uganda as a resell them to another purchaser in Kenya.

The bill of lading is a creation of mercantile custom, a typical institution of International trade. It came into use in the sixteenth century.

The character of the bill of lading as a document of title was first recognized by courts in

Lickbarrow v Mason (1794) 5 TR 683.

From the legal point of view, a bill of lading is;



- a. A formal receipt of the ship owner acknowledging that goods alleged to be of the states species, quality and condition are shipped to a state destination in certain ship, or at least are received in the custody of the ship owner for the purpose of shipment.
- b. A memorandum of the contract of carriage, repeating in detail the terms of the contract which was in fact conclude prior to the signing of the bill and
- c. A document of title to the goods enabling the consignee to disposal of the goods by endorsement and delivery of the bill of lading.

The International rules relating to bill of lading

On the initiative of the International law Association, the Hague Rule were 1921 relating to bills of lading were formulated and diplomatic conference held in Brussels recommended their international adoption. The Hague Rules were revised by the Brussel Protocol of 1968. The revised Rules were known as the Hague- Visby Rules. The Hague- Visby rules were fundamentally revised by the UN convention on the carriage of goods by sea 1978 which accept the so called Hamburg Rules. They were prepared by UNCITRAL and adopted by UN Conference at Hamburg on March 30, 1978. They have not been ratified or acceded to by some countries. The major alteration proposed by the Hamburg rules are; they shall apply to all contracts for the carriage of goods by sea between two different states (Article 2 (1), except charter parties Article 2 (3), even if the carriage is not carried out under a bill of lading; the period of responsibility of the carrier is extended so as to cover the whole period during which the goods are in his charge; the exclusion of the carriers liability in case of error in navigation is abolished, a distinction is drawn between the contractual carrier and the actual carrier (Art 10).

The present positing is that Hamburg rules are not in force in some countries. The Hague-Visby rules are still the law in UK and other countries. A number of state have not adopted the H-V rules but still adhere to the original Hague rules.

Hamburg Rules

The H-V Rules do not lay down a single basis of liability for the carrier but rely on the requirement of seaworthiness and on a number of diverse and overlapping exceptions. The H-V Rules were not designed to apply to modern methods of transport and the rules are weighed too much in favour of the carrier.

The Hamburg Rules distinguish “carrier” and Actual carrier. The carrier is a party who makes a contract of carriage with a shipper and the actual “carrier is any party entrusted result of this contract with the carriage of goods.

Refer to;

Art. 10 r 1

Art. 10 r 2

Art. 10 r 3

Art. 10 r 4



Art. 10 r 6

The contract of carriage will usually be based on the carrier's bill of lading, normally issued after the goods have been loaded onto the vessel. The bill of lading is important in three respects;

- a. It represents of evidences the contract of carriage
- b. It is a receipt for the goods
- c. It is a document of title to the goods.

Validity of the bill of lading

Where the ship owner issues a shipped bill, he acknowledges that the goods are loaded on board ship. Where he issues a "received for shipment" bill he confirms only that the goods are delivered into his custody in this case the goods must be stored in a ship or warehouse under his control. The "received" bill is thus less valuable than the "shipped" bill because it does not confirm that the shipment has already begun.

In **The Marlborough Hill (1921) 1 AC 444**, it was decided that a received bill and a shipped bill were in principle no different.

In **Ishaq v Allied Bank International (1981) 1 LIR 92**, the PC acknowledge a general trade practice or recognizing received bills as documents of title. The court observed that under letter of credit banks will accept received bills unless the credit specifically calls for a shipped bill or a received bill is inconsistent with some other provision of the credit itself.

In some areas where the bill of lading remains paramount, a received bill is usually a much less effective document than a shipped bill. The reasons for this are;

- a. A received bill is no guarantee of shipment
- b. It may cause a gap in the continuous documentary cover to which the CIF buyer is entitled.
- c. It does not identify the carrying ship
- d. It may present difficulties to a bank in deciding whether it is proper document under a commercial credit.

Contents of a bill of lading

The bill will be signed by the carrier, or on his behalf, and will described so far as possible the nature, condition and quality of the goods to which it relates, terms of the contract of carriage.

Art. 14 HR – Issue of bill of

lading Art. 15 HR – Contents of

bill of lading Art. 15 (2)

Art 13- dangerous goods.



In Venturis v The Attorney General of Tanganyika

(1959) 1 EA 289 (CAD), the respondent sued the appellant for the value of government stores which, whilst being carried by the M.S “Vera” were lost through the negligent navigation of the vessel by the appellant as master. The trial judge held that the appellant had been entitled to be immunity conferred by r 2 (a) of art. IV of the schedule to the carriage of goods by sea Ordinance. On appeal it was conceded that the appellant was negligent and the only point for decision was whether the appellant was, as part owner, a party to the bill of lading which had been issued by a company in its own name.

- a. The appellant having signed the bill of lading simply as “captain” had signed as an agent.
- b. Where there is a charter of which the shipper is ignorant, the shipper is entitled to regard the owners as the persons contracting to carry the goods.
- c. The terms of the bill of lading which distinguished between “the company” and “the owners” were consistent with the company being managers or agents and taken in conjunction with the uncontroverted evidence that there were three owners, of whom the company was one and the appellant another, and the signature on the bill by the appellant as “captain” without more, led to a prima facie inference that the appellant was signing for the owners.
- d. In the circumstance the appellants part owner was a party to the contract of carriage and entitled to the protection of rule 2 (a) of art. IV of the schedule to the carriage of goods by sea ordinance Appeal allowed.

Bill as document of title

A document of title is one which the law recognizes as representing the goods so that the transfer of the document to party will vest in that party the ownership or possession of the goods to which the document relates, provided that this transfer of rights was intended by the parties. Some documents of title are so by virtue of common law’s recognition of mercantile usage while others have been made so by statute. The liability to transfer property rights in goods by the transfer of a document is the keystone of international trade practice.

In **E Clement Horst Co. v Biddell Bros (1912) AC 18**, the buyer under a CIF contract was offered a bill of lading but refused to pay until the goods themselves were delivered. It was held that since possession of the bill of lading announced in law to the possession of the goods the seller was entitled to perform his part of the contract by handing over the document.

There is no common law definition of a document of title but its essence would seem to be that, by mercantile custom, dealing in the documents, for instance, their sale or pledge are regarded as dealings in the goods, which those documents symbolically represent.



In the absence of provisions in the contract, a CIF buyer is entitled to a bill of lading which enables him to deal freely with the goods, in other words, one which possesses the common law quality of transferability.

In **Saproma v Marine & Animal By- Products corporation (1966) 1 LIR 367**. THE rejection of a straight consigned bill (i.e. one specifying delivery to a named party with no provision for transferability) was held to be justified. The court further noted that by the shipping documents, the buyer to whom property passes under the bill of lading is given contractual rights against the ship owner, which rights he can by endorsement transfer to a subsequent purchaser.

In order to make bills of lading negotiable (transferable) some words such as “or order or assigns” ought to be written in them; (Henderson & Co. v The Competitor De’Escompted De Paris (1873) LR 5 PC 253)

The must deliver to the party entitled under the bill of lading, and to that party alone. In **Sze Hai Tong Bank v. Rambler Cycle Co. Ltd. (1959) AC 576** it was held that a ship owner “who delivers without production of the bill of lading does so at his peril” The PC noted that the object is the delivery of the goods against the bill of lading. The bill of lading holder was therefore entitled to damages for mis -delivery.

The significance of the bill of lading as a document of title is well described by Bowen LJ Sanders v. Maclean (1883) 11 QBD 327

A cargo at sea while in the hands of the carrier is necessarily incapable of physical delivery. During this period of transit and voyage , the bill of landing by the law merchants is universally recognized as its symbol, and the endorsement and delivery of bill of lading operates as a symbolic delivery of the cargo, property in the goods passes by such endorsement and delivery of the bills of lading, whenever it is the intention of the parties that the property should pass..... And for the purpose of passing such property in the goods and completing the title of the endorsee to full possession thereof, the bill of lading until complete delivery of the cargo, has been made of shore to someone rightfully claiming under it, remains in force as a symbol and carries with it not only the full ownership of the goods, but also all rights created by the contract between the shipper and the ship owner.

Negotiable and non – negotiable bills.

Bills of lading can perform the principal function of enabling a person to dispose which are no longer in his possession only if there are at least to a smaller, extent than credit and consequently the negotiability of bills of lading in law than that of exchange.

Bills of lading, like bills of exchange, may be made out to bearer, or to a particular person or his order. If made out to bearer, they are transferred by delivery while, if made out to order, they are transferred by endorsement and delivery of the bills. Transfer of the bill of lading passes such rights in the goods as the parties wish to

pass.

While a bill of exchange is negotiable unless its negotiability is expressly excluded, a bill of lading is only negotiable if made negotiable.



In the modern bill of lading, a box on the left hand corner of the bill; (Consignee (If “order” state Notify party)

If the shipper intends to obtain a bill of lading he completes this box by consignee.

A shipper who wishes to obtain a bill of lading which is not negotiable does not insert the word “order” in the appropriate box of the bill but inserts the name of the consignee.

The copie of the bill could be issued to dispose of the cargo from the buyer either before or after he had accepted and paid against the original.

In *Glynn Mills & Co. v. East & West India Dock Co.* (1882) 7 App. Cas 591, it was held that a carrier who delivered the goods to someone in possession of a copy bill could not be sued by the buyer who held the original and whose goods were

Bill of lading as evidence of contract of carriage Art. 16 r 3

The carrier or his agent will issue the bill of lading after the goods have been placed on board. It will not necessarily be a contract of carriage; which in normal circumstances will have been concluded between shipper and carrier before the bill of lading is issued.

The terms printed on the bill of lading may well have been incorporated into the contract of carriage by use of some such phrase as “subject to the exceptions of our bills of lading” or have been implied into the contract by the parties previous dealing on the bill of lading.

The bill of lading, at least as between the carrier and the original shipper, amounts only to evidence of the contract of carriage.

In ***Ardnnes SS (Cargo Owners) v. Andennes (Owners) 191951) 1 KB 55***, oranges were shipped in a Spanish port on the understanding that the ship would sail directly to London, the ship called at Antwerp and the consequent delay in arrival at London caused loss to the cargo owner. The bill of lading contained a term which would have permitted the ship to call at Antwerp and the carrier relied on this term. It was held, however, that the bill of lading was only evidence of the contract of carriage and that the cargo owner was entitled to prove that the contract parties had in fact made contained a term that the voyage would be diverted.

If an exporter charters a vessel, his contract of carriage will be expressed in the charter party. When cargo is loaded onto the chartered vessel, a bill of lading will be issued but as between the shipper- charter and the carrier the bill of lading will not replace the charter party as the contract of carriage. It will not even be evidence of it, since the contract is expressly set out in the charter party. But if this bill of lading is indorsed to a 3rd party his contract with the carrier will be that contained in the bill of

lading.

A bill of lading in its usual form is a receipt for goods shipped, or to be shipped, whether or not on a particular vessel, signed on behalf of the carrier.



In *Leduc v Ward* (1080) 20 QBD 475, court held that when the terms of the contract of carriage are reduced to writing, in the form of the bill of lading, the parole evidence rule applies to prevent introduction of extraneous terms.

Bill of lading as a statement of

quantity Art. 16 r 1

Art. 16 r 2

At common law the carrier need not state any quantity. If the bill of lading to which the common law applies does not state a quantity without qualification it will be merely prima facie evidence in the hands not of the shipper but also of the endorsee who will thus have only such protection.

In *Bubulal Narshi & Co. Ltd. V Deutsche Ost- Afrika- linie* (1974) 1 EA 436 (HCK) A shipper shipped goods to Mombasa in the defendant's ship on a bill of lading showing the goods to have been shipped in a apparent good order and condition and without any endorsement concerning insufficient packing. The plaintiff bought the goods after shipment and the bill of lading was endorsed over to it. The goods were short-landed in Mombasa. The bill was subject to the Hague Rules.

On the plaintiffs suit, the defendant alleged that the goods were insufficiently packed having been packed in cartons. The defendant **contended that the** bill was a clean bill that defendant was estopped from alleging defective packing

Held;

- a. The bill of lading was a clean bill and the plaintiff was stopper from alleging any defect in packing (*sliver v, Ocean steamship Co.* (2) followed; *dominion Sugar Co. V Canadian National Steamship (West Indies)* (4) distinguished)]
- b. Improper packing can only be relied upon proof that the loss or damage resulted from the improper packing.
Judgment for the plaintiff.

Statement of condition – Art. 16 r2

In *Compania Naviera Vascongada v. Churchill and Slim* (1904) 1 kb 237, timber was stained with oil when shipped but “clean” bill of lading was nonetheless issued to the shipper who indorsed it to a 3rd party, the endorsee sued the carrier in respect of the damage. The carrier was estopped by the statement in the bill of lading, from denying that the timberwas in good condition when loaded and was thus liable to the endorsee for the damage.

SIKIA
Low

Other documents : Art.

18 Delivery orders

CIF contract often provides that the seller may at his option tender a delivery ordered in place of a bill of lading. A delivery order may, by the custom of the particular trade, be a document of title.

In Krohn & Co. v Thegra NV (1975) LIR 146 it was held that the seller may tender either a shipped bill of lading or a ship order in negligible and transferrable form.

A delivery order is not a document of title unless proved to be so by reason of mercantile custom as was the case in **Merchant Banking Co of London v. Phoenix Bassemmer Stell Co. (1877) 5 ch. D 205**

Limitation

- Art. 20 r 1 period of 2 years
- Art 20 r 5

Jurisdiction Art 21

Arbitration Art 22

Contractual stipulation

Art 23 The date of the bill
of lading

The correct dating of the bill of lading is a matter of great importance. The correct date of a “shipped” bill is the date when the goods are taken on board and that of a “received for shipment” bill is the date when they are taken into the charge of the carrier. See H- V Rules Art 111(3).

The date of the bill of lading is material in three legal relationships;

1. In the contract of carriage
2. In the contract of sale
3. In relation to the banks if payment is arranged under a letter of credit

As to the contract of carriage, the shipper is entitled to demand that the bill of lading should be dated correctly.

If the master (or another agent of the carrier) negligently misdates the bill, the carrier as principal is liable in damages, provided that the shipper can prove that he has suffered a loss as a result of the misdating, because there is an implied obligation that due care should be exercised in the dating of the bill.

See the Saudi Crown (1986) 1 LR 261

The date of the bill of lading may also be relevant in the contract of sale. In *The Almak* (1985) 1 557 it was agreed that the purchase price of the goods- gas oil should be the price ruling at the



date of the bill of lading. The goods were loaded on June 27 but the bill bore the date of June 22, and the master signed it without noticing that it was incorrectly dated. The price was calculated by reference to June 22 instead of June 27. The market fell by £7 between these two dates with the result that the buyer paid the seller more than he would have done if the bill had been correctly dated. The action of the buyer against the despondent owner of the ship failed because the inclusion of the wrong date in the bill was due to want of care on his part as he – the buyer had tendered the (inadvertently) incorrectly dated bill to the master for signature.

When payment is arranged under a letter of credit, the credit often states a date of shipment of the goods, in addition to the expiry date which every credit contains. As issuer of the bill of lading, who deliberately backdates it in order to bring it within the shipment time in credit, acts fraudulently.

In *United City Merchants (investments) Ltd. V. Royal Bank of Canada* (1983) AC 168, the bill was backdated by an employee of the forwarder but the shipper had no knowledge of the fraud and it was held that the Bank, which had confirmed the credit, was bound to pay on tender of the backdated bill.**exemption clause in the bill of lading**

Halal Shipping Co. Ltd. V. Securities Bremer Allgemeine and another (1965) 1 EA 690 (CAN)

The appellant a stevedoring company in Aden, was on behalf of the consignee for damages for the loss by admitted negligence of certain goods unloaded from a ship, and argued that it was entitled to the protection of clauses in the bill of lading exempting the carrier of the goods and its agents from liability for negligence and also that it had received the goods as a bailee on terms similar to those in the bill of lading.

- i. The appellant was not a party of the bill of lading and was not therefore entitled to take advantage of any exemption from liability contained therein as against the consignee.
- ii. (Per Duffus, J.A): even if (which was doubtful) the appellant had possession of goods as a bailee, such bailment was not under any implied contract between the appellant and the consignee and contained no exemption.
- iii. (Per Duffus, J.A): there was no evidence to support the submission that the terms of the bill of lading had been incorporated into the contract of carriage from ship to shore.
- iv. (per law, J.A): Even if the appellant was a party to the contract in the bill of lading, that contract (and any exemptions in it) by its terms came to an end when the goods were discharged over the ship's rail.

Appeal dismissed

Effect of Act of God on duties of common carrier

Inter-freight forwarders (U) Ltd. V. East African Development Bank (1990 – 1994) 1 EA 117 (SCU)

Before: Wambuzi CJ, Oder and Platt JJSC



The appellant agreed to clear the respondent's motor vehicle from Mombasa and deliver it at Kampala. However, the vehicle carrier got involved in an accident on the way and the respondent subsequently sued for negligence. The appellant however argued that the vehicle was carried at the owner's risk and that the respondent had a duty to insure the vehicle.

Hed- An appellant Court has Jurisdiction to review evidence to determine whether the conclusions of the trial Judge should stand. This jurisdiction however must be exercised with caution. If there is no evidence to support a particular conclusion, or if it is shown that the trial judge has failed to appreciate the weight or bearing or circumstances admitted or proved, or has plainly gone wrong, the appellant court will not hesitate to so decide. (Plotti v. Acacia Co. Ltd. (1959) EA 248 and Peters V Sunday Post ltd. (1958)(EA 428 Applied.

Inevitable accident can be a defense to a charge of negligence, but it cannot succeed unless the defendant can prove that something happened over which he had no control and the effect of which could not have been avoided by the exercise of care and skill; indeed the defense cannot be relied upon where the risk is reasonably foreseeable.

The burden of proving the defense of inevitable accident rest on the defendant. To succeed, the defendant must show one of two things, namely either what was the cause of the accident and show that the result of that cause was inevitable, or he must show all the possible causes, one or the other of which produced the effect, and must further show with regard to every one of these possible caused that the result could not have been avoided. In this case the defendant gave a plausible explanation of the cause and effect of the accident.

A common carrier has a common- law liability arising from the nature of his business and is aid to warrant or insure the safe delivery of the goods entrusted to him. But his promise is defeasible upon the occurrence of certain expected risks for example "Act of God" and the King's enemies, and injuries arising from defects inherent in the goods carried. This qualification is implied in every contract made with a common carrier, and the occurrence of the risks exonerates the common carrier from liability. It was not the respondent's case neither was any evidence adduced to show that the appellant acted as a common carrier when it undertook to clear and forward the vehicle to the respondent.

Where it is not apparent from the terms of the contract that damages for breach were to be awarded in a currency specified for the satisfaction of the obligations under the contract then damages were to be awarded in the currency which most truly expressed the plaintiff's loss.

The general principle of law is that in cases of destruction of goods, the normal measure of damages is taken to be the market value of the goods destroyed at the time and place of destruction. Where a decree is for the payment of money, the court may order interest at such rate as the court deems reasonable to be paid on the principal sum adjudged to be paid. Where such a decree is silent. With respect to payment of further interest on the



aggregate sum then the court shall be deemed to have ordered interest at 6% per annum Appeal allowed.

BILL OF LADING

MARINE

INSURANCE

Role of insurance in international trade

Insurance is about the trader's version of risk. Exporters and importers are aware that the goods being shipped are subject to risks of damage or loss as a result of the long distance undertaken. There is also the risk of the goods being delayed and thereby resulting in a lost market. The trader knows that while he is able to sue the carrier of the shipper of the goods for any loss, by insuring the goods he has recourse to the insurers without needing to go to litigation.

By having insurance taken out on the goods, trader knows for certain or at least to a substantial degree that if the goods are damaged or lost, he will be entitled to be indemnified by the insurers. This certainty is something he is prepared to pay for as long as the price for this peace of mind is reasonable. In CIF contracts for example, it is expressly provided that the seller is to ensure that the goods are properly insured for the buyer's benefits. Even in an FOB sale, the buyer will want to have the goods insured so that his risk will be minimized.

In an export transaction, the terms of the contract of sale provide normally whether the cost of marine insurance shall be borne by the seller or by the buyer. If the goods are sold on FOB terms, these costs have to be paid by the buyer and that is even true if the FOB seller, by request of the buyer, has taken out the policy. If the goods are sold on CIF terms, it is the duty of the seller to take out the policy and pay the costs of insurance.

The marine insurance policy or the marine insurance certificate forms parts of the shipping documents where goods are sold CIF the seller is obliged to take out a marine insurance policy or certificate which provides cover against the risks customary covered in the particular trade in respect of the cargo and voyage in question; but he is not required to do more.

Contracts of insurance are typically, negotiated by brokers on behalf of a client, with underwriters.

A policy of insurance may be underwritten (insurance cover provided) by a single underwriter or by several. If several underwriters have been accepted a proportion of the risk, a series of separate contracts will come into being, between the insured and the individual underwriters as he subscribed for the agreed amount. The process of effecting insurance is well described by Kerr J in *General Re Insurance Corp. v. Forsakringsaktie bolaget Fennia Patria* (1983) QB 856, "each rule written on a slip

give rise to a binding contract pro tanto – (for that amount) between the underwriter and the insured, the underwriter is therefore bound by this line, subject only to the contingency that it may fall to be written down on “closing to some extent if the slip turns out to have been over-subscribed.

In Uganda, policy of marine insurance is the subject of Marine Insurance Act 2002

- Marine insurance is defined under S.3 of the Marine Insurance Act 2002



- Marine Adventure is defined in S.4
- **Maritime perils defines in S.2**

Means the perils consequent on or incidental to the navigation of the sea and inland waters namely, perils of the sea and inland waters, fire, war, pirates rovers, thieves, captures, restraints and detainment of foreign governments and peoples, jettisons and barratry, and any other perils of the like kind or which may be designated by the policy and perils of land incidental to sea voyage.

The assured, Insurer and Broker.

The parties to a contract of marine insurance are known as the assured and the insurer, the undertaking agent is usually but not necessarily a member of the syndicate for which he acts. The duty of underwriting agent is usually but not necessarily a member of the syndicate for which he acts. The duty of an underwriting agent is to conduct the affairs of the syndicate in good faith and for the benefit of the syndicate as a whole; **Daly v Line Street Underwriting Agencies (1987) 2 FTLR 277**

In the normal course of business the exporter who wishes to have his goods insured, does not approach the insurer directly but instructs an insurance broker to effect insurance on his behalf. The instructions given are in forms and transformed into a document called "the slip" which is taken to a marine insurance company. An insurer, who is prepared to accept part of the risk, writes on the slip the amount for which he is willing to insure and adds initials known as "writing a line"

In General Re Insurance Corporation v Fors (1983) QB 295 it was held that the presentation of the slip by a broker to an underwriter constitutes an offer and "writing a line" constitutes an acceptance by the underwriter.

When the risk is covered, the broker sends the assured memorandum of the insurance effected which is conveniently enclosed on a duplicate form of the instruction. According to the nature of insurance, which the broker was instructed to obtain, the memorandum assumes the form of a closed or open cover note.

A closed cover note is sent if the assured in his instruction has given full particulars as to cargo and shipment and the insurance has this made definable.

An open cover note is sent if the instructions are required from him to define the cargo voyage or interest shipped under the insurance, this happens where the assured requires open cover as a floating policy or where he reserves the right to give closing instructions.

The insurance broker should as a matter of prudent business practice, notify the assured promptly of the terms of the insurance which he arranged for him and forward the cover note as soon as possible but he is not under a legal duty to do so.

In United Mills Agencies Ltd. V. Re Harvey, Bray & Co. (1952) 1 LTR 149 the plaintiff instructed the defendant insurance brokers to effect an open marine insurance on the goods, obtaining insurance cover. On April 2, the brokers reported

that the cover was placed, and on April 4, the sent the assured the cover not which did not contain a clause covering the goods



while at packer. In the night of April 4-5 goods of the value of 8000 pounds, were destroyed by fire at warehouse of packers. The action of the assured against the brokers for damages was desired. *McNair J.* held that the brokers were not negligent by not insuring them in the hands of packers as not informing the assured that they had not so insured them.

Sec 21 when a contract is deemed to be concluded.

Insurance

It is obvious that the insurance contract is similar in genus to the wagering or gaming agreement. They both deal with contingencies and payment upon the occurrence of these events. The common law has a natural and moral aversion to wagering contracts and it is trite principle therefore that wagering contracts are not lawful. One way to overcome this “immorality” of insurance contract is to ensure that only people with an appropriate or insurable interest in the property or subject matter should be entitled to insure.

A contract of marine insurance will be totally invalid unless the party for whose benefit it is made has or expects to acquire an insurable interest in the subject matter insured.

Sec. 5 of MIA – Defines as insurable interest

Read: National Insurance Corporation v Span International Ltd. (1997 – 2001) Uganda Commercial law Reports 100

Sec. 5(2)

Sec. 6 –when interest must attach

Though the assured must have an insurable interest, it is sufficient if he has acquired it by the time of the loss. In such a case, however, he must have expected to acquire an insurable interest when the contract of insurance was made, otherwise it is void.

A legal or equitable interest in the subject matter of the insurance is crucial. It is not enough that the assured has a financial stake in the success of a particular enterprise.

For example, stevedores or warehousemen who expect to make a profit from the use of their services where a vessel arrives in port lack the necessary direct involvement to have an insurable interest in the transit or the goods being carried.

To have an insurable interest in goods, those goods must be identified with sufficient particulars. It is not necessary that they be identified as the subject matter of the contract of sale. It is sufficient that they constitute the source from which that subject matter will be drawn in the sense that the seller has irrevocably converted the goods to the performance of the contract.

In **Inglis v. Stock (1885) 10 App Cas 263**; it was held that an FOB buyer was held to

have an insurable interest in a cargo sugar in Bulk, half of which he had bought from the shipper and half from another buyer from the shipper. No separation of cargo was ever made between the two contracts. The assured must stand to gain or lose according to whether or not they are delivered safely and promptly. In other words he must be contractually at risk of these vents.



If the insured has such an interest, he can recover for an insured occurring the period of insurance cover, notwithstanding that the loss occurred prior to the insurance contract being concluded, unless the assured was aware of the loss and the underwriters were not.

To be interested in the preservation of a thing, is to be so circumstanced with respect to it as to have benefit from its existence, prejudice from its destruction. The property of a thing and the interest divisible from it may be very different of the first price is generally the measure, but by interest in a thing every benefit and advantage arising out of or depending on such things may be construed as being comprehended.

Essentially, in order to have an insurable interest in property, a person must in some way suffer loss as a result of its loss or destruction.

If a person accepted to insure property, which he has, no insurable interest, the contract is not one of insurance and is void. Such a contract is void both as being against public policy and also as being contrary to the statutory prohibition against contracts of marine insurance by way of gaming or wagering.

Clearly, the party in whom the property in the goods because he may have to exercise his right of stoppage in transit. He has also a defeasible interest in them until the buyer is deemed to have accepted the goods and thus lost his right to reject them.

A carrier has an insurable interest in the goods entrusted to him since he is in principle liable to the cargo and sue on the policy as trustee of the owner.

Premium

The premium is payable to the insurer when he issues the policy unless another arrangement is agreed upon by the parties or required by the trade customs.

Section 52 – when premium payable

Section 53 – [policy effected through

broker Section 54 – effect of receipt

on policy

A proportionate part of the premium can be reclaimed where the assured has overinsured under an unvalued policy. Section 84(3) e, but not where he has done so under a valued policy because here the agreed valuation is as a rule binding on both parties.

A contract of unrimmae fidei

A contract of marine insurance like every contract of insurance is a contract based upon the utmost good faith (contract ubrimmae fidel) and of the utmost good faith is not observed by either party, the contract may be avoided by the other party. As a

request, the assured is required to make certain disclosure. Failure to do so will entitle the insurer to cancel the contract from its very commencement, and no liability will accrue. This is an exception to the normal contractual principle, which allows contracting parties to remain silent even if they possess information, which they know, would affect the judgment of the other side.



Blackburn J. in Joinder v Pender (1874) LR 9 QB 531, said;

It is perfectly well established that the law as to contract of insurance differs from that as to other contracts and that a concealment of a material fact. Though made without any fraudulent intention, vitiates the policy.

This rule is encapsulated in **section 17 of MIA**

A contract of marine insurance is a contract based upon utmost good faith, and, if the utmost good faith is not observed by either party, the contract may be avoided by the other party.

Section 18(1) states:

Subject to this section, the assured must disclose to the insurer before the contract is concluded every material circumstance which is known to the assured, and the assured is deemed to know every circumstance which in the ordinary course of business ought to be known by him/her and if the assured fails to make that disclosure, the insurer may avoid the contract.

“material circumstance” are defined as those which would influence the judgment of a prudent insurer in fixing the premium or determining whether he will take the risk” If an agent affects the policy, he must disclose every material circumstance known to him as well as every material circumstance known to the insured. It is sometimes said that the agent is deemed to know that the principle knows and vice versa.

See section 19- disclosure by agent of broker affecting of contract

Section 20 – representatives pending negotiation of contract

A policy may be vitiated for non- disclosure of information of which the assured (or his agent) ought to have been aware, even if he was in fact ignorant. In **London General Insurance Co. v General Marine Underwriters Association (1921) KB 104**; the plaintiff insured a cargo which as they had the means at hand to discover, had already been lost. The court of appeal held that the defendant insured were not liable on the policy even though the same information was also available to them.

Although section 18 entitles the assured to withhold certain information including anything which the insurer ought to already know, it was decided that the insurer could not be expected to remember information which at the time it was made available to them was of no particular relevance.

Court of Appeal in **C.T.I v. Oceans (1984) 1 LIR 476**; that the information withheld would have influenced the insurer's judgment not what that judgment would necessarily have been a different one.

The information revealed to the insurer must be true. Insofar as it consists of representations of exception or belief these must be made in good faith insofar as it consists of statement of fact these must be substantially correct. A statement of fact is

substantially correct if a prudent insurer would not consider the difference between it and the actual truth material. **Section 20(4).**



The contract may provide that cover is to continue, at an additional premium should the assured wish to affect certain changes in the insured voyage or should it transpire that certain information regarding the subject matter was withheld or inaccurate. The exact amount of the additional premium is typically to be arranged after the event. Such a provision is known as a “held covered” clause.

In absence of inquiry the following circumstances need not be disclosed **section 18(3)**

- Any circumstance which diminish the risk
- Any circumstance which is known or presumed to be known to the insurer is presumed to know matters of common notoriety or knowledge, and matters which an insurer in the ordinary course of his/her business, as such ought to know.
- Any circumstances as to which information is waived by the insurer.
- Any circumstances which it is superfluous to disclose by reason of any express or implied warranty.
- 18(4) whether any particular circumstance, which is not disclosed, is material or not in each case a question of fact.
- Once there is non-disclosure, be it fraudulent, negligent or innocent, the aggrieved party is entitled to elect whether he will avoid or affirm the contract. In **Bangue Keyser Ullman SA Skandia (UK) Insurance Ltd. *1989) 3 WLR 25**, it was held that an aggrieved party could not claim damages and such a claim could not be founded on contract or statutory duty but could but could only be brought in tort.

Avoiding the contract necessarily returning the premium unless there is fraud- **section 84(1)**.

The rules for construction of policy, which are appended to the Act – 2nd **schedule** provide that the term “goods” in the nature of merchandise but in the absence of any usage to the contrary, deck cargo and living animals must be insured separately.

Read:

- Span International Ltd. v National Insurance Corporation (1997 – 2001) Uganda Commercial Law Reports 404

- National Insurance Corp. V Span International (1997 – 2001)
Uganda Commercial Law Report 100
- Container Transport International V Oceanus Mutual
Underwriting Association Bermuda (1984) 1 Lloyds Rep 476
CA,



- Far East Shipping Co. Ltd. V Scafes Trading Ltd. & Geo H Scales Ltd.
(200) All ER (comm)319.

Types of policy;

Section 22 – contract to be embodied in

policy Section 23- what policy must be specified

a. Valued and unvalued policies

The marine insurance act distinguishes between valued of the subject matter insured. Sec. 27(2), an insurance policy state merely the maximum sum insured and leaves the insurable value to be ascertained subsequently.

The remain difference between these two types of policy is that in the case of a valued policy the value fixed by the policy is in the absence of fraud conclusive of the insurance value of the subject insured.

Section 27(3) while in the case of an unvalued policy the value of the insured goods has to be proved by production of invoices, vouchers, estimates and other evidence. In the case of unvalued policy, the insurable value of the goods or merchandise is the prime cost of the goods, plus the expenses of an incidental to shipping and the charges of insurance upon the whole Sec. 16(3).

The difference between valued and unvalued policies is of great practical importance. In a value policy, the buyer's anticipated profits are normally included in the value declared by adding a percentage of say 10 or 15% to the invoice value and the incidental shipping and insurance charges of the goods. In an unvalued policy, the buyers anticipated profits cannot be include in the insurance value.

If however, the value is not declared until after loss or annual policy will not be treated as unvalued, and the actual value must be calcurated in accordance with the formula in Sec. 16©

In *Berger v Pollock* (1973) 2 LIR 442; Kerr J. held that a court must do its best to ascertain the true value of the goods at the commencement of the insurance adventure. This amount can be summarized by the phrase “commercial value”

b. Voyage & time and mixed policies

A policy of marine insurance will either be a time policy, a voyage policy or a hybrid. As the name suggests, a time policy will provide cover for a particular period of time, while a voyage policy will insure for a particular voyage. A hybrid will cover a particular voyage to take place within a designated time.

Section 25

A time policy, which is made for any time exceeding 12 months, is valid. Section 25(3).

These policies may contain the continuous clause under which the parties argue that, “should the vessel at the expiration of its policy be at sea, or in distress or at a port of



refuge or of call, she shall, provided previous notice be given to the underwriters, be held covered at a pro rata monthly premium to her destination”.

Mixed policies are issued in the frequent instances where the goods are insured under a contract for both voyage and time. Here the insurer is only liable under the insurance when a loss occurs during the period of insurance and while the ship is of the specified voyage.

In **The Eurysthenes (1976) 3 ALLER 243**; the COA held that a policy which was automatically renewed from year to year, unless determined by either side, was a time policy.

The principal differences between time and a voyage is laid out in Sec 39 MIA. In a voyage policy there is an implied warranty that the ship shall be seaworthy at the time at any time, unless the ship is sent to sea in an unseaworthy state with the privity of the assured.

In the *Eurysthenes* Cargo was lost or damage owing to ship. The carriers settled the goods owner's claim, and sought indemnity from their insurer. The COA decided that the ship had been sent to sea in an unseaworthy condition with the privity of the plaintiff. The ship owners contended that only actual willful misconduct would deprive them of the protection of their insurance. The insurers countered the true condition of the vessel would suffice. COA held that mere negligence was not enough to disentitle the ship owner but either actual knowledge or deliberate evasion in turning a blind eye to the true nature would be enough.

A cargo owner may well be in an invidious position with regard to his insurance. He is unlikely to be aware of the condition of the carrying ship, yet he may lose his cover if the ship is unseaworthy.

In a voyage policy there is an implied condition that the voyage shall begin within a reasonable time. **Ss42(1) and 48**, and that it will be prosecuted with his cover if the ship is unseaworthy.

According to section 26(1) the subject matter insured must be designated with reasonable certainty. The policy may, however leave the insured free to provide specific details, not a kind to alter the risk, Later. In this case the policy is a floating policy and the provision of **sec 29**. However erroneous declarations made in good faith may be rectified even after loss of goods or their safe arrival.

The actual detail not specified at the outset a floating policy is the names of the carrying ship.

Section 20(4) discourages shippers from waiting until they have knowledge as to whether or not a particular shipment has arrived safely before deciding whether or not to declare it.



The floating policy often contains a clause obliging the assured to make declarations of shipment as early as possible. It has been held in **Union Insurance Society of Canton Ltd. V George Wills & Co. (1916) 1 AC 281**; that an assured who in breach of this undertaking omitted to make a declaration at the earliest possible moment was not entitled to recover under the policy for loss suffered by him, the assured could not rely on sec 29(3) because it was a case in which no declaration at all had been made within the express terms of the contract and the insurer had consequently lost the opportunity of revising the risk.

c. Open covers

The open cover combined with the issue of insurance certificates has become the most common and most popular form of insurance used in export trade. The open cover is another method of effecting a general insurance for recurring shipments, thereof which are unknown when the insurance is taken out.

The open cover, like the slip is not an insurance policy but is a document by which the underwriter undertakes subsequently to issue policies within the terms of the cover.

The open cover may be limited in time or may be permanent while the floating policy is normally limited to 12 months. Special conditions are laid down in the open cover for the determination of the insurable value. It is sometimes provided that, if that value of a consignment is decided before the loss occurs, the declaration of value shall be binding, but, where the loss occurs before the declaration, the basis of valuation shall be the prime cost of the goods plus expenses, freight, insurance and a fixed percentage of profit usually 15%.

The difference between the floating policy and the open cover may be as follows; in case of a floating policy the assured becomes a formal policy document. In case of an open policy is used and the arrangement is more informal but the assured is entitled to demand a policy if he requires it.

Warranties

The protection offered by a contract of Marine Insurance may range from the virtually comprehensive to the particular. But in any event the policy may indicate certain requirements that must be satisfied as a condition of cover detaching or continuing.

Section 33(3) MIA – A warranty means a promissory warranty namely, a warranty by which the assured undertakes that some particular thing shall or shall not be done, or that some conditions shall be fulfilled, or by which he or she affirms or negatives the existence of a particular state of facts.

Section 33(2) A warranty may be express or implied

Section 33(2) A warranty is a condition which must be exactly complied with whether it is immaterial to the risk or not, and if it is not so complied with, then, subject to an express provision in the contract, then the insurer is discharged from liability as from the



date of the breach of warranty, but without prejudice to any liability incurred by the insurer before the date.

The Act implies six terms

- i. There is an implied warranty that the adventure is lawful and so far as it is within the control of the assured.
- ii. In voyage policies there are implied warranties that the ship is seaworthy at the beginning of the voyage.
- iii. That she is reasonably to carry the goods to their destination.
- iv. That she is reasonably to fit to encounter the ordinary perils of the sea.
- v. That the commercial of each stage she will be sea worthy with regard to that preparation or shipment.
- vi. That the adventure will begin within reasonable time.

However by section **87 MIA** the parties can contract but any or all of the provisions although they cannot prevent the principles of the doctrine of illegality.

In addition to promissory warranties there are certain promissory requirements, which the assured must meet. **Section 43** – the departure from a place other than that specified in the policy will prevent the risk altering.

Section 44 where the destination is specified in the policy and the ship, instead of sailing for that destination, sails for any other destination, the risk do not attached unless the insurer is notified in advance and concurrence obtained.

In a time policy, where no route is specified, the ship must follow the customary one. A lot of excuses for deviation is given under **section 49(1)** (read in detail) This is more extensive than that provided by The Hague Visby Rules.

Proximate loss

The insurer's liability in the event that the pre-conditions are satisfied is for any proximate loss caused by a peril insured against with the terms of the policy **section 55(1)**.

In **Leyland Shipping Co. Ltd. V Norwich Union Fire Insurance Society Ltd. (1918) AC 350**, a ship owner claimed for a loss caused by a peril of the sea. The insurers countered that the loss was in fact a consequence of war against which ship owners were not protected. The ship had been torpedoed- (hit), but managed to make safe harbor where repairs might have been effected. However, she was required to move to a more exposed part of the beach by the harbor authorities. There she grounded and was buffets by the sea that she eventually broke up. House of lords

ruled that the effected of the torpedoing had continued through despite the ultimately futile attempts to save the ship and caused her loss.

SIKIA
Low

In **Smith Hogg v Baltic Sea Insurance Cop. (1940) AC 997** an overloaded and therefore unseaworthy ship capsized when her master negligently refueled her. The House of Lords held that the resultant damage to cargo was caused by the seaworthiness for which the defendant insurer were liable rather than the act or default of the master for which the defendant insurer were rather than the act or default of the master for which they were not.

Exceptions under S 55(2)

Under Sec 55(2) (b) the insurer is not liable for loss proximately caused by delay even though the delay itself is caused by an insurance peril e.g a ship runs aground and in consequences a cargo owner misses a favorable market, he will be unable to claim for the loss. S55(2)(c) the insurer is not liable for ordinary wear and tear, ordinary breakage and breakage, inherent vice or nature of the subject matter insured or for any injury to machinery not proximately caused by maritime perils.

In **Season v Yorkshire Insurance Co. (1923) LIR 129**; cigarxetter being shipped to Baghdad were insured against damages by mould and mildew. On arrival they were found to be damaged. Arkin J expressed a doubt whether a loss which was bound to manifest itself as a result of the journey undertaken could ever be the subject of the insurance.

In **Soya Gmbtt Mainz v White (1983) 1LIR 122**; the house of Lords held, as a matter of common sense, that loss from inherent vice could be insured against, and section 55(2) c displaced, even though the relevant clause did not expressly impose liability for inherent vice and was capable of applying to losses from the clauses.

CARRIAGE OF GOODS BY AIR

The International carriage of goods by air is governed by International convention. Air carriage (including the carriage of passenger and their baggage) is governed by the Warsaw convention 1929. There have been a number of amendments to this convention.

Hague protocol of 1955

Guanalagaira convention of

1961 Guatamala city protocol

of 1971

Montreal amended version now called Convention for the Unfication of certain rules for international. Carriage by Air, Montreal, 28 May 1999.

Art. 55 of the Montrea; convention provides that this convention shall apply to international carriage air between state parties to this convention by vitue of those states commonly being party to (ealier protocols and convention mentioned above).

Scope of application

Art 1 (1-4)

Sale contract based on carriage by air



There are certain similarities between sea and air carriage contracts in that both are based on a distractive form of transport only available between special departure and arrival points.

Seller and buyer will have their own road accept and possibly their own railway sidings, but they are unlikely to own sea or airports.

The sale contract in which the parties envisage the carriage of the goods by air are model on the established forms of contract that envisage carriage by sea. Sale contracts “Ex- works” or Free Delivered” can obviously be made in the same was whatever model of transport is envisages, but quite common to sell goods on such terms as FOB Entebbe Airport or CIF Entebbe.

The amount of cargo carried by air is small when compared with the vast bulk carried by sea, but is more the less significant. Air carriage is used for small or light consignment when speed of transit is desirable and air carriage tends to be more varied and more valuable sea cargoes.

Most of law arising in this area turns on the interpretation and applicability of the provisions of the various conventions. An approach to the interpretation of the international convention was indicated in *Fothergile v Monarch Airlines* (1980) 1 All ER 696, the Warsaw convention on carriage by air provides that a complainant must, within a specified time give notes in writing of “damage” to goods or baggage if he is to be able to maintain an action against the carrier in respect of the damage.

The plaintiff noticed and reported damage to his suitcase but did not discover loss of some of its contents until the specified time had elapsed. He argued, however, that the convention restricted the time for giving notice of damages but said nothing about “loss” The majority of the Court of Appeal took the view that “damage” must be constituted in its ordinary sense which could not include “loss”. The House of Lords reversed this decision taking into account among other things, the differences between drafting practice in statutes and those in convention and that a strictly literal construction is not appreciate. Their Lordships considered it proper to consult the other language texts of the convention in order to discover its purposes.

The term international carriage refers to flights within a single country e.g. London to Manchester but involving an agreed stopping place in another state. In *Grein V Imperial Airways Ltd.* (1937) 1 KB. The flight from London to Antwerp in Belgium (when Belgium was not yet a contracting state) and back to London was held to be within the parameters of the convention.

Document of carriage

The document of carriage is called an Airway Bill

(AWB Art. 3- Passenger & Baggage

Art. 4- cargo

Art 4r 1 - air way bill

Art. 5 - content of airway bill

Art. 7- description of airway bill



Art. 9 - responding for particular of document

If, with the consent of the carrier, cargo is loaded on board without an airway bill or if the AWB does not contain a notice to the consignor, to the effect that, if the carriage invoices an ultimate destination or stop in a country of departure, the Montreal convention may be applicable and the convention governs and in most cases limits the liability of the carrier in respect of loss or damage to cargo Art 22.

Airway

bill Art 4-

8

In Westminster Bank v. Imperial Airways (1936) 2 All ER 890, it was held that the statement in the airway bill as to the application of the convention must be explicit and that a vague para- phrase would not suffice. The statement that the carriage lost the benefits of the provisions limiting his liability.

The consignor is responsible for the accuracy of those particulars relating to the goods which he inserts in the airway bill and is liable for any damage caused by omission or accuracy.

The airway bill is prima facie evidence of the conclusion of the contract of carriage and of its condition and also of the weight, dimension and packing of the goods and of the number of packages but statement of quality, volume are not evidence against the carrier unless they have been checked in his presence and the airway bill this

Art. 13 : Delivery of the

cargo Art: 16 formalities

of customs Liability of the

carrier

Art. 17 damage of cargo.

Art. 18 (2) Extent of liability/ not responsible (a), (b), (c) ,& (d)

The carrier of goods by air is automatically liable for the destruction of loss of or damage to delay of cargo if it occurs during the carriage by air.

The convention to which effect is given in the WC of the carriage by Air Act creates a statutory right of action (American Express Co. v British Airways Board (1983) 1 WLR 701.

The carrier has the right to use specified defenses if he can, but he cannot contract out liability or for a lower limit of liability.

In *Gatewhite Ltd. v Iberia Lineas Aereas de Espana Sociedad* (1989) 1 Lloyd's Rep 160 it was held that the persons who have rights of action are the consignor and the consignee but the owner of the damage or lost goods is likewise entitled to sue the carrier of his right of action is not expressly excluded by the Warsaw Convention.

It is thought, however, that the convention provisions limiting the rights of the consignor and the consignee to sue likewise apply to the right of action of the owner.



Carriage by air comprises the whole period during which the cargo is in the charge of the carrier, whatever in an aerodrome or on board an aircraft or in the case of lading outside an aerodrome in any place whatsoever.

Carrier's defenses

Art 18(2) extent of

liability Art 19 delay

Art 20 exoneration

The defense of negligent pilotage or negligence in the handling or navigation of the aircraft is not available to the carrier and that he may by contract provide that he is not be liable for damage to cargo caused by inherent vice or the nature of the cargo.

The liability of the carrier to avail himself rests on not a "willful misconduct" but on intention to cause damage or to cause damage recklessly and with knowledge that damage would probably result.

In *Horabin v British Oversea Airways Corp.* (1952) 2 All ER 1016, Barry J held "to be guilty of willful misconduct the person must appreciate that he is acting wrongfully or in wrongfully omitting to act, and yet persists in so acting or omitting to act regardless of the consequences or acts or omission to act with reckless indifference as to what the results may be"

Limits of liability: Art 22(3) &

(4) Servants, agents claims –

Art 30 Limitation of action

The time limits for written complaints by the persons entitled to delivery have been provided under Art. 31, r & 2 – In case damage 7 days checked baggage and 14 days for cargo.

In case of delay complaint within 21 days from the date on which the baggage or cargo have been placed at his/her disposal.

Art 31 r 3 every complaint must be made writing and given or dispatched within the times aforesaid.

Art 31 r 4- If no complaint is made within the times aforesaid, no action shall lie against the carrier, save in the case of fraud on its part.

Art 35 r 1 the right to damages shall be extinguished if an action is not brought within a periods of 2years.

Jurisdiction – Art 33(1)

An action for damages must be brought at the option of the plaintiff, in the territory of one of the state parties, either before the court of the domicile of the carrier or of its principal place of



business, or where it has a place of business through which the contract has been made or before the court at the place of destination.

Carriage by Air Perfumed by parson other than the contracting

carrier Art 39 – contracting carrier actual carrier

Art 40 – respective liability of contracting and actual carrier

Servants and Agents

Art 43 – be entitled to avail themselves of the conditions and limits of liability which are applicable under this convention to the carrier whose servant or agent.

Insurance – Art. 50

Art. 52 – Definition of days “Days” means day, not non-working days

Art 53 r 3 this convention shall be subject to ratification by states and regional economic integration organization which have signed it.

No clear evidence whether Uganda ratifies the Convention but since it is a member of IATA, it is presumed that it binds it. IATA Carriage

A further measure of uniformity in the rules relating to cargo is introduced by the partie of members of the International Air Transport Association (IATA) Who have common form of airway bill and associated conditions of contract which appear on the reverse of the 3 original copies.

IATA conditions of contract cannot in any way derogate from the provisions of either the original or the amended conversion.

Refer to IATA term & conditions at the back of an air ticket or airway Bill.

DOCUMENTARY CREDIT UNDER UCP 600 (REVISED 2007)

Introduction

Paying for goods in international sales presents special problems for both buyer and seller. There is a problem of the seller handing over the goods with one hand while receiving cash payment with the other when the parties are dealing a distance.

How can a simultaneous exchange be affected when buyer and seller are in different location? The parties can be provide for some alternative timing of performance, but the seller is unlikely to be willing to part with goods without some security for payment and by the same token the buyer is unlikely to be willing to part with his money without its insurance thus the risk of the others insolvency, dishonesty or simple bloody mindedness’ partial solution of this dilemma was achieved when bill of lading were recognized as documents of title, thus giving their holder symbolic control over the goods. In particular the holder has the ability to sell or raise money

on the goods before they come into actual possession. The duties or parties in a CIF or FOB contract require the seller to tender documents to the buyer and the buyer to pay cash in exchange. Even



if the buyer is willing to pay cash, this method requires the presence of one party or his agent at the other's place of business.

Today the large majority of transactions substitute for this classic method of performance the use of a banker's commercial or documentary credits. These are governed by the **Uniform Customs and Practice for Documentary Credits (UCP 600 (2007) Revision)**

The New UCP 600: Changes from UCP 500

WHEN DOES UCP 600 become effective?

July 1, 2007 was the date of which letters of credit become governed by UCP 600

For existing credits that incorporate the UCP without reference to a specific UCP version the credit will likely need to be amended to reflect it is governed by UCP 600. A subject to UCP 500 will not automatically be subject to UCP 600 unless the credit UCP 600 is amended.

UCP 600 effective date is July 1, 2007 for credits that provide for UCP 600 TO control but a credit CANNOT be subject to UCP 600 prior to 7/1/07

Why change?

The UCP rules first published in 1933, and revised by the ICC in 1951, 1962, 1974, 1983 and 1993. The UCP 500 became effective in 1994. Global logistics and new technologies need to be incorporated in I/CS under the UCP 500 there were issues with high discrepancy rates (reportedly between 70 and 80%), numerous interpretive inquiries to the ICC, many lawsuits, and then in 2004 and 2005 bills of lading started to have various disclaimers which allegedly impacted the applicability of various UCP provisions. This latest revision took more than three years for the International Chamber of Commerce (ICC) to develop. There were 15 drafts and over 5000 comments. According to ICC, the UCP 600 sets out the modern rules for a changing world.

What are some of the more important changes?

The ICC summarizes the UCP 600 changes as:

A leaner set of rules, with 38 articles rather than the 49 articles of UCP 500.

A new section of "Definition" containing terms such as "honour" and negotiation" a replacement of the term "reasonable time" with a definite number of days for examining and determining compliance of documents,

A new provision concerning address of the beneficiary and the applicant. An expanded discussion of "original documents"

Re-drafted transport articles aimed at resolving confusion over the identification or

carriers and agents.

UCP 600 Major Changes

Articles removed:



Article 5: Instructions to Issue/Amend

Credits Article 6 : Revocable vs

Irrevocable credits Article 8: Revocation

of a credit

Article 12: incomplete of unclear Instructions

Article 30: Freight Forwarder Transport

Documents

Article 38: Other documents reasonable time “ and without delay” have been deleted. Banks are simply allowed five days to examine documents and assert any discrepancies. New articles 14(b) and 16(d). The UCP 500 allowed a reasonable time not to exceed 7 days. **Now, The Processing, Either Making** payment of rejecting payment must be within 5 days only from the presentation of documents.

New Definitions

Confirmation: Means a definite undertaking of the confirming bank , in addition to that of the issuing bank, honour or negotiate a complying presentation.

Honour: Pay at sight if the credit is available by sight payment to incur a deferred payment and pay at maturity if the credit is available be deferred payment to accept a bill of exchange (draft” drawn by the beneficiary and pay at maturity if the credit is available by acceptance.

Negotiation: Means the purchase by the nominated bank of drafts (drawn on a bank other than the nominated bank) and/ or documents under a complying presentation, by advancing or agreeing to advance funds to the beneficiary on or before the banking day on which reimbursement is due to the nominated bank.

Other Changes:

- Article 6 and 8: Changes to irrevocable Credits. All credits under UCP 600 are deemed to be irrevocable unless clearly stated to the contrary.
- Article 7, issuing Bank Undertaking has a new clause (b) which states An issuing bank is irrevocably bound to honour as of the time it issues the credit.
- New Article 10 © provides that the terms of the original credit remain in force until beneficiary accepts or rejects amendment and if beneficiary fails to do so presentation of a draft will be deemed to be acceptance. A beneficiary can be deemed to accept an amendment by a presentation

alone.

- New article 12: What constitutes nomination of a bank in a credit. Such nomination authorizes confirming bank to discount of time payments, including differed payments. Consistency of documents requirement restated.

-

New Article 14(d) New Article 14(j) addresses in the credit do not have to match the addresses in the documents in the shipping documents or in any other stipulated document exactly but must be in same country of beneficiary and applicants will be disregarded



except when address of consignee appear they must be as stated in the credit
New Article

14(k). the shipper/consignor need to be the beneficiary of the letter of credit.

Article 16(C) (iii) allows an issuing bank to refuse documents and then release documents upon obtaining a waiver of discrepancies. This allows a seller to provide instructions on the remitting schedule on how the discrepant documents should be dealt with when issuing Bank rejects them.

Article 17, Original documents copies, includes a new clause, which states that at least one original of each document stipulated in the credit must be presented. However, a document bearing the word “original” is deemed to be an original’s changes in Transport Documents.

New Article 19: Multimodal transport documents to conform to new SWIFT standard .”In all places where “ multimodal transport document is issued. It is also includes the term “combined transport documents” In essence, multimodal transport document does not have bear one name or another but to fulfill the conditions set in UCP.

New article 20: Bill of lading now means port- to -port

Article 27 revision: The word “clean” is no longer required to appear on the transport document even if credit requires that transport document evidence” clean on board”

New article 35 provides additional language about lost documents. A bank assumes no liability for loss when documents are transmitted per the credit terms of when the bank takes the initiative in the choice of delivery.

Article 38 weight of goods to be evidenced on transport documents and declaration of weight/stamp has been completely removed.

The rules regarding the independence principle and substantial compliance have been shifted about and the language modified but the principles remain the same. Accredited remains an independent undertaking of the issuer, separate from the contracts between the applicant and beneficiary.

Under the UCP 500, banks were not obligated to examine or handle extra documents not required under the credit. That provision is retained in UCP 600 banks are not going to check any extra documents presented by the letter of credit drawing.

Nature of documentary credit

The feature common to all types of letters of credit is in accordance with the agreement between the seller and the buyer in the contract of sale. (The underlying contract”) the buyer arranges that payment of the price is made by a bank, normally at the seller’s place on presentation of specified documents which normally are at the

seller's place usually include the transport and advised by the bank to the seller.

On presentation of the documents the bank pays the purchase price according to the terms of the credit, by right payment differed payment, as by acceptance as negotiation of all bill of exchange drawn by the seller. On presentation of the documents the bank pays the purchase price



according to the terms of the credit, by right payment differed payment, as by acceptance as negotiation of a bill of exchange drawn by the seller.

The essence of the letter of credit transaction is its documentary character i.e. where the goods are represented by a bill of lading; this document of title is used as a means of financing the transaction.

Ackner LJ in *United City Merchants (investments) Ltd. v Royal Bank of Canada* (1982) Q.B. 208, 247; described the function of letter of credit as the general course of International commerce involves the practice of raising money on the documents so as to bridge the period between the shipment and the time of obtaining payment against documents.

The paying banker is prepared to pay the exporter because it holds the documents as collateral security and if necessary, can take recourse to the buyer as instructing customer.

Article 1 Application of UCP Article 2 – Meaning of credits

The setting up of a documentary credit between any two banks in any two locations is in general a very straight forward matter, and the documentary credit system has been rightly described by Kerr J in ***Herbottle v National Westminster Bank* (1978) QB 146** as the “life – blood of International commerce”.

The law governing commercial credits has developed with a view that the financing transactions should be autonomous and proceed according to its own terms and provides, independently on the underlying contract of sale and any differences and disputes that might arise from it. This underlying tenet can be found in article 3-credits by their nature are separate from the sales or other contracts. Article 4 states that in credit operations all parties concerned deal with documents and not goods, services and or performance to which the documents may relate.

Stages of a letter of credit transaction

Where a payment under LC is arranged, four stages can normally be distinguished.

1. The exporter and the overseas buyer agree in the contract of sale that payment shall be made under a letter of credit.
2. The overseas buyer (acting as “applicant for the credit”) instructs a bank at his place of business (known as issuing bank) to open a letter of credit for the UK exporter (known as the beneficiary) on the terms specified by the buyer in his instructions to the issuing bank.

3. The issuing bank arranges with a bank at the locally of the exporter (known as the advising bank) to negotiate, accept or pay the exporters' draft upon delivery of the transport documents by the seller.
4. The advertising bank informs the expoeter that it will negotiate accept or pay his draft upon delivery of the transport documents. The advising bank may do so either without its own engagement or it may confirm the credit opened by the issuing bank.



Issuing bank advises the exporter of the credit opened in his favor, either directly or through a branch at the exporters' place. This process provides for the tendering of correct documents before the expiry of the credit.

Article 10 – Amendments

The effect of a confirmed credit has been described by Diplock J in **Iran Stach Ltd. V Baker Bosley Ltd. (1958) 2 QB 130** as constituting a direct undertaking by the banker that the seller, if he presents the documents as required in the required time will receive payment.

The bank cannot withdraw from its liability to the exporter even if instructed by the buyer to cancel the credit. This is illustrated by **Hamzah Malas & Sons v British Impex Industries Ltd. (1958) 2 QB 127**; where the plaintiff a Jordanian firm contracted to buy from the defendants a British firm, a quantity of reinforced steel rods to be delivered in two installments. Payments were to be made under two confirmed credits. Both credits were duly opened and confirmed by the bank to the seller and the first was realized on shipment of the first installment but a dispute arose with respect to the second credit. The buyers complained that the first installment was not of contract quality and applied to the court for an injunction restraining the seller from drawing on the second credit or recovering any money under it. Court of appeal refused to grant the injunction on the grounds that the opening of a confirmed LC constitutes a bargaining between the banker and the vendor of the goods which imposes upon the banker an absolute obligation to pay irrespective of any dispute there may be between the parties as to whether the goods are up to the contract or not.

Contracts Generated by a Documentary Credit

- a. The buyer and the seller
- b. The issuing bank and the seller
- c. The confirming bank and the seller, and
- d. The issuing bank and the confirming bank

Though the courts have proceeded on the assumption that the banks undertaking is contractually binding and the question of when becomes so has been subject to judicial comment. In **Bunge Corp. v vegetable Vitamin Foods (1985) LIR 613** Neil J stated that “a letter of credit does not automatically entitle him to an extension of the shipment period, however, although he may agree to continue with the contract provided an extension is allowed.

Doctrine of strict Compliance

The legal principal that the bank is entitled to reject documents which do not strictly common with the terms of the credit is conveniently referred to as the **doctrine of strict compliance**. The reason underlying this rule is that the advising bank is that the advising bank is a special agent of the issuing bank and the latter is a special agent of the buyer, if such agent who has limited



authority acts outside his authority, the principal is entitled to disown the act of the agent. Who cannot recover from him and has to bear the commercial risk of the transaction.

Moreover, Art. 5 states that in credit operations all parties concerned deal with documents and not with goods, services and or other performances to which the documents may relate.

If the documents tendered are not strictly confirming with the terms of the credit and the bank refuses to accept the, the exporter should at once contact his overseas buyer and request him to instruct the bank to accept the documents as tendered.

Lord Sumner in **Equitable Trust Co. of New York vs Dawson Partners Ltd. (1927) 27 LIR 49,52**; that “there is no room for documents which are almost the same of which do just as well.

In this case the defendant bought vanilla beans from a seller in Batavia, they instructed that plaintiff bank to open a confirmed letter of credit in favor of the seller and to make finance available there under on delivery of certain documents including a certificate of quality to be issued by **experts**. Owing to an ambiguity in the cable code word the advising bank in Batavia informed the seller credit was available on the tender of a certificate “by expert”. The seller who was fraudulent shipped mainly rubbish and the expert failed to discover the fraud. House of Lords held that the plaintiff bank was not entitled to be reimbursed by the buyers because contrary to their instructions, it made available finance of the certificate of one expert only instead of at least two experts.

Read : **David Kasingwire v Standard ChateredBank (U) (2002 -2 2004)**

UCLR 170 Article 14 - Standard of Examination of documents

Article 16 - Descrepant documents and Notice

Article 17- Original documents and copies

In **Soproma S.P.A v Marine & Animal By- products Corporation (1966) 1 Lloyds Rep 367**; The Italian company bought a quantity of Chilean fish meal from a New York Company. The contract which was on a London cattle food. Trade Association was C & F Savona and provided that the buyers could open a letter of credit with a New York Bank. The documents to be presented by the sellers to that bank had to include bills of lading issued to order and marked “freight pre-paid “ and analysis certificate stating that the goods had a content of minimum 70% protein. The credit was subject to the UCP. The sellers tendered to the advising bank in New York bills of lading which were not to order and consequently were not negotiable and did not bear the remark. “freight pre-paid” but on the contrary bore the remark “collect freight” the analysis certificate showed only a protein content of 65% minimum and the goods although described in the invoices as “fish full Meal” were described in the

bills of lading only as fish meal. The buyers rejected the documents. MC Nair held that the buyers had rightly rejected the documents because; the tender of documents was irrelevant and had to be disregarded completely. He further noted that a credit, which called for documents additional to those required by the contract of sale could not be rejected, provided the additional requirements were fair and reasonable.



According to the doctrine of strict compliance, the bank is within its rights when refusing documents tendered by the seller, which do not contain all the particulars specified reasonably.

Lord Diplock in **Commercial Banking Co. v Jalsard (1973) AC 279**; Held That where the banker's instructions from his customer are ambiguous or unclear he commits no breach of his contract will the buyer if he has construed them in a reasonable sense, even though upon the closer consideration which can be given to questions of the construction in an action in court of law, it is possible to say that some other are preferred.

If the bank decides to reject the documents it must specify the discrepancies in the notice of rejection. The reason for this rule is that the beneficiary shall have an opportunity of curing the defect if he can do so before the expiry of the credit.

If the documents are rejected by the issuing bank, it must notify the advising bank at once by telecommunication or if this is not possible, by another expeditious means and documents must be placed at its disposal.

Rea:

Article 15 – complying presentation

Art 17- - 29 (specify the documents required under the letter of credit)

The bank is usually instructed to make finance available on tender of several documents in a set normally the bill of lading, invoice insurance policy certificate.

The goods must be fully described in the invoice in accordance with the credit instruction- **Art. 18**

Despite discrepancies in the letter of credit, the seller may choose to overlook them and proceed with performance. Generally speaking, the seller in such a case will be deemed to have waived the breach and will not be allowed to cancel the contract of sale without at least affording the buyer a reasonable opportunity to correct discrepancies.

In **Panontsos v Raymond Hedley of New York (1917) 2 KB 473**; here a contract for the sale of 4000 tons of flour called for payment by confirmed credit. The credit, which the buyer opened, was unconfirmed, but the seller nevertheless proceeded to ship some of the flour. He then refused to ship the balance without giving any notice to the buyer, COA held that the seller could reinstate the condition precedent that the credit be confirmed, but only giving reasonable notice.

The contract between the issuing bank and the buyer.

The applicant for credit may or may not already be a customer of the issuing bank. In either event the agreement relating to the credit will form a separate contract usually made subject to the UCP.

The UCP lays out the liabilities of customer and bank in some details. Art 4 and 20 emphasize, the bank's business is with documents, not goods. Its central obligation is to take reasonable care in the examination of documents.



In accordance with the general principles of the law of agency a bank is entitled to interpret ambiguous of under instructions in a reasonable manner. The customer will be bound by this interpretation even though, when freed from pressure of time under which banks must act, it may be possible to demonstrate that some other interpretation is preferable- *commercial Banking co v Jalsard* (1973) AC 279.

Fraudulent documents

One of the maxims on which the letter credit system is founded in its autonomy. This means that the banks engaged in letter of credit transaction are in principle, not involved in a dispute arising between the parties to the underlying contract of sale or other contract. Only one exception is admitted to this rule; the Fraud exception.

Unlike the cases of discrepancy, we are dealing with a situation in which the documents appear to be in order on their face but their tender is tainted by fraud. This fraud will usually relate to the documents themselves. They may be forged or untrue in relation to the goods to which they refer. But on their face they appear to be correct.

Because integrity of the International banking system, and the free flow of finance which, through the documentary credit format, it guarantees, are of paramount importance to world trade, the customer will be allowed to interfere only in the most extreme and clear-cut cases.

The allegation of fraud is normally raised by the buyer. He will attempt to prevent the bank from honoring the credit or the seller from drawing on it. The buyer may allege that the seller shipped rubbish instead of conforming goods or that the shipped no goods at all, or that the bills of lading were forged or fraudulently false in that they were antedated to show shipment within the stipulated shipping time.

In **Edward Owen Engineering Ltd. V Barclays Bank International Ltd. (1978) 1 ALL ER 976**; the court of appeal admitted an exception to the general rule that the bank must pay if the documents are apparently in order.

Where, to the knowledge of the bank fraud has been clearly established it is not enough that fraud is suspected or alleged. Brown LJ added further that qualification that the documents must be presented by the beneficiary himself. If they are presented by a party who is not tainted by the fraud, there should be no scope for inference with payments.

In ascertaining whether the fraud exception is admissible 3 cases have to be distinguished;

- a. There is only an allegation communicated by the buyer to the bank that fraud has occurred.
- b. It's clearly established to the satisfaction of the bank that a fraud has occurred;

There is unambiguous evidence before it that the documents or some of them are fraudulent or forged. But there is no evidence before the bank. Which show that the beneficiary (the seller) knows of the fraud. There is the possibility that the fraud was committed by a 3rd party e.g. a forwarder who intended to cover up the fact that the goods were shipped out of time, and that the beneficiary himself was unaware of this fraud.

83 Mr. Muinda Tadeo: January, 2018



In United City Merchants (investments) Ltd. V Royal Bank of Canada (1982) 2 ALL

E.R 120; the shipment date on the bill of lading was falsely and fraudulently mistaken by a shipping agent. The defendant bank, having discovered the fact,, refused to pay under the letter of credit. The House of Lords ruled that the exceptions of fraud only applied where the party presenting the documents had himself been fraudulent, or read privy to the fraud. Lord Diplock, delivering a speech with which the rest of their lordships agreed was not even prepared to accept that a bank is entitled to reject a document which is known to be a complete forgery unless the forger himself were presenting it to the bank. Lord Diplock pointed out that bank's duty to its customer is to examine the pointed with reasonable care in order to ascertain that they appear on their face to confirm.

It thought that in some of these cases if the credit is operated under the UCP, the bank is protected by Article 35 which provides

Banks assume no Liability of responsibility for the form sufficiency, accuracy, genuineness, falsification or legal effect of any documents.

- c. The bank has positive proof that a fraud has been committed and that the beneficiary knew of this fraud. If both facts are clearly established to the satisfaction of the bank, it must not honour its obligation under the credit. Such a case may arise; if the beneficiary himself tenders documents which, to his knowledge, are false or if somebody else does so with his knowledge of connivance.

Evidence of fraud

The courts require, in principle that the facts, on which the fraud exception is pleaded, are established clearly and unambiguously. In **United Trading Corp. S.S v Allied Arab Bank Ltd. (1985) 2 Lloyd's Rep 554;** Ackner LJ pointed out that a requirement of excessive strictness with respect to the proof of fraud would make it impossible for the courts to apply this exception to the principle of autonomy of credit at all. He further said;

We would except the court to require strong corroborative evidence of the allegation, usually in the form of contemporary documents, particularly emanating from the buyer. If the court considers that on the material before it the only realistic inference to draw is that of fraud, then the seller, would have made out a sufficient case for fraud.

The effect of force Majeure in LC transactions – read: Article 36 UCP

The contract between the seller and the issuing bank and the confirming bank

The issuing bank's duty to the beneficiary is set out in Articles 7 & 8 of UCP. The duty of confirming bank is also found under article 9. In **Forestill Mimosa Ltd. V Oriental Credit (1986) 1 WLR 631;** confirming bankers argued that their contractual

duty only arose as and when bills of exchange drawn on the buyers were accepted by the buyers. The contract incorporated the UCP, which makes the confirming bank responsible for obtaining the acceptance of bills of exchange. The court of appeal rejected the banks contention that other terms of the contract were inconsistent with his provision and that it therefore should be excluded.



The fundamental principle is that banks deal in documents, not goods, applies with equal rigour to the contract between the seller and the issuing bank of confirming bank.

In **Bank de L'Indochine v J.H Rayner (1983) 1 ALL ER 1137**; The case concerned the sale of sugar which was to be carried in a vessel. A bank in Djibouti, acting as issuing bank, opened an irrevocable credit, which was advised and confirmed by the plaintiff bank. The defendants were the beneficiaries of the credit. When the defendants contended that the documents were in order. Eventually the plaintiff agreed to pay "under reserved" specifying the reason for this qualification in a letter which listed the alleged discrepancies. The objection was directed on alleged absence of linkage between the documents. The issuing bank refused to take up the documents and the plaintiff (advising bank) demanded back from the defendant the money they had paid. Court held that the documents listed in objection were not properly linked with the other documents because the factual contents of these documents were inconsistent.

In **Bankers Trust Co. v State Bank of India (1991) 1 Lloyd's Rep 587**; On the question of reasonable time their Lordships held that despite the complexity of the documents tendered under the documentary credit, a major bank operating in London ought not to have taken 8 days for their examination. There was, however a disagreement on the related issue of whether the issuing bank was entitled to release the documents to the account party for his own examination.

In **Gian Singh & Co. Ltd. V Bank de Indochine (1974) 2 all ER 754**; the credit required the tender of a certificate signed by a named person to be identified by a passport number. The certificate was tendered, apparently signed by the named person, was presented for the bank's inspection. The bank accepted the documents. Both the certificate and the passport were forgeries. The buyer sued the bank but failed to obtain a judgment that he had wrongly debited with the sum paid to the beneficiary. Lord Diplock said that;

In business transactions financed by documentary credits banks must be able to act promptly on presentation of the documents. In the ordinary case usual inspection of the documents presented is all that is called for.

Read;

Article 30 Tolerance in credit

Article 37 Disclaimer for acts of an instructed party

Article 38 Transferable credits

Article 39 Assignment of proceeds

Read the following cases;

1. UCB V Makerere University (1980) HCB 53
2. Uganda Coop Union UCB (1980) HCB 13
3. Forestal Mimosa Ltd. V Oriental Credit Ltd. (1986) 1 WLR 315
4. Discount Records Ltd. V Barclay Bank Ltd. (1975) 1 WLR 315
5. The American Accord (1983) 1 AC 168
6. United Trading Corp. SA v Allied Bank Ltd. (1985) 2 Lloyds Re 554



7. Bankers Trust Co. v State Bank of India (1991) Lloyds Rep 587
8. Society of Lloyds v Canadian Imperial Bills of commerce (1993) 2 Lloyds Rep 579
9. Rafsanja Pistacho producers Coorporative v Bank Leumi (UK) Plc (1992) 1 LIR 513.
10. Gill & Duffus v Berger & Co. Ltd. (No 2) (1984) AC 382
11. Themehelp Ltd. V West (1995) QB 84

COMMERCIAL DISPUTE RESOLUTION PROBLEM OF CONFLICT

It is inevitable in the field of international trade that problems should arise concerning the applicability of the laws of different countries. Once the court has decided that it has jurisdiction to hear the case, the second question will be which law is to apply one is the proper law of the contract,. It does not follow that only one system of law may be considered.. matters relating to the form and validity of the contract may fall to be decided by one system of law and matters relating to its performance by another.

The contingency of legal dispute is never absent in International trade transactions. If the exporter decides in favour of extra- judicial dispute settlement, he insert ito the contract a conciliation clause or an arbitration.

Commercial litigation

In general business people tend to avoid litigation in many instances. Litigation may be costly and time consuming, generate bad publicity and damage a trading relationship.

A dispute arising of a commercial transaction may be heard in the High Court (commercial Division) The purpose of the commercial court is to provide a forum where there is familiarity with commercial disputes and procedures to enable them to be settled speedily and effectively without undue legal formality.

The court is staffed by specialist judges with particular expertise in commercial matters and adopts procedures designed to make the court more suitable to the needs of commercial. There ae different methods of resolving disputes.

Mediation

This is a process whereby a neutral third party called the mediator helps the disputing parties look for a solution that works for them.

Mediators, unlike judges, do not decide cases or impose settlements. The mediator

helps the parties, communicate and negotiate each other in constructive manner, gain a better understanding of the interests of all the parties and find a solution based on common understanding and mutual agreement.

In jurisdiction where mediation is mandatory before a trial, if any, courts have mediators who are professionals in diverse fields who can be called upon to mediate especially in areas where particular expertise may be required.



In Uganda, mediation is almost compulsory in the commercial court as per Statutory, instrument No701 of 2003. The **Commercial court Division (Mediation Pilot Project Rules 2003 – 2005**

Benefits of mediation

- Mediation can help parties resolve disputes faster, saving them time and money.
- Mediation is an accessible and affordable alternative to court for individuals and business.
- The mediation process is informal; neutral and completely confidential. (They are)
- Mediation offers the parties an opportunity to draft a solution that meets their needs.
- Mediation promotes co-operative solving and improved communication.

Conciliation

Part v Arbitration and conciliation Act (Cap.4)

This is an informal process in which a third party is positioned between the parties to create a channel for communications, usually by conveying messages between parties who are unwilling to meet face- to face to identify common ground and to eventually re-establish direct communication between the parties. The terms is often interchanged with mediation, however, conciliation involves a more passive third party the process can richly be combined with mediations in that once the parties re-establish direct communications, then conciliation may transform into mediation.

Section 49 ACA (CAP.4) provides that a party initiates the conciliation process by writing to the other party. Once the other party accepts conciliation, they can agree on conciliator from the list compiled by the centre for arbitration and dispute resolution (CADER).

The conciliator assists the parties in an independent and impartial manner in an attempt to reach an amicable settlement. The principles of objective, fairness and justice apply. The settlement agreement which is signed by the parties has same status and effect as an arbitral award under the Act.

Refer to sec 58 – settlement agreement

Refer to sec 59 – status and effect of settlement agreement

Negotiation

This is a process of communication, direct or indirect, whereby parties who have opposing interests, without resort to arbitration or other judicial process, the dispute between them is finally resolved.

Very many disputes of whatever nature are discussed and solved without adjudication of any sort. Family matters are normally solved without recourse to courts or arbitration tribunals. International relations between states are normally maintained through negotiations either direct or indirect.



Arbitration

This is a form of dispute resolution involving a mutually acceptable, neutral third party making a decision on the merits of case, after an informal hearing, which usually includes the presentation of evidence and oral argument.

In Uganda, arbitration may be by prior agreement or contract of the parties in which case the provisions of **part II** of the Act (**sec 3-38**) apply. The parties are free on the arbitrator after a dispute has arisen or in case they cannot agree on an arbitrator, then CADER appoints one for the purpose.

In general it is assumed that arbitration has the following benefits;

- Confidentiality and privacy
- Informality of the proceedings
- Lower costs
- Efficiency
- Technical specialism
- A final; award which would be enforced at the courts.
- Recognition and enforcement of foreign arbitral awards (the new york convention) 1958

All these instruments influence the arbitration and conciliation Act

(Cap .4) Red ARTICLES;

Justice Geoffrey Kiryabwire, “International and practice aspects of the Arbitration and conciliation Act 2000 of Uganda” seminar paper on International Commercial Arbitration – International law institute, Dec 2003

Samson Sempasa, “centre for arbitration and dispute resolution and the New Legislative Formulation on Alternative Dispute Resolution” (2003) **1 The Uganda Living Law Journey 2**

UNCITRAL ARBITRAL RULES.

These rules were adopted by UNCITRAL in 1974) and their use was recommended by General Assembly of the UN on 15 Dec 1976. They have become popular. They are almost indispensable in ad hoc arbitration and many arbitral; institutions, which had adopted their own rules.

Arbitration has a contractual and a judicial. In the contractual element of a arbitration , there can never be arbitration without an agreement of the particles. The agreement of the parties may take the form of an arbitration clause in the original contract. The agreement of the parties determines the jurisdiction of the arbitrator.

Refer to:

Sec 11 Appointment of

arbitrators Sec 17 power of
arbitral tribunal



Sec 20 the place of arbitration

The arbitrator must not go beyond the powers, which the parties have conferred upon him.

The arbitrator as a private judge chosen by the parties or appointed in accordance with the arbitration agreement must approach the issues before him in the same spirit as a judge appointed by the state.

In **cook International Inc. v BV Handels maatschappij Jean (1985) 2 LR 225** It was held that the arbitrator must not show bias which would lead a reasonable man to conclude that he is biased.

It is advisable for the parties to provide for the application of the UNCITRAL Arbitration Rules in order to minimize procedural dispute and to enable a deadlock to be broken if the respondent fails to appoint his arbitrator of the two arbitrators cannot agree on the chairman.

Often the parties will agree on arbitration under the rules of one of the institutions which provide facilities for the arbitral settlement of disputes arising in international trade transaction.

The law governing the arbitration procedure;

Section 19 (Cap 4 determination of rules of procedure Section 26 – experts

Section 28 (1) rules applicable to substance of dispute

The law applicable to arbitration procedure sometimes referred to as the curial law, may be different from the law governing the contract; in International Tank and Pipe S.A.K v Kuwait Aviation Fuelling Co. K.S.C (1975) QB 224, In which the law governing the contract was English law, the parties held their arbitration in Scotland in accordance with Scottish law applicable to arbitration. The HOL Decided that Scots law regulated the arbitration procedure whilst the arbitrator had to apply English law as the law governing the contract.

If the parties have adopted an international code of arbitration procedure, such as UNCITRAL Arbitration Rules, there will often be no resort to a national law in order to ascertain the rules of arbitration procedure.

In **Dubai Islamic Bank PJSC v Paymentech Merchant Services Inc. (2001) 1 Lloyds Rep 65**, the parties arbitration had been conducted entirely on paper. Unhappy with the decision, the Islamic Bank appealed to an appeals arbitration body and the matter was heard in London. The appeal was dismissed. The Islamic Bank then instituted action in England challenging the award on the basis of certain alleged defects under sec. 68 of the Arbitration Act 1996. Paymentech on the other hand,

argued that the English court had no jurisdiction over the arbitration because the arbitration did not power to review the award made. Held that all the preparatory work of the appeals body was in California. The seat judicial seat is to be determine is the time when the relevant arbitration begins.

Enforcement of Awards



The decision of the arbitrator or umpire is called the award. In many cases the award is carried out faithfully by the parties, but sometimes it is necessary to ascertain the means by which the award can be enforced in law.

Sec. 30 (1) settlement

Sec 31 – form and content of arbitral award.

In Uganda, an award is normally enforced in the same manner as a judgment.

Sec 35 – recognition and enforcement of

award Sec. 36 – enforcement

Sec 38 – question of law arising in domestic arbitration

Enforcement of New Convention Awards

Sec. 39 definition

Sec 41- when foreign awards

binding Sec. Condition for

enforcement

The New York Convention is designed to make more effective the International recognition of arbitration agreements and foreign arbitral awards and their enforcement. A foreign arbitral award made can be enforced in Uganda Upon registration.

Refer to foreign judgment (reciprocal enforcement)

Act cap.9 Reciprocal enforcement of judgments Act

Cap 21

Civil procedure Act.

A foreign arbitration award may be enforced by bringing an action in the Uganda courts provided that the arbitration was valid in accordance with its proper law and that the award itself is valid and final by that law. Awards may be enforced directly if they come within the Arbitration and conciliation Act which gives effect to the enforcement of the New York conventions Awards and Enforcement of the ICSID Convention awards. Other awards may be enforced under Cap. 9 and Cap 21.

Once an award has been made the court's assistance may be required to enforce it. The successful party may sue on the award as a contract debt or, with the leave of the court, enforce it as if it were a judgment of that court.

Where an arbitration arises out of an International transaction the award may have to be enforced outside Uganda. In the ordinary way the enforcement of judgment outside the jurisdiction can be problematic. The enforcement of foreign arbitration award is made possible by the Arbitral Award which is given effect in Uganda by the Arbitration and conciliation Act,, Cap 4.



Setting Aside of the Award

Sec. 34(1) application for setting a side arbitral award

Read:

Oil Seeds(U) Ltd. V Uganda Development Bank

(1997) KALR 96

- **National Union of Clerical commercial & Technical Corp. v Uganda (1965) EA 533**
- **Uganda Post & Telecom v EAG Insurance (1983) HCB 36**
- **National; Social Security Fund \$ Another vs Alcon International Ltd. HC Misc. App**
No. 417 of 2001 (setting a side award, misconduct of an arbitrator and corruption)

Courts have routinely interfered with arbitral awards where they were perceived not to have been determined by the legal rights of the parties but rather what appeared to be fair reasonable of appropriated in the circumstances.

Ousting of jurisdiction of the court.

In **Ruth Bemba & Anor v DAPCB HCC 833 OF 1989** it was held that the High Court has unlimited, jurisdiction and any attempt by any party to remove a dispute from court to an ADR process was perceived as an attempt to oust the courts jurisdiction contrary to Art 139 (jurisdiction of high court) of the Uganda constitution 1995.

Effect of arbitration clause in a contract the subject of suit.

In **Kyadondo v The cooperative Bank**, Supreme court Civil Appeal No. 19/91 Held where the jurisdiction of the court is expressly excluded, then the matter in question may be taken either for arbitration or for determination by a competent court. Under the constitution and the Judicature Act, the high court has unlimited original jurisdiction over all matters civil and criminal subject to any written law. It is settled law for a statute to oust the jurisdiction of court to oust the jurisdiction of court it must sat so expressly.

In **Phoebe Mugabi v Prinpak (U) Ltd. HCCS No. 910/93 (94) kalr 29** held that nothing in the Arbitration and conciliation Act which attempts to oust the jurisdiction of the HC. An arbitration clause merely provides alternative remedial proceeding where a party opts to court proceeding.

In **East Africa Development Band v Ziwa Horticultral Exporters Limited – HC Misc Appl No 1048 of 2010**, the parties to this suit had entered into a loan

agreement whereby EADB advanced a loan to Ziwa Horticultural Exporters Ltd. A dispute arose between the parties and EADB filed a petition seeking various orders against the respondent including an order of winding up of the respondent company. The respondent filed the application for a stay of proceedings and reference of the matter to arbitration on ground that the loan agreement contained an arbitration clause, which provided for resolution of dispute by arbitration. Held section 6 (now section 5) of the arbitration and conciliation act, provides for mandatory reference



to arbitration of matters before court which are subject to an arbitration agreement. Where court is satisfied that the arbitration agreement is valid, operative and capable of being performed, it may exercise its discretion and the matter to arbitration.

In **Channel Tunnel group Ltd. V Balfour Beatty Construction Ltd. (1993) 1 All ER 664**, THE parties had agreed that disputes should be referred in the first to a panel of experts and following that to arbitration. The House of Lords held that the statutory power to order a stay of legal proceedings could be exercise where some procedures other than arbitration was itself a condition precedent to arbitration and that the court had an inherent jurisdiction to order a stay in order to support parties chosen method of dispute resolution.

Read;

- i. Farmland Industries Ltd. V Global Exports Ltd. (1992 – 93) HCB 197.
- ii. Shell (U) Ltd. V Agip (U) Ltd., SCCA no 49/1995.
- iii. Fulgensius Mungereza vs. Pricewatercoopers Africa central SCCA no 18 of 2002
- iv. Ononoka Steels Ltd. V The Eastern and Southern Africa Trade and Development Bank. (2000) 2 EA 536 (CAK)

THE ROLE OF FOREIGN INVESTMENT

Foreign direct Investment (FDI) is investment that is made to acquire a lasting in an enterprise operating in an economy other than that of an investor, the investor's purpose being to have an effective voice in the management of the enterprise.

A foreign direct investor is an individual, an incorporated or unincorporated public of private enterprise, a government, group of related individuals. There is no grand theory that explains all of the determinants of a foreign investors decision to invest. It is usually made on the basis of a complex of interaction of several factors including economic, financial, commercial and non- commercial which are all varying degree of importance depending, inter alia, on the objective of the foreign investor, the host and home countries in question and the sector and the project in which the investment will take place.

FDI operating under appropriate safeguards can play an important role in accelerating economic growth and development,

FDI is more advantageous than loans which establish fixed servicing obligations. The foreign investor bears or shares the risk of the project failure whereas a lender has the right to be repaid regardless of how effectively the funds are used.\FDI is an integrated package of financial resource, managerial skills, technical knowledge, and marketing connections. FDI can enterprises into the host country's economy.

Guiding Principles for Policies Towards Attracting Foreign Direct Investment.

- Based in the **Proceed Committee on International** Investment and

Multinational Enterprise 2002.

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- The aims of policies for attracting FDI must necessarily be to provide investors with an environment which they can conduct their business profitably and incurring unnecessary risk.
- A predictable and non-discriminatory regulatory environment and an absence of undue administrative impediments to business move generally.
- A state macroeconomic environment, including access to engaging in International trade
- Sufficient public sector transparency including an impartial system of courts and law enforcement.
- Ensuring that rules and their implementation rest on the principle of non-discrimination between foreign and domestic enterprises and are accordance with international law.
- Providing the right of free transfer related to an investment and protecting against arbitrary expropriation.
- Ensuring that rules and their implementation rest on the principle of non-discrimination between foreign and domestic enterprises and are accordance with international law.
- Providing the right of free transfer related to an investment and protecting against arbitrary expropriation.
- Putting in place adequate framework for a healthy competitive environment in the domestic business sector.
- Redress those aspects of the tax system that constitute barriers to FDI.

UGANDA'S FOREIGN TRADE PARTICIPATION

Foreign Investment

Sec. 1 (g) of the **(Investment Code Act Cap 92)** defines “Investment” as the creation of new business assets and includes the expansion, restructuring or rehabilitation of an existing business enterprise.

Sec. 9 of Investment Code Act defines “foreign Investor” as

- a. A person who is not a citizen of Uganda.
- b. A company, other than a company referred to in subs (2) in which more than 50% of the shares are held by a person who is not a citizen of Uganda.
- c. A partnership in which the majority of partners are not citizens of Uganda.

Sec. 10 (1) – a foreign investor shall not operate a business enterprise in Uganda otherwise in accordance with an investment license issued under this code.

Sec. 10 (2) – Limits foreign investor in engaging in crop production, animal

production.

Sec. 10 (4) the Minister may exempt any class of people from the application of this section.



Sec. 10 (5) States that a foreign investor who is intending to engaged in trade only shall be requested to comply with subs (1) but shall.

- a. Incorporate a company with the registrar General as it is required by law.
- b. Deposit a sum of US \$100,000 or its equivalent in Uganda shillings at the bank of Uganda, which shall be specially used for importation or dire purchase of goods for the business.

Sec. 11 : Application for an investment license

Sec. 12: Appraisal of applications (object for investment)

Incentives

Sec. 21 Exemption from import duties

Sec. 22: Enterprises which quality for incentives

Capital Investment worth US \$500,000 (Foreign) and US\$50,000 for local investor. Sec. 22 (2) – A foreign investor who engages in any activity specified in the 3rd schedule to this Act, shall not enjoy the incentives provided for in **Sec 31 (1) (b) and (e).**

3rd schedule

- Wholesale and retail commerce personal services.
- Public relations business.
- Car hire service and operation of taxis
- Bakeries, confectionaries and food processing for the Ugandan market.
- Professional services.
- Postal service

Sec. 23 : Certificate of incentives
Sec. 24 : First Arrival benefits

Sec. 25 : Additional incentives for certain exports

Sec. 26 : Credit from domestic source by foreign investors

Domestic taxation treaty is an overall policy of each state to encourage foreign investment or to assist the state's investors to participate in overseas trade and development without undue financial hardship arising from double taxation.

E.A.C and its Customs Union

Taxation of expatriates see under **Income Tax Act.**

Read **D.J Bakibinga, revenue Law in Uganda (Chapter 7 on “investment Tax Regime) Other incentives**



- Good infrastructure
- Political stability
- Currency strength
- Foreign exchange control restrictions
- Labour law
- Good financial institution
- Land policy- freehold and leasehold
- Immigration policies – visa requirements.

The Policy environment

In the recent years the government has implemented a number of policy regimes, and encouraging private sector development. These included the liberalization of the foreign exchange allocation system through the introduction of foreign exchange, tariff and procedural reforms governing import and export trade, implementation of the investment code and the establishment of the UIA.

Trade policy regimes

The external trade regime in Uganda went through a major simplification in 1991. Reforms included;

- Trade certificates for non-restricted goods.
- Tariffs reduced on some items.
- No export taxes
- Duty exemption on contract goods and industrial raw materials
- Concessionary tariff for imports from COMESA
- Liberalized foreign exchange
- Tax holidays 2 – 10 years: case of **Bidco Oil Company**.
- Tri Star Co – Under AGOA arrangement

During the last decade, Uganda pursued more liberal policies on trade and investments and other market oriented reforms in the context of structural adjustment programmes. Although the full impact of these measures may take time to materialize.

From the macroeconomic viewpoint, the key policy implementation is that to encourage the investment response to incentive scheme, macroeconomic stability and investor confidence policy framework is essential.

Uganda has undertaken many efforts during the past few years to increase its attractiveness to investor and thus enhance its own growth prospects. These efforts have included, at the macroeconomic level, wide reaching domestic economic policy reforms and at the level of the FDI, regulatory framework the liberalization of existing frameworks or the simplification of administration procedure applicable to foreign investors, the inclusion of bilateral investment protection and promotion treaties and accession to various multilateral facilitating FDI flows.

Protection of foreign investment



Sec. 27: Protection in case of compulsory acquisition.

Compensation with 12 months from the date of possession or acquisition.

Sec. 28 Settlement of disputes

Through negotiation for an amicable settlement

Through arbitration

Through bilateral or multilateral agreements on investment protection. Through International machinery for the settlement of investment.

Sec. 29 - Registration of agreement for the transfer of technology or expertise.

Sec. 31- Conditions in agreements for the transfer of foreign technology or expertise.

Sec. 35 – Knowingly or negligently gives false or misleading information.

Refuses or neglects to provide information which the authority may reasonably require for the purposes of the enforcement committees an offence and is liable on or to imprisonment for a term not exceeding two year or both.

The Uganda Investment Authority (UIA)

UIA is a body corporate established under the investment Code Act. It is a state agency. Sec 2 of the At provides for its establishment Sec. 6 provides the functions of the Authority.

The UAI is a one-stop shop for all investors in Uganda. It was set up by Government to market Uganda's Investment opportunities to investors all over the world. It aims to make Uganda a leading investment location. It serves a first and comprehensive point of contract for investors, especially the UIA can offer the following services;

- Information on investment opportunities in Uganda
- Help investors implement their projects
- Issue investment license
- Help investors serve secondary licenses and approvals
- Arrange contracts for investors
- Assist with joint venture partners and funding
- Ensure protection for intellectual property and trade secrets.
- Assists in the acquisition of industrial land.
- Obtain work permits and special passes for expatriate staff.

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CONVERSION & TRANSFER POLICIES

The investment Code Act allows repatriation of in dividends. No troubles of obtaining foreign exchange.

Protection against expropriation & compensation

Uganda law states that the interests of licensed investors may only be expropriated in accordance with the constitution of Uganda and that investors are guaranteed a fair market value with 12 months of expropriation.

Uganda is a member of Multilateral investment Guaranty Agency (IGA and the international centre of the settlement of investment Disputes (ICSID)

A specific guarantee of prompt compensation for the full value of the FDI. In the event of expropriation is usually important for the foreign investor. Compensation is usually important for the foreign investor. Compensation must be non-discriminatory in respect of nationals and foreign investors. In 1970's the Ugandan government expropriated the Asian investor's property. The compensation at that time was not adequate (economic war).

The essence of expropriation is therefore the violation of the foreign investor's property rights.

In **Kuwait v American Independent Oil Company (Amin oil) 1982** 21 International Legal Materials 976 a tribunal of 3 arbiters held that the "nationalization" of the claimants oil concession was not unlawful and the payment of compensation according to the principles of international law was all that was required. The tribunal adopted the standard of appropriate compensation laid down in the UN General Assembly Resolution 1803 regarding permanent sovereignty over national resources. It took the view that appropriate compensation was determined by having regard to all the pertinent circumstances of the case.

In **Topco/Calasiatic v Libya reported in** (1978) 17 International Legal Materials 3 arbitration involved nationalization of foreign concession by Libya. The arbitration in holding the foreign investors were entitled to the remedy of holding the foreign investors were entitled to the remedy of restitution ad integrum viewed UN General Assembly Resolution 1803 as representing the customary international law on expropriation.

Yet, in a similar case **Liamco v Libya (1981) 20 International Legal Materials 1** the same remedy was denied of ground that it was incompatible with national sovereignty.

Dispute settlement

With donor assistance, the GOU has out a program to reform the commercial justice reform. Uganda opened its first commercial court a few years ago and now boasts 4 commercial court judges. They strive to deliver to the commercial community an

efficient, expeditious and cost effective mode of adjudicating disputes. Commercial court judges estimate that 805 of commercial disputes are resolved through alternative dispute Resolution. The centre for arbitration resolution (CEDAR) can assist in commercial disputes.



Uganda is a member of the International Centre for Settlement of Investment Disputes (ICSID) and is party to the New York Convention of 1988 on the recognition and enforcement of foreign arbitral award. The investment Code Act makes provision for foreign exchange remittance with respect to transfer for foreign technologies.

Bilateral Investment Agreement

Uganda has signed few bilateral investments. In 1998 Uganda signed (but has yet to ratify) an overseas private investment co-operation. OPIC agreement, allowing OPIC to broaden the scope of its activities. Uganda has negotiated I lateral tax treats with several nations, including China and South Africa.

OPIC and other Investment Insurance Programmes

Uganda is a signatory to the Multilateral Investment Guarantee Agency (MIGA) of the World Bank and is a member of the International Centre for the settlement of investment disputes (ICSID).

In 2003, OPIC signed a master guarantee agreement with city group to establish a lending sharing for local loans.

Foreign Trade Zone/Free Ports

Uganda does not have free ports or foreign trade zones. In 2004, Uganda received a US\$ 24millinions credit from the World Bank to establish export processing zones (EPZs). The GOU has set a side property outside Kampala for an EPZ and possibly may set up a second EPZ at Entebbe Airport.

Perception of Uganda's Strengths & Weaknesses

- Growth prospects
- Transferability of funds
- Cheap labour
- Natural resources

Main weaknesses

- Corruption
- Poor infrastructure
- Transparency in service delivery
- Unnecessary beau curacy

Political stability and commitment to reform

- Past efforts are acknowledged and appreciated by foreign investors
- Need to maintain the good reputation acquired especially in

- view of improvements in other countries.
- Quality of institutional support has improved.

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JOINT VENTURE

Joint venture is the favoured form of cross-border cooperation. The joint venture is a common undertaking created by two or more participants for a specific purpose of commercial, financial or technical nature. In international trade one or several participants are foreign and other tax indigenous enterprises.

The common undertaking formed by the participants may be carried on in various legal forms. Apart from the common project planned and executed as a joint venture, the participants remain separate and each pursue his own commercial objects. The joint venture may be intended to be of long or limited duration.

The common law definition of the term “joint venture” was provided in case of **United Dominion Corporation Ltd. V Brian Pty Ltd. (1985) 60 ALR 741**

Deane JJ said;

The term “joint venture” is not a technical one with settled common law meaning. As a matter of ordinary language, it cannot an association of persons of the purposes of a particular trading, commercial, mining or other financial undertaking or endeavor with a view to mutual profit, with each participant usually (but not necessarily) contributing money, property or skill. Such a joint venture will often be a partnership. The term is however opposite to refer to a joint undertaking or activity carried out through a medium other than partnership; such as a company, a trust, an agency or joint ownership.

It is usual in a joint venture for participants to receive profits of the enterprises separately. Profits are paid individually whereas in a partnership profits are paid to the partnership. Joint ventures often share the physical output of the venture rather than the profit.

Most of the countries have adopted special legislation aimed at encouraging foreign investments, and at the same time, protecting their own essential interests. The legislation sometimes grants the foreign investor tax privileges and safeguards his rights to transfer the profits occurred to him from the joint venture and to repatriate his capital.

Legal aspects of joint ventures.

It is essential to distinguish between agreement whereby the parties agree to enter into joint venture and the local form which they intend to give to the venture.

The cooperation agreement has to be drafted with great care. It should be defined the form which the joint venture is to take, the contributions of the parties, their participation in the profit and losses, the management structure of the joint venture, its termination and the disposal of its assets after dissolution. The disposal of assets may create particular difficulties if the joint rights were vested in the joint venture

company and on its dissolution have to be unscrambled.

The cooperation agreement should also contain a choice of law clause and provide for arbitration of disputes arise between the parties.



No formalities are required to establish a joint venture unless the participants want to trade under a name. In that case, it may be necessary to register the business name. In terms of liability, the parties to a joint venture are liable jointly and severally for the debts of the joint venture according to the level of their contribution.

Forms of joint ventures

Two types of joint venture are distinguished. Equity ventures (also called corporate ventures) and contractual ventures.

Equity Joint Ventures

The characteristic of this form of venture is that the common object is carried out in a corporate form. This form of the joint venture should be as flexible as possible. Often the parties will choose the form of a private limited company and their interests in joint venture will be determined by shareholding. It must have a name and be registered with the companies registry.

Issues in a joint venture agreement:

1. Formation of a company
2. Name and registration office
3. Objectives of the joint venture
4. Ownership and capital structure
Y- 700 Shares – US\$
X- 300 Shares – US\$
5. Profit and losses of the company shall be in the same proportions as the equity holding.
6. Management of the company of directors from both sides staffing
7. Dividends/arrangement for risks and liabilities.
8. Dispute settlement- changes in ownership
9. Force majeure.
10. Termination
11. Commencement
12. Choice of law
13. Supremacy clause
14. Confidentiality
15. Reporting and accounts
16. Tax implication
17. Authorized

signatories. Read;

Maxwell stamp PIC, “Study of the effectiveness of Policies, facilities and Incentives for Investment promotion in Uganda “Final Report”

Robert ZAVALTA, how do foreign investors perceive Uganda, a World Bank report, 1999, Kampala.

Economic policy research centre, MUK, Investment, Aid & Growth in Uganda, Economic Policy Research Bulletin, Vol.3 No. 2 Sept 1997



OECD, Checklist for FDI Incentives Policies, 2003
<http://www.state.gov/e/eb/ifa/25/42193.htm>(2005 investment Climate
Statement – Uganda.



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